

P3 Course notes



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Syllabus A: STRATEGIC POSITION

Syllabus A1: The need for, and purpose of, strategic and business analysis

Syllabus A1a) Recognise the fundamental nature and vocabulary of strategy and strategic decisions

What is strategy?

Definition	Ikea	RCA
Long term Direction	Sweden to Global	Traditional College to Online/offline space
Effective positioning	Different shopping experience	Away from the stuffy, corporate - people not profit focus
Scope of activities	Furniture to household	aCOWtancy separate from RCA
Strategic fit	Instant availability - need a big car though Generic good value design	Quality tuition - full time tutors problem Franchising

Strategic fit

Tailoring the strategy to take advantage of the environment's opportunities

Strategic stretch

Stretching competencies to create new opportunities e.g. Apple - computers to music to phones to iPads to TVs?

Strategic architecture - Logistics of buying and servicing - Ikea buildings and processes, Amazon ease of purchase

Vocabulary of Strategy

Term	Definition	Personal Example
Mission	Main purpose in line with stakeholders values	Get fit and look sexy (achieved ;-))
Vision	Aspiration of the company	Run 10k in under 45mins
Goal	General aim	Lose weight
Objective	Quantification of goal	Lose 1 stone in 2 months
Core Competences	Resources which give competitive advantage	Successful at Sports in earlier life
Strategy	Long term Direction	Exercise regularly
Strategic architecture	Combo of resources	Training routine
Control	Monitoring of actions	Weight, run times

3 Levels of Strategy

Corporate Strategy

Purpose and scope of business to meet **owners' expectations**

Examples

How many countries should RCA open up in? What about IKEA? Why is there no Apple store in Malta yet there is in Belfast?

Should Samsung concentrate on phones? Should Google create computer hardware?

Heavily influenced by shareholders and the stock market - in fact this could be the mission statement of the company

Strategic Business unit

Part of the organisation with its own, individual external market

How is this different to a division?

iPads may be a division at Apple but the strategy for selling them may be different in China compared to UK. These distinct markets require different strategies so are different SBUs

An SBU in the public sector is when there's a distinct client group

It is a unit for strategy making purposes only.

Corporate strategy = whole organisation

SBU = distinct market

Business Unit Strategy

How to compete in a particular market:

- 1) Competitive advantage
- 2) Create new opportunities in the market
- 3) Meet customer needs

Operational Strategies

How the business components (resources, processes and people) deliver the Corporate and SBU strategy direction

Eg. Apple stores are meticulously planned and their function is not just to sell products there. They are to convey the ethos of the business as a whole in physical terms.

The integration of operational decisions and strategy is vital therefore



Strategic Management

Dealing with NON-ROUTINE situations with **organisation wide** implications

This can be problematic for many managers who struggle to see beyond their specific area
- eg Accountants tend to see things in financial terms only

Concepts rather than detailed analysis

It has 3 parts:

- 1) Strategic Analysis (**Position**)
- 2) Strategic Choice (**Courses of Action**)
- 3) Strategy implementation (**Managing the Change**)



Now look again at the above diagram: It is not linear, as all 3 parts are **interlinked**.

Eg. A choice may only be possible after some implementation

Eg. Strategy analysis is ongoing so overlaps with implementation

So, please do not see these as 3 separate neat & tidy steps



Strategic Analysis (Position)

- Understanding where the organisation stands in its environment.
- Understanding the internal resources and key competencies available
- Understanding the level of stakeholder influence

Questions asked here include:

- 1) What changes are happening in the environment?
- 2) How will they affect us?
- 3) Do we have any special advantages?
- 4) Can we make new opportunities with what we currently have?
- 5) How will any changes be viewed by the stakeholders?

So it is basically looking at what the key influences are now (and near future), and what opportunities do our current resources and the environmental changes offer us

Let's look at that last paragraph in a bit more detail and break it down...

Environment (External)

The organisation lives in a complex PEST¹ and cultural world. Some organisations are more affected than others - look at historical effects and potential changes

These changes offer both OPPORTUNITIES and THREATS (though it's impossible to list and analyse each and every one)

Resources and Key Competencies (Internal)

$$\text{Resources} + \text{Key Competencies} = \text{Strategic Capability}$$

This can be broken down into STRENGTHS and WEAKNESSES (or competitive advantages and disadvantages)
eg Management, Financial Structure, PPE, Products

Core Competencies

Skills / Know-how that others would find difficult to imitate (eg Tutors). An understanding of these may lead to new opportunities

All of the above are not just to be 'fitted in' to the current opportunities the environment provides but also 'stretched' to create new ones

¹ Political, economic, social and technological

Influences

Corporate governance and cultural aspects are to be considered here, especially in terms of which stakeholder is to be taken most notice of. (Think of Mendelow in P1)



STRATEGIC CHOICE (Courses of Action)

- Understanding the bases guiding future strategy
- Understanding how strategy options are generated
- Understanding how the options are evaluated

Identifying the bases

- 1) Look at stakeholder influence
- 2) Look at the competitive advantages

Generating options

- 1) Which geographical areas to concentrate upon
- 2) How to structure the business
- 3) Organic or acquisition growth

The key point here is that the most obvious 'next step' for a business might not necessarily be the best and so creating options is worthwhile

Evaluating the options

- 1) Which builds on STRENGTHS?
- 2) Which overcomes WEAKNESSES?
- 3) Which takes advantage of OPPORTUNITIES while minimising THREATS
- 4) Does it "fit" the current environment?
- 5) Can resources be 'stretched' for the new option?
- 6) Acceptable to stakeholders?

Ultimately there is unlikely to be a clear winner and so much judgement is required. Neither is the process likely to be totally objective with manager managers having vested interests



Strategy implementation (Managing the Change)

- Strategy into action by the structure of the organisation
- Strategy into action by the planning of resources
- Strategy into action by the management of the change

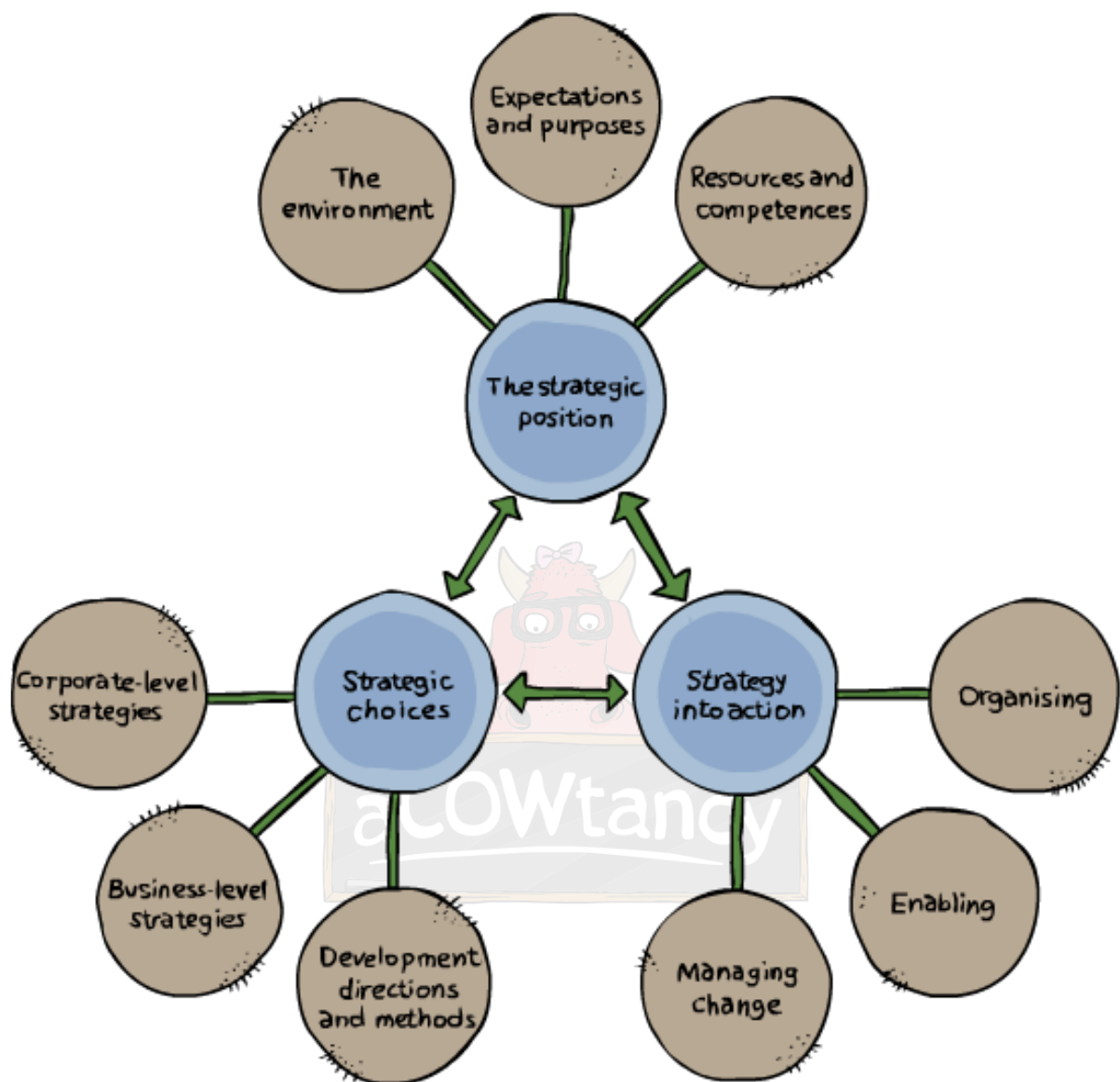
All of the above components need to be integrated so that they become core competencies themselves (which others find difficult to match)

Typical Questions

- 1) Who is responsible?
- 2) What organisation structure changes are needed?
- 3) Which management systems need to change?
- 4) What information systems are needed to monitor progress?
- 5) What are the KEY tasks?
- 6) How much re-training is required?
- 7) Are new staff required?

Managing change also requires overcoming resistance to change and dealing with routine matters

Summary



Strategy management isn't the same for everyone. Each company has its own circumstances

Small Businesses

Limited number of markets and limited number of products

- 1) Scope of Operation = less of a strategic issue - because it's small and obvious
- 2) Analysis and research = no departments, all performed by the owners often
- 3) Competitive strategy = VERY important
- 4) Strategy choice = often limited (depends greatly on owner) but financing issues will become key

Multinationals

Diverse products and geography

- 1) Issues of structure and control = very important (Does HQ add or detract value?)
- 2) At SBU level - very similar to small business above
- 3) How to allocate resources = very important
- 4) Co-ordination of operations

Manufacturing and Service

- 1) Competitive strategy for a service firm = wider aspects of the organisation e.g. Swiftness of service, ambience, staff attitude etc
- 2) Competitive advantage of a manufacturing firm = the product itself (though many customers believe products to be similar so again the differentiation comes from the wider aspects of the organisation)

Nationalised Companies

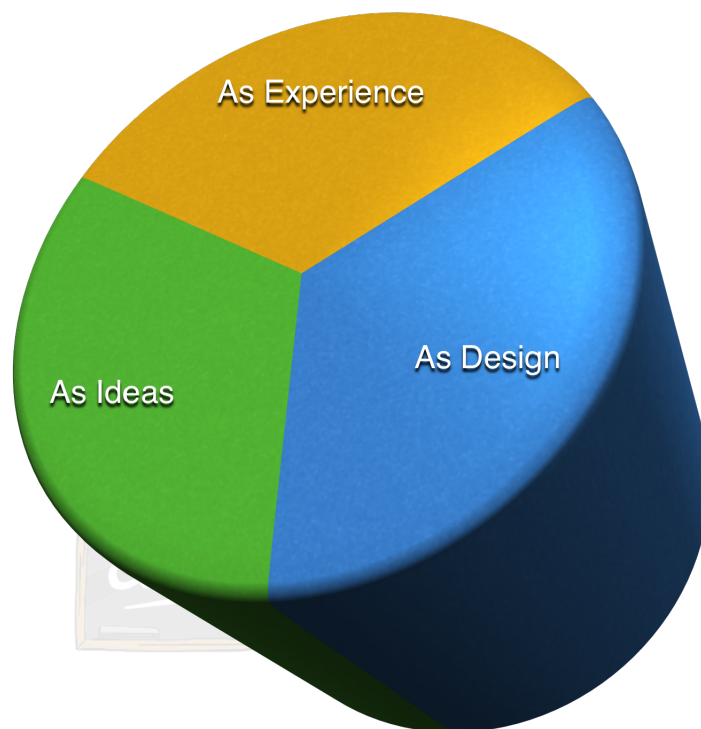
- 1) Strategy influenced greatly from external sources eg. Government
- 2) Greater tendency towards centralised control and reporting

Public Service Organisations (eg Health and Bus Services)

- 1) Often struggle to create surpluses to re-invest
- 2) This can lead to mediocrity of service
- 3) Allocation of resource becomes very important

The Strategy Lenses

● As Design ● As Ideas ● As Experience



Strategy as Design

This is where strategy comes about as part of a rational, logical and planned (designed) process

Suited to a hierarchical structure where strategy is delivered from the top down

Strategy as Experience

This is where strategy is said to come from the culture of an organisation, future strategies come from past experience

Here, strategies come about by adapting the current strategy. They will be incremental and the result of compromise between managers

They will be heavily influenced by the company culture and its history, “it’s the way we have always done things and has been successful so far”

Strategy as Ideas

This is where strategy is said to come from ideas that pop up at different levels of the organisation and at different times, not in a logical or planned out manner

Many different ideas will compete with each other here. The development of these ideas should be allowed to flourish and so not too much management control is required

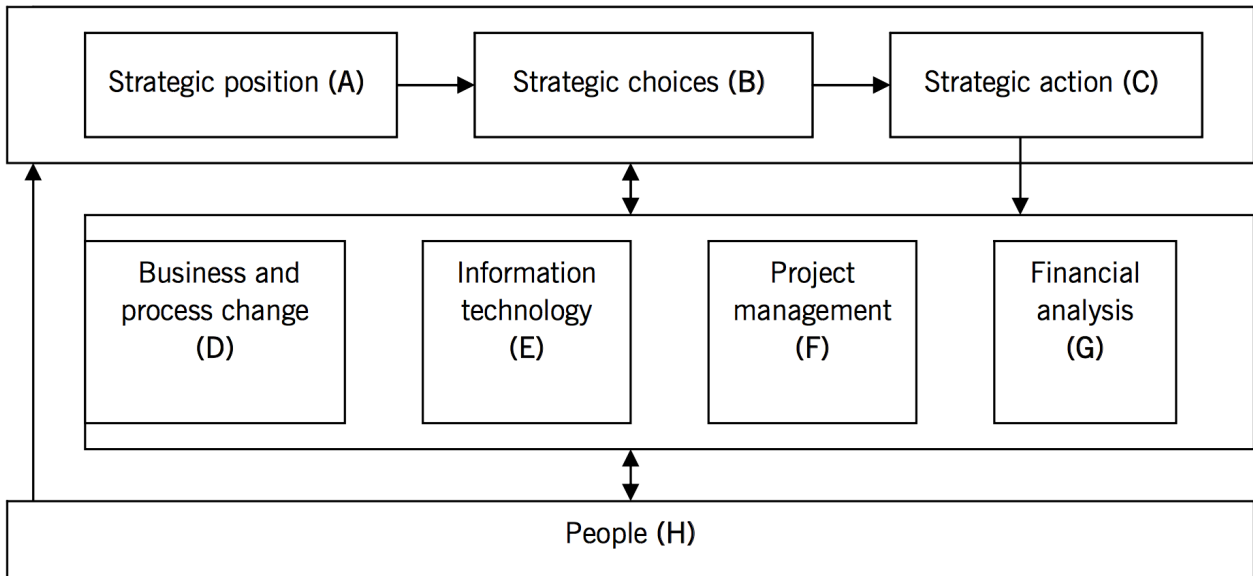
It is what is known as an “emergent strategy”

Using the Lenses

Looking through one lens only can be short-sighted and miss potential opportunities and threats



RELATIONAL DIAGRAM OF MAIN CAPABILITIES



This is a systematic approach to understanding the way organisations work, looking at both the internal links between the various organisational components and the external links to its environment.

These (internal and external links) are the two main strategic issues dealt with by the syllabus: how external forces influence strategy and how internal forces sustain that strategy.

The relational diagram shows the syllabus (and business strategy), as three interconnected layers:

The Top layer

This is concerned with the overall strategic perspective, moving from the analysis of strategic position (looking externally) through strategic choices to strategic action (generally internal)

The Middle layer expands on the basic idea of strategic implementation within the business. It ensures that choices made are financially feasible

It looks at how strategically important good project management is

Note also that strategy may emerge from day-to-day activities (middle up), hence the double-headed arrow between the middle layer and top layers.

The Bottom layer of the model emphasises the importance of the human resource to all of the organisation and hence its success - both strategically and operationally.

Note the arrow up to strategy (bottom up approach)



Syllabus A2: Environmental issues affecting strategic position of an organisation

Syllabus A2a: Assess the macro-environment of an organisation using PESTEL.

Frameworks have been developed to try and cope with the complexity of the environment and challenge managerial thinking

Framework 1: PESTEL Analysis

The basic idea here is that this forces management to look at all aspects of the environment surrounding them - to help them understand their position within it - and what opportunities and threats may soon occur

Political	Tax policy; Foreign trade regs; Government stability
Economic	Business cycles; GNP trend; Interest rates; Money supply; Inflation; Unemployment; Disposable Income
Sociocultural	Demographics; Income distribution; Social mobility; Lifestyles; Consumerism; Education levels
Technological	Research spending; Government focus; New discoveries; Obsolescence rates
Ecological	Environmental protection laws; Using up of raw materials; cutting edge eg genetically modified goods
Legal	Monopoly laws; Employment law

Limitations

It's pretty useless as just a list, so models later on in the course are used to inform and guide analysis - i.e.. What is the possible effects of all these

Syllabus A2b: Highlight the external key drivers of change likely to affect the structure of a sector or market

Drivers for change can be either internal or external, but are specific to the context in which the organisation operates. Here we look at the external

The idea is that you look at the environment using PESTEL, and in the exam there will be some fairly obvious key drivers - such as an impending recession or technology going out of date

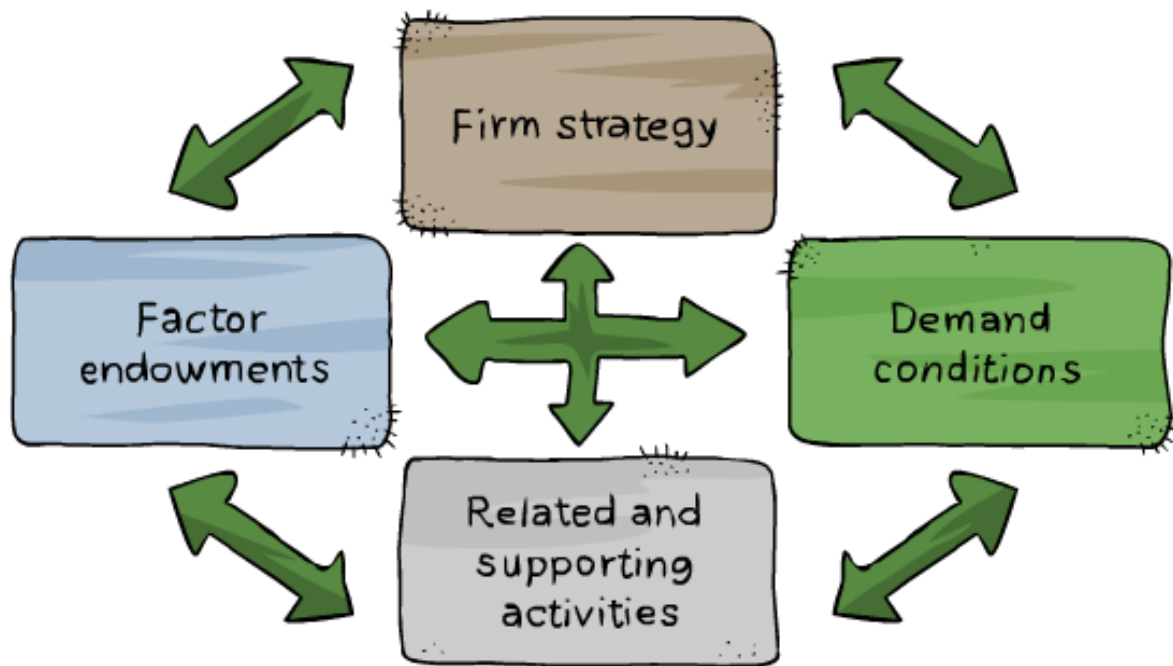
The drivers must be strategic to the future of the whole organisation, not just specific functions or departments. Localised priorities are often found to be in conflict with the overall best interests of the organisation.

Syllabus A2c: Explore, using Porter's Diamond, the influence of national competitiveness on the strategic position of an organisation

Framework 2: PORTER's DIAMOND

This framework is particularly important in GLOBAL competition contexts

This model suggests there are inherent reasons why some nations and some industries more competitive than others



Category	Definition	Examples
Factors of Production	Land, Labour, Equipment, Raw materials	Japan - difficult to sack labour - led to more automation Swiss - language ability - advantage in banking
Related & Supporting Industries	A successful industry leads to others (related)	Italy - leather goods and design
Demand conditions	Strong local demand	Japanese high expectations in electrical goods - gave that industry impetus
Firm strategy	Usual structure and competition	Germany - hierarchical management - reliability in engineering Local competition can really improve the industry as a whole 1) "High status" industries eg Investment banking in UK can lead to a competitive advantage

How has the Diamond been used?

National Level

Encouragement of competition by governments, rather than being protected from outside competition

Governments trying to foster high standards amongst its population

Organisational Level

Building on their countries advantages eg Benetton in Italy

Criticisms of the Diamond

- 1) More relevant to developed nations
- 2) Does not consider multinational companies



The Use of Scenarios

After identifying the different factors and drivers, they can be usefully built into scenarios

Scenario Planning

Particularly useful when preparing a long term view (minimum 5 years) with:

- 1) Few Key influences
- 2) High uncertainty surrounding them

e.g. Oil Industry (raw material availability, price and demand)

This will result in a limited number of logically consistent, but different scenarios to be compared

Benefits

- 1) Sensitivity analysis of different strategies (what happens if...)
- 2) Challenges the status quo - promoting more innovative approaches

How are scenarios prepared?

Step 1

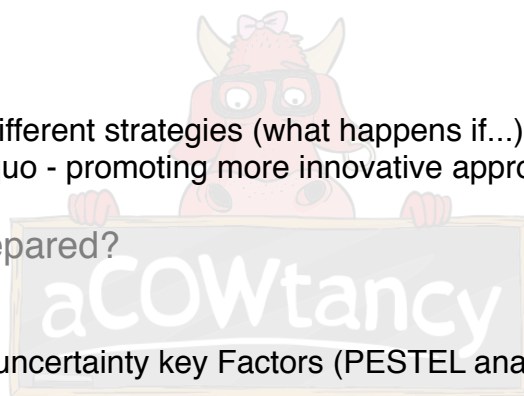
Identify high impact, high uncertainty key Factors (PESTEL analysis) - keep the numbers low

Step 2

Identify Different Possible futures in each factor

Step 3

Build scenarios of plausible configurations



Methods of Business Forecasting

Linear Regression

This models how dependent one variable is on another. For example **cost** (X) and **volume** (Y). These variables are called the **dependent** and **independent** variables.

The Dependent variable's value depends on the value of the other variable. E.g. Sales may be dependent on marketing spend

You would then need to determine the strength of the relationship between these two variables in order to forecast sales. For example, if the marketing budget increases by 1%, how much will your sales increase?

Regression Equation

This helps us predict the variable we require.

The formula for a simple linear regression is as follows:

$$Y = a + bx$$

where:

Y is the value we are trying to forecast (dependent)

"b" is the slope of the regression,

"x" is the value of our independent value, and

"a" represents the y-intercept. (the value we are trying to forecast when the independent value is 0)

A simpler way to picture this might be thinking of variable costs and fixed costs. We are trying to forecast TOTAL COSTS

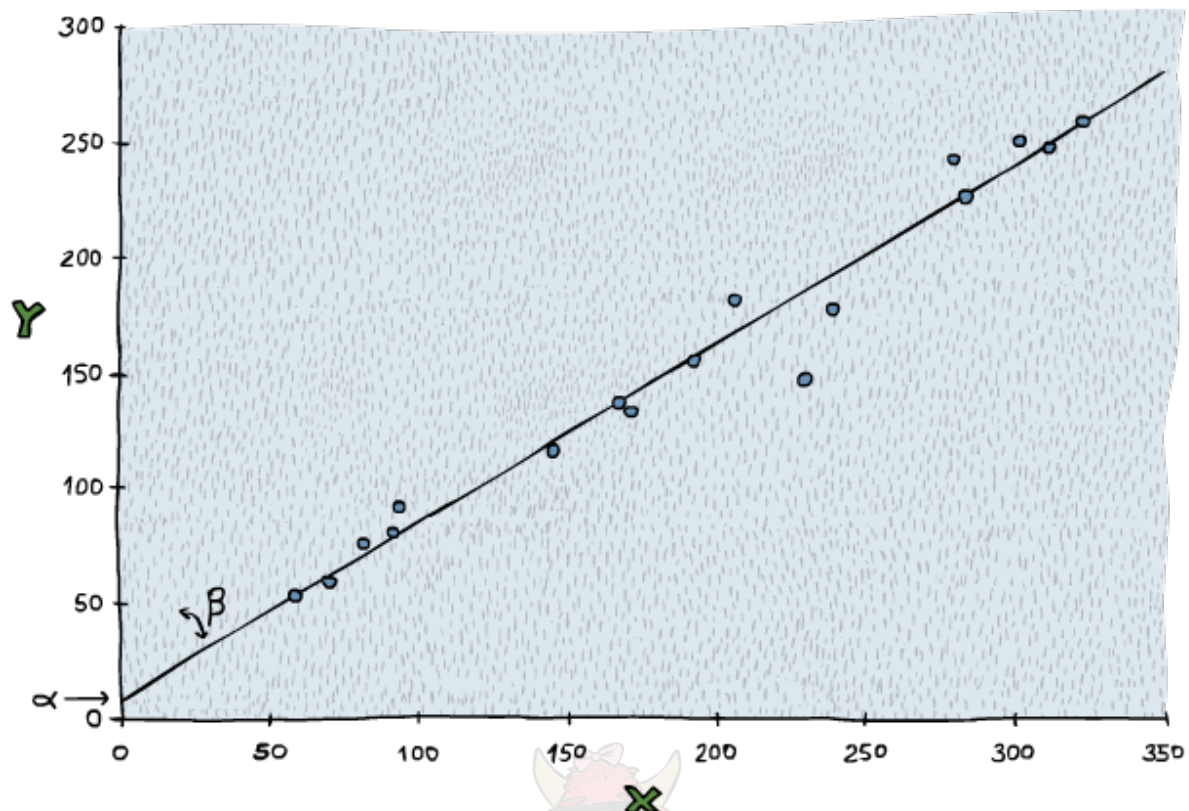
So Y = Total costs

b = Variable cost per unit

a = Fixed Costs

x = Amount of units produced

In this graph, the dots represent the actual data. Linear regression attempts to estimate a line that best fits the data, and the equation of that line results in the regression equation.



Once a linear relationship is identified and quantified using linear regression analysis, values for (a) and (b) are obtained and these can be used to make a forecast for the budget such as a sales budget or cost estimate for the budgeted level of activity.

Covariance

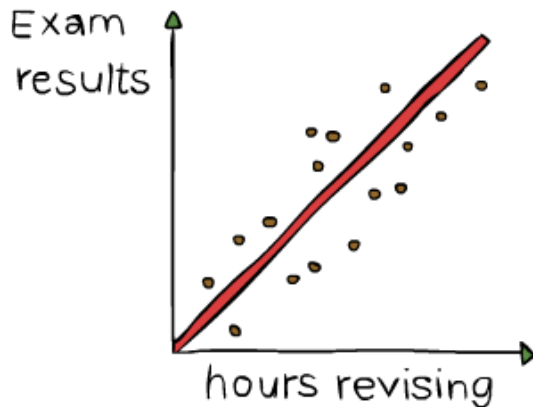
Covariance shows the direction of the relationship between 2 variables as well as its relative strength.

If one variable increases and the other variable tends to also increase, then we experience **positive covariance**.

If one variable increases and the other tends to decrease, then the **covariance** would be **negative**.

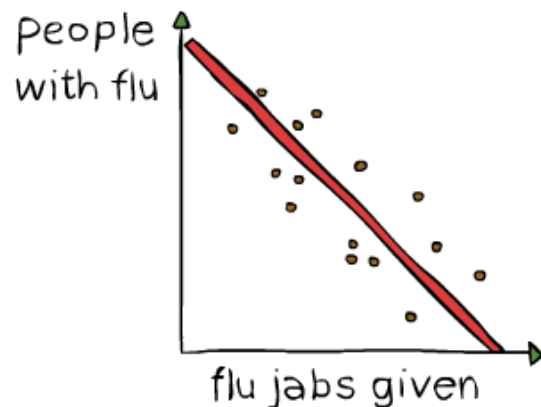
The actual number you get from calculating this can be hard to interpret because it isn't standardised. A covariance of five, for instance, can be interpreted as a positive relationship, but the strength of the relationship can only be said to be stronger than if the number was four or weaker than if the number was six.

Correlation



POSITIVE CORRELATION

- 🧐 People who do more revision get higher exam results.
- 🧐 Revising increases success.



NEGATIVE CORRELATION

- 🧐 When more jabs are given the number of people with flu falls.
- 🧐 Flu jabs prevent flu.

Correlation is concerned with establishing **how strong the relationship** is.

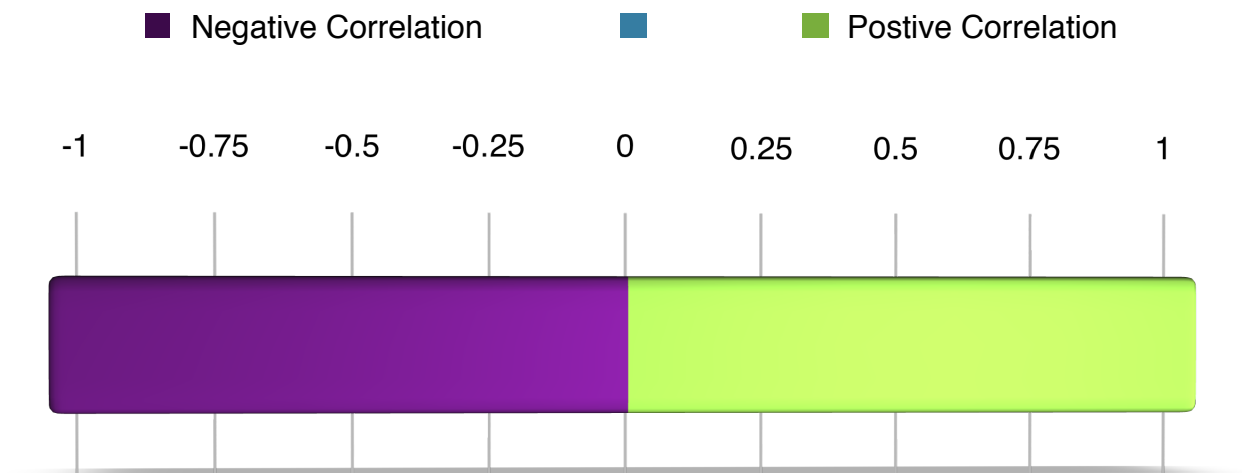
Perfect Correlation refers to a correlation where all pairs of values lie on a straight line and there is an exact linear relationship between the two variables.

Partial Correlation refers to a correlation where there is not an exact relationship, but low values of (x) tend to be associated with low values of (y), and high values of (x) tend to be associated with high values of (y).

They may also have low values of (x) associated with high values of (y) and vice versa (negative correlation)

No Correlation refers to a situation where the two variables seem to be completely unconnected.

Correlation Coefficient



The correlation calculation simply takes the covariance and divides it by the product of the standard deviation of the two variables.

The degree of correlation can be measured (r).

This gives a value of -1 and +1. A correlation of +1 can be interpreted to suggest that both variables move perfectly positively with each other, and a -1 implies they are perfectly negatively correlated.

Coefficient of Determination (r^2)

The coefficient of determination measures how good the estimated regression equation is and is designated as r^2 and has the range of values between 0 and 1. The higher the r^2 , the more confidence in the equation.

Limitations of Simple Linear Regression Analysis

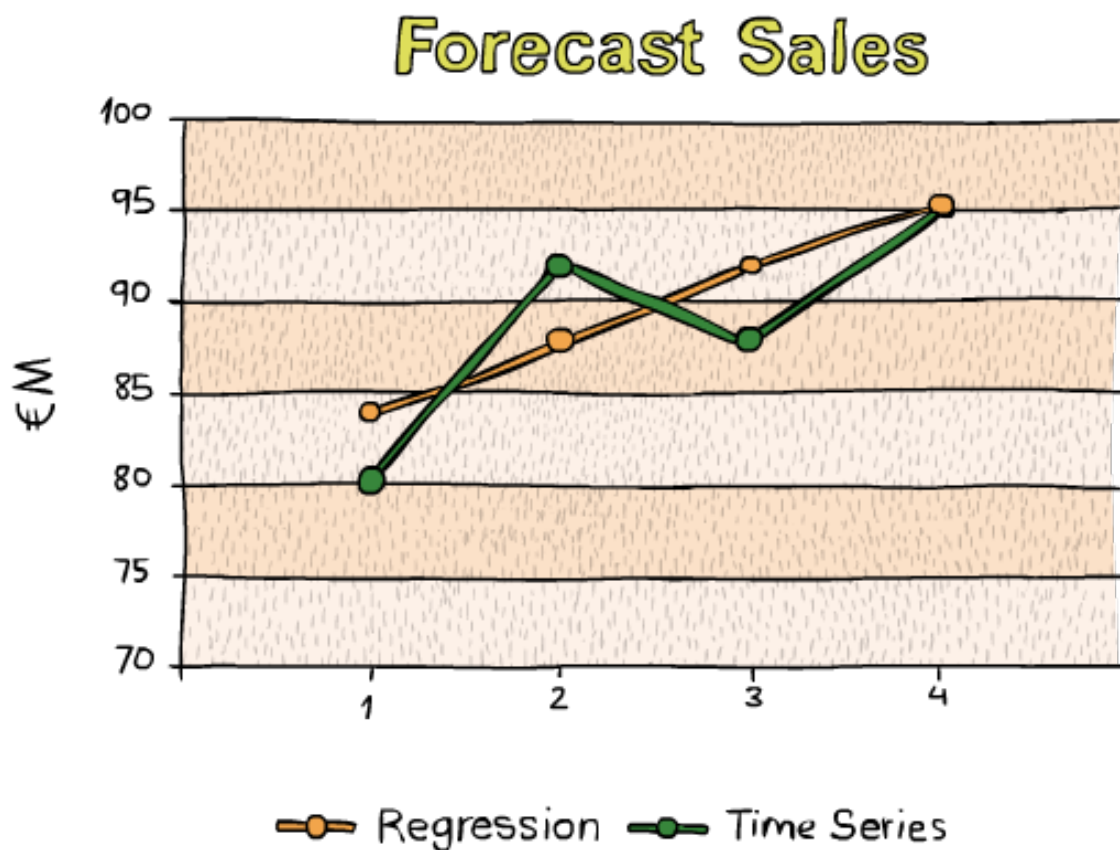
- 1) Assumes a linear relationship between variables;
- 2) Measures only the relationship between two variables where in reality many variables exist;
- 3) Assumes that the historical behaviour of the data continues into the foreseeable future;
- 4) Interpolated predictions are only reliable if there is a significant correlation between the data.

Time Series Analysis

Any data collected over time (e.g. sales volumes) can be used here

Time series forecasting methods are based on the assumption that past patterns in data, such as seasonality, can be used to forecast future data points. Such patterns allow for more curved than linear predictions.

Let's take a simple example. Over the past 6 years, a particular company has noticed that on month 12 the sales are usually 30% higher than typical monthly volumes. Thus it makes sense to forecast that month 12 for the forthcoming year will follow a similar pattern.



The above graph shows a scenario where linear regression has predicted an increase in sales of roughly €4M per quarter

However Time Series has taken into account past trends which suggest that Q1 sales are usually €4M below trend, Q2 are €4M above and Q3 are €4M below.

In time series analysis, the trend line itself may also be curved. Indeed it would only be linear as the above example, if the favourable and adverse seasonal affects cancel each other out.

Time Series Analysis Components

Time Series Analysis is made up of three main components used in different ways to produce future forecasts:

Average: the mean of the observations over time

Trend: a gradual increase or decrease in the average over time

Seasonal influence: predictable short-term cycling behaviour due to time of day, week, month, year, season and so on.

Forecast data might also be affected by cyclical movement (unpredictable long-term cycling behaviour due to the business cycle or product/service lifecycle) and random error (remaining variation that cannot be explained by the other four components)

Variations of time series analysis

Time Series Analysis offers 2 main variations:

Moving Averages

The forecast is based on an arithmetic average of a given number of past data points. This should make the trend become more obvious.

Let us take a simple example by considering the following data:

Period	1	2	3	4	5	6	7	8	9	10	11	12
Sales €M	47	50	51	48	48	52	52	49	50	52	54	50

It is difficult to immediately spot the trend as the figures appear to be constantly increasing and decreasing. However, a **moving average** (average sales from periods 1-4, 2-5, 3-6 etc) of this data using 4 period averaging would give the following result.

Moving Average	49.00	49.25	49.75	50.00	50.25	50.75	50.75	51.25	51.50
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Exponential Smoothing

A type of *weighted* moving average that allows inclusion of trends etc. This gives greater weighting to more recent data in order to reflect the more recent trend.

An **exponential smoothing** (average calculated by taking 4 times the 4th period, 3 times the 3rd period, 2 times the 2nd period and 1 times the 1st period and then dividing by a total of 10) of the data would present a similar picture.

Exponential Smoothing	49.20	48.80	49.90	50.80	50.40	50.30	50.80	52.10	51.60
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Time Series Analysis – Advantages and Disadvantages

A number of **advantages** and **disadvantages** have been identified for Time Series Analysis. These are summarised in the following table:

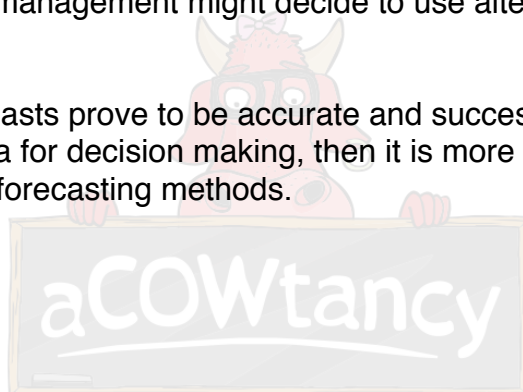
Advantages	Disadvantages
• Identifies seasonal variations	• Complicated
• Can be non-linear	• ‘Seasons’ may change
• Accurate	• Based on historical data
	• Less useful in the long term

Conclusion

Linear regression is most relevant when there is a linear relationship between the variables. On the other hand, time series analysis is most appropriate when seasonal variations causes curved forecasts.

The reliability of a forecasting method can be established over time. If the forecasts used, turn out to be inaccurate, management might decide to use alternative methods of forecasting.

On the other hand, if forecasts prove to be accurate and successful, providing management with key data for decision making, then it is more likely that management will continue to use the same forecasting methods.



Syllabus A3: Competitive forces affecting an organisation

Syllabus A3a: Discuss the significance of industry, sector and convergence

Types of Industry

Type	Explanation	Example
Fragmented	Small firms to small portions of market	Dry Cleaners; Hairdressers
Emerging	Just starting to develop	Space travel
Mature	Latter stages of lifecycle	Car manufacturers
Declining	Less firms, less sales	Coal mining
Global	Worldwide marketplace	Professional footballers

Convergence

This is where 2 or more industries come together and serve the same marketplace

When this happens, there is a huge impact on the industry

Apple went from producing computers, then to iPods then to iPhones. In the latter they effectively converged the phone, mobile computing and music sales industry together in some aspects

Apple are now seemingly headed in the direction of Televisions, this could have an enormous effect not only on the TV manufacturers but also the broadcasters, as different industries converge

In doing so - new markets emerge also eg The app store and the ability to “rent” TV and music. The renting of music is still an emerging industry and one which looks set to dominate the marketplace

Demand - led Convergence

Customers bring the industries together. eg Designers and developers. Here the geek and the stylish are merging into one - as this is what the customer wants. He doesn't want to deal with 2 separate people when creating his website

Supply - led Convergence

Suppliers bring the industries together. This happens a lot in the technology industries (see Apple example earlier) as they are aware of the possibilities before the consumer

Convergence of Markets

This is increasing worldwide, consumer needs are becoming more similar. Not only that they are changing in line with each other (across nations).

Consumers then become *global consumers* and may look for global suppliers

This means that brands, marketing etc can all be developed globally, with cost advantages in doing so

Cost Advantages of Globalisation

The obvious economies of scale where large volume, standardised products are required

Efficiencies from getting the lowest global cost suppliers (however think of recent move back from outsourcing customer service to highly skilled, cheap labour in India)

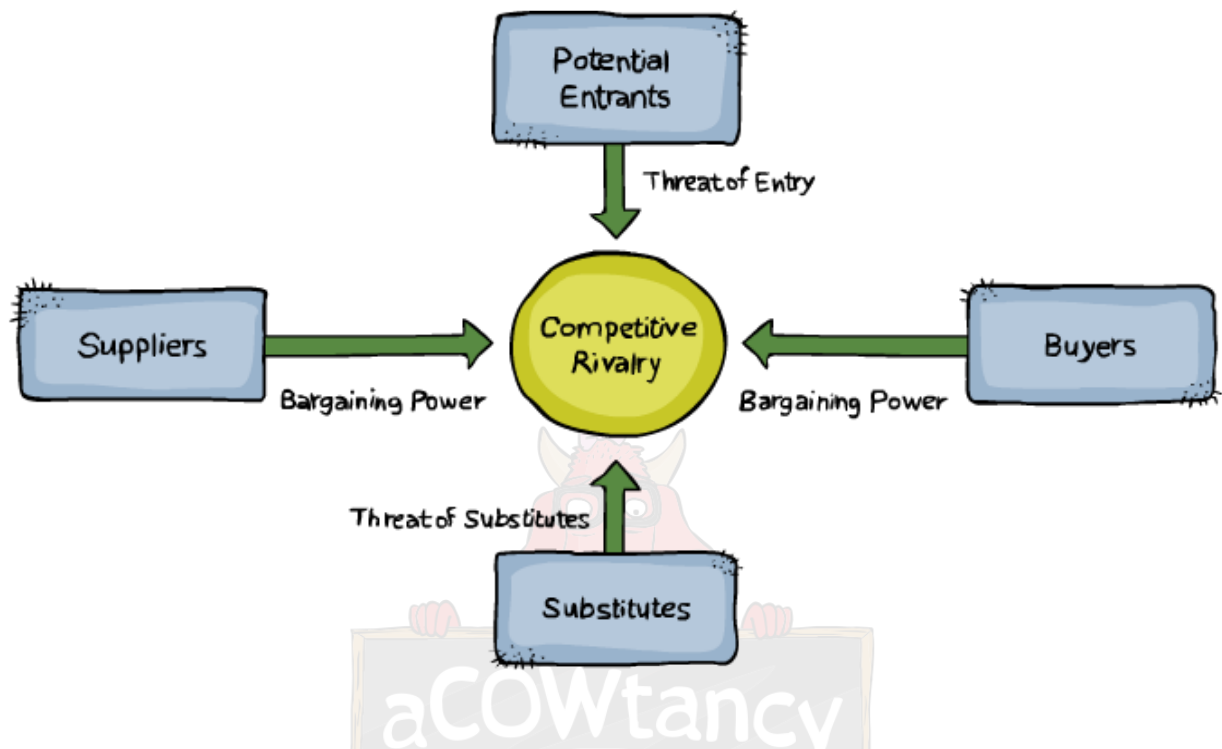
Government Policy towards globalisation

Technical standardisation between products due to freer markets and trade between countries, such as in the airline industry

Some countries actively encourage global operators into their markets eg The gaming industry in Malta



Porters Five Forces Analysis



Porter proposed this as a means of examining the competition at the SBU level (if this was performed at a more general level the variety of influences would be so big, it would reduce the value of the analysis)

Force	Higher when
Threat of Entry	No Economies of scale exist
	Little Capital Required to set up
	Poor Access to distribution channels
	Little Experience of the market
	Little Expected retaliation
	Few Legal restraints
	Poor Differentiation of own product

These barriers to entry differ in different markets, in the exam you need to look for:

- 1) What barriers exist
- 2) How powerful are they
- 3) Is the organisation trying to prevent the entrant effectively

Force	Can be reduced when..
Power of Buyers	Few buyers, high volume
	Suppliers are small and many
	Alternative suppliers (lack of differentiation)
	Item bought is high % of total cost (this makes buyers shop around and “squeeze” suppliers)
	Switching suppliers cheap and easy
	Backward integration possible (buyer acquires a supplier)
Force	Higher when..
Power of Suppliers	Few suppliers (eg NHS or BBC in UK)
	Switching is expensive and difficult
	Excellent brand
	Forwards integration possible
	Customers are fragmented

Some organisations (e.g. RCA!) do not supply tangible goods but a service. The availability of skilled staff is therefore crucial and a strong differentiator

A big problem in creating a strategy is how the power can be enhanced and make sure that in the “buyer-seller” relationship both win...

Force	Higher when..
Threat of Substitutes	Substitution of Product (eg Email v postal service)
	Substitution of Need (Phone made ipod unnecessary for some)
	Generic substitution of Need (Car v Holiday)
	Substitution of Need for Nothing (eg Cigarettes)

The availability of substitutes can place a ceiling on prices.

Key points to look for in the exam:

- 1) Does the substitute make our product obsolete?
- 2) Does the substitute bring a higher perceived benefit?
- 3) Can the buyer easily switch to the substitute?
- 4) Can the risk of substitution be reduced by building in “switching costs”

I read an interview with the head of Evernote about making its product free and then charging for a premium service if required.

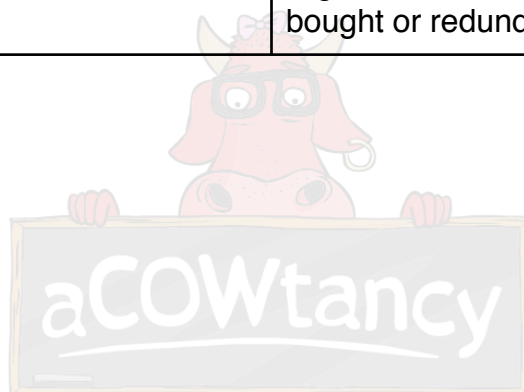
His thoughts were counter-intuitive but backs up the switching costs theory - he said that to grow the number of users who transfer to the premium package - you need to make the free package even better! (Mailchimp did a similar thing and reported equal success in their premium service take up)

The idea is that the free service becomes so useful that “switching” to another provider is unthinkable as you have used this one so long and have spent time organising your account (think facebook).

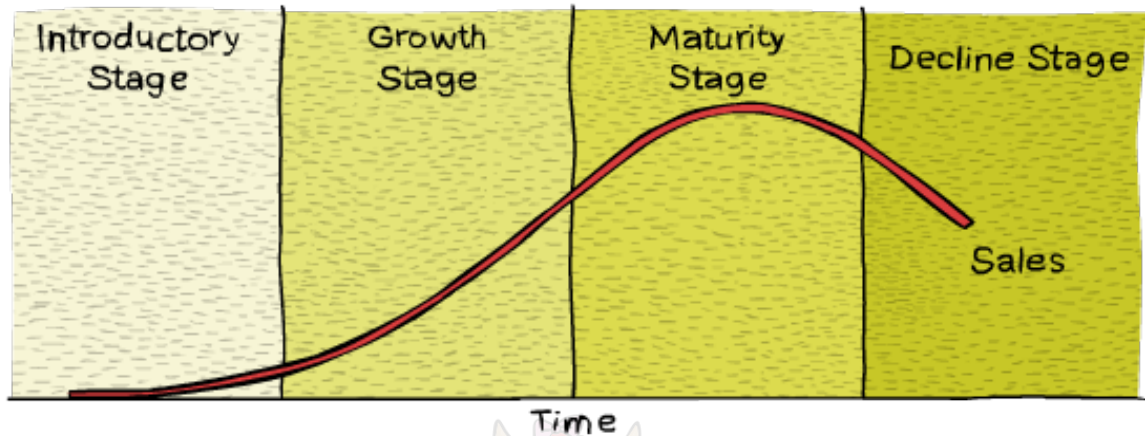
Therefore switching costs are now very high (if only in terms of time) and so now when you need something more you look to that brands premium service rather than elsewhere

Is the rivalry going to intensify and how can it be influenced?

Force	Higher when..
Competitive Rivalry	Of similar size
	Lifecycle of product (see diagram)
	More global customers in market
	High fixed costs (thus making turnover vital and can lead to price wars)
	Extra capacity only available in large increments
	Weaker companies are being acquired
	High exit barriers (eg specialised plant bought or redundancy costs)



Lifecycle model and Competition



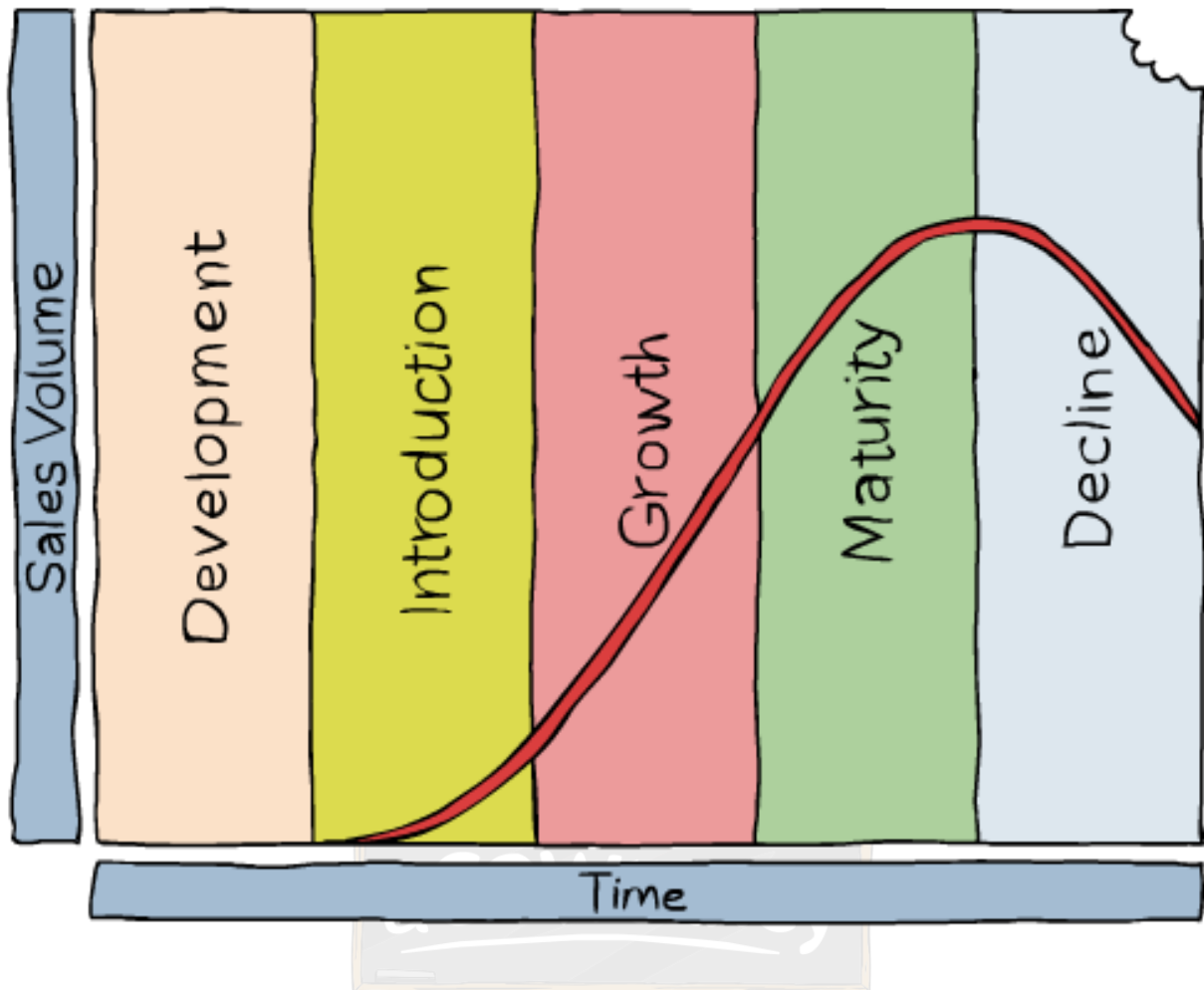
Intro = Few Competitors

Growth = Fight for market share is strong

Maturity = Weakest competitors die / Price-cutting for volume then emphasis on low costs

Decline = Exit of some competitors

Lifecycle Model & Cost Implications



At each phase, the sales and costs spent will be different, both in terms of volume and price

Stage	Cost Type
Development	R&D and set-up
Introduction	Marketing and Advertising
Growth	Costs to increase capacity; Learning effect and Economies of Scale; Working capital increases
Maturity	Marketing and product enhancement
Decline	Restructuring costs

The product lifecycle will help:

- 1) Decide when to enter / leave market
- 2) New products - see costs and sales over all its life
- 3) Existing products - assess where it is in the lifecycle and what the future prospects are

Cycle of Competition

This again tries to help understand competitors behaviour

“New initiative - copied and bettered by competition expected”

Effect

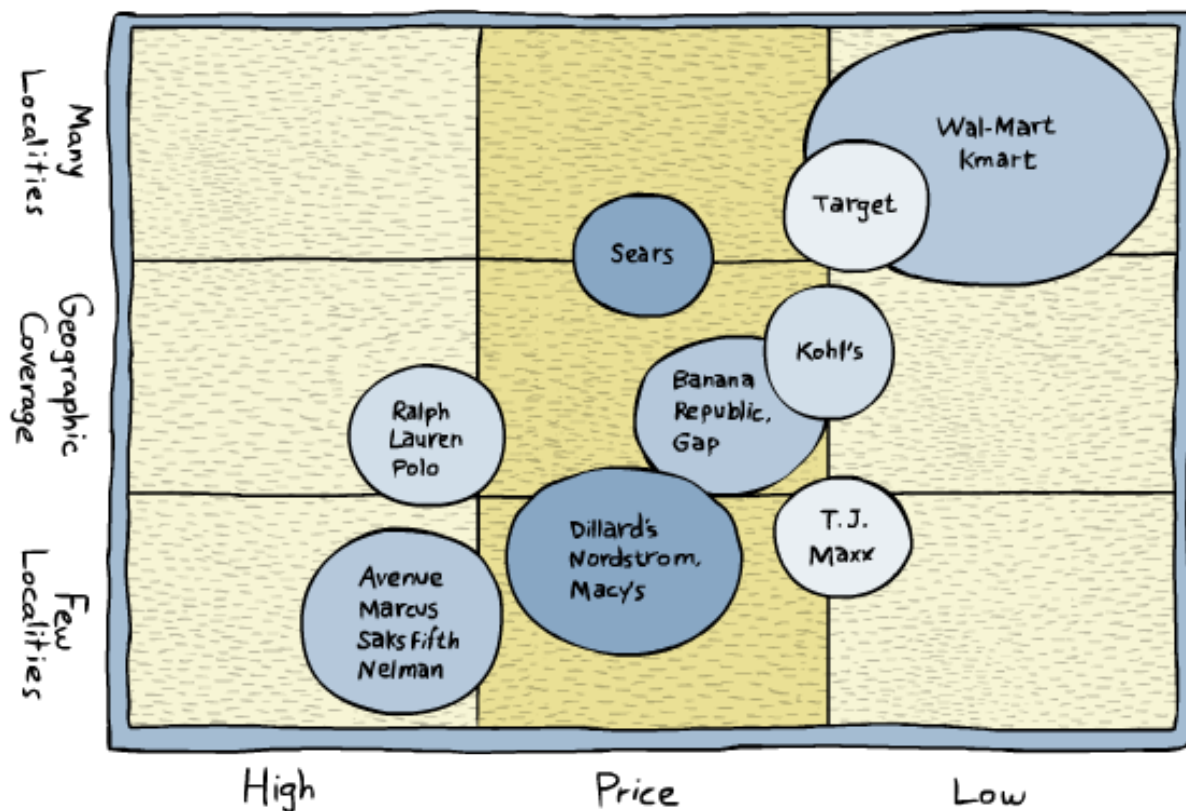
- 1) In a growing market - prices fall and quality improves
- 2) In the maturity phase - lower prices only at expense of quality (so lower quality)
- 3) In the decline phase - lower prices to the point of no profitability



Strategic Group Analysis & Competition

This identifies firms with similar strategic characteristics e.g.

- 1) Product and geography diversity
- 2) Distribution channels
- 3) Marketing effort
- 4) Quality of product
- 5) Cost position
- 6) Pricing policy
- 7) Ownership structure
- 8) Size
- 9) Relationship to influential groups (e.g. Government)



Why is this useful?

Well it is only useful when there are many competitors, but it helps in the following ways:

- 1) Helps identify direct competitors
- 2) On what basis the competitive rivalry will happen
- 3) Helps analysis of whether / if can move to other strategic group

4) Might identify opportunities elsewhere

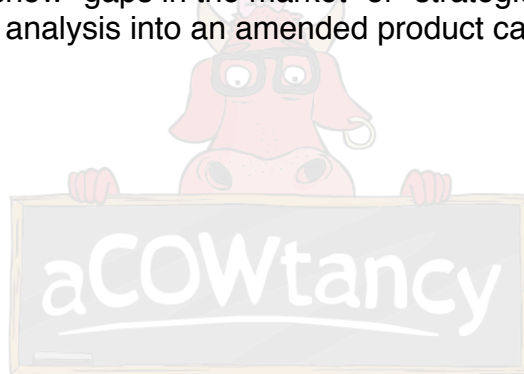


Market Segmentation Analysis

This identifies customers / organisations with similar characteristics and needs eg.

- 1) Geographical area
- 2) Quality preferences
- 3) Function
- 4) Consumer or business customer?
- 5) Social status
- 6) Age
- 7) Life-style

This type of analysis can show “gaps in the market” or “strategic spaces”. Once these have been identified, then analysis into an amended product can be conducted



Opportunities and Threats

SWOT analysis



S = Internal resource **STRENGTHS**

W = Internal resource **WEAKNESSES**

O = Environmental **OPPORTUNITIES** to increase competitive advantage

T = Environmental **THREATS** to decrease your competitive advantage

Notice how S&W are internal; O&T are external

Here we are concentrating on the opportunities and threats in the competitive environment

How can they be identified?

- 1) Look for changes in the environment
- 2) Look for strategic spaces (gaps in the market)
- 3) Use the PESTEL framework to ensure you've searched for O&T in the full environment

After the identification, the next step is to consider the competition

- 1) Think of how the 5 forces may change
- 2) Think of which area of the lifecycle the market is in - is it about to change area?
- 3) Is there an opportunity for a new market segment?

Syllabus A4: Marketing and the value of goods and services

Syllabus A4a: Analyse customers and markets

Different types (consumer, commercial customers & government) of customer have different needs

So organisations need to appeal to customer needs such as:

- 1) Quality
- 2) Design
- 3) Availability
- 4) Ease of purchase

Once they have analysed what they feel the customer needs - they can then market to those needs using the different elements in the Marketing Mix:

The Marketing Mix (4Ps)



Promotion - Including direct sales

Product - Design & quality; Delivery & service

Place - The channel of distribution

Price - including discounts



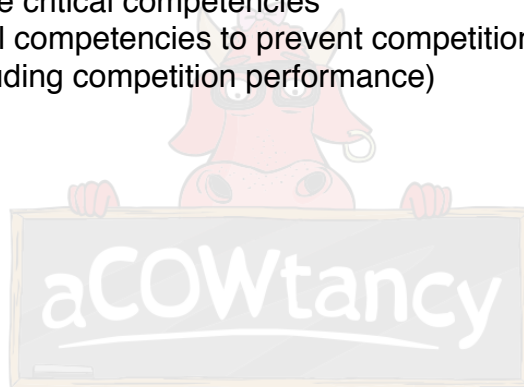
Critical Success Factors for products/services

CSF = Means vital to excel in, in order to out-perform the competition

- 1) Identifying CSFs and setting performance targets for them is crucial
- 2) CSFs must be matched to customer needs

A 6 step approach to using CSFs

- Step 1** Identify CSFs (Use marketing mix and customer needs to help here)
- Step 2** Identify critical competencies (what makes better performance in the CSFs)
- Step 3** Develop the critical competency to gain a competitive advantage
- Step 4** Identify KPIs for the critical competencies
- Step 5** Develop the critical competencies to prevent competition catching up
- Step 6** Monitor KPIs (including competition performance)



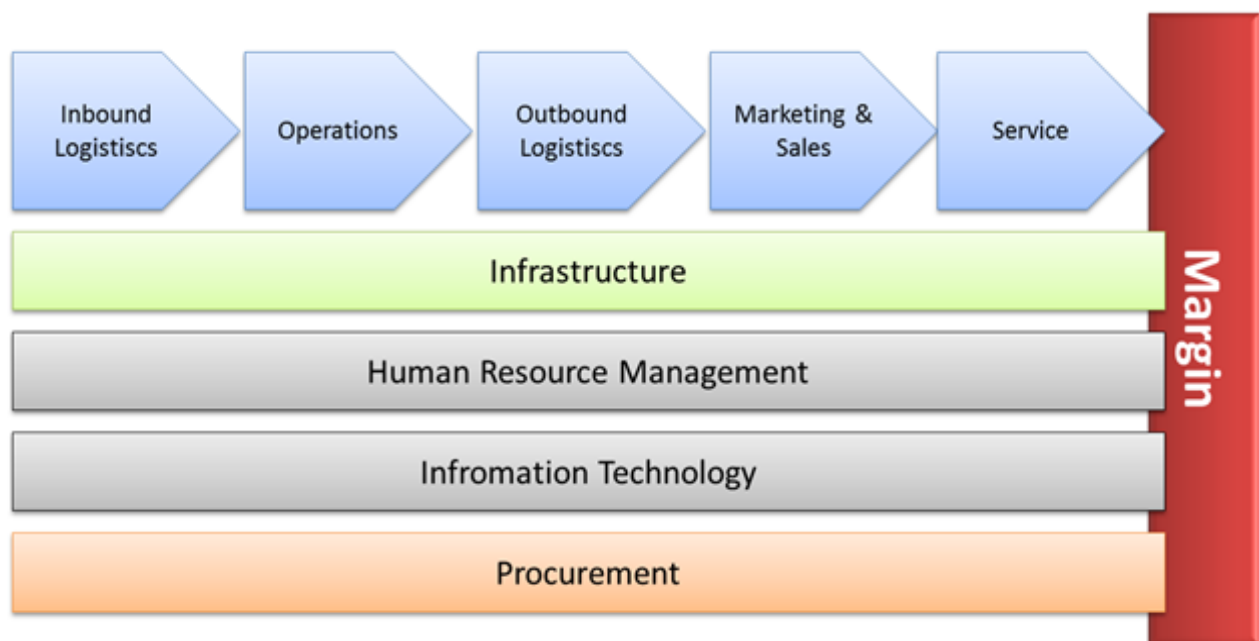
Analysing the Core Competences

Differences in company performance is seldom due to the difference in resources they have. Rather it is how these resources are used. The winners use resources together to form core competencies

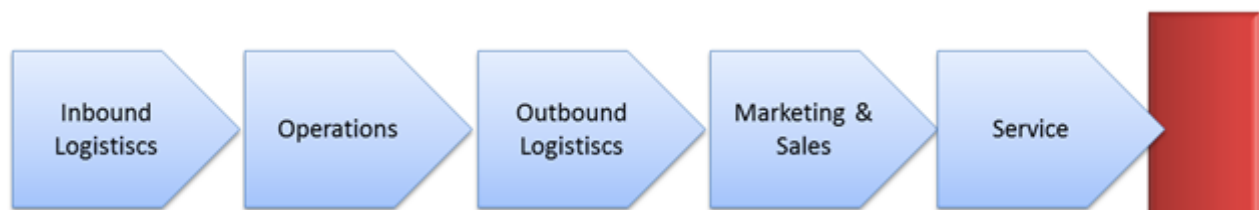
Remember that all competences need to be at a certain level (threshold competencies) but only some will become core (help out-perform the competition)

Value Chain Analysis

Reduces the activities of a firm to those which form a competitive strength



Primary Activities

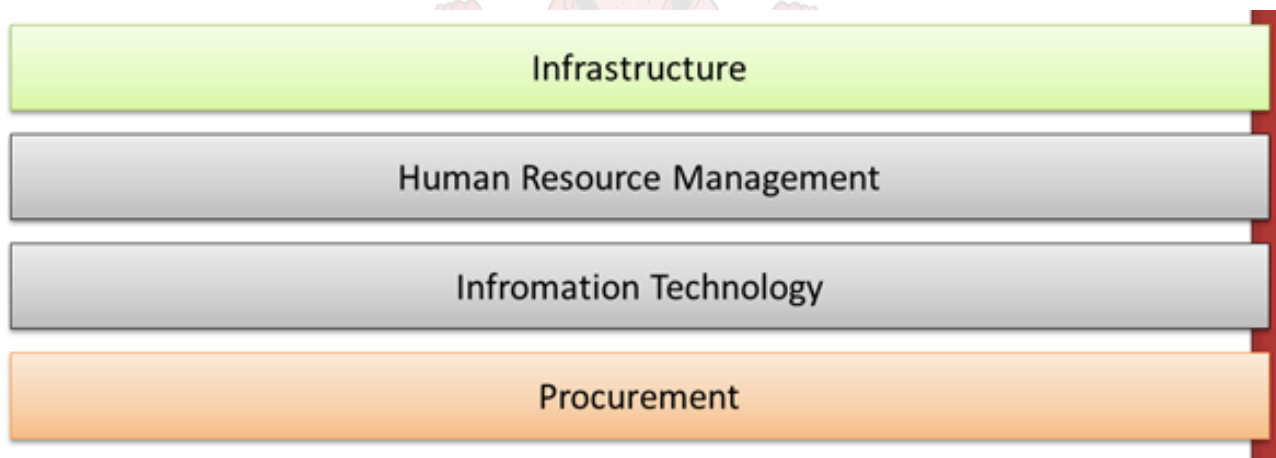


These create the product or deliver the service - and can be grouped into 5 areas:

Area	Function	Example
Inbound Logistics	Receiving, storing and taking it to the product	Stock control, Transport, Materials handling
Operations	Transform inputs into the product or service	Packaging, machining, assembly, testing
Outbound Logistics	Collection, storage and distribution of product to customer	Warehousing, transport
Marketing and Sales	How users are made aware of product and able to purchase it	Sales admin, advertising
Service	Enhances or maintains value of the product	Installation, repair, training

Each of these areas is linked to support activities

Support Activities



These improve the efficiency of the primary activities

Area	Function	Example
Procurement	Acquiring inputs into primary activities	Buying raw materials
Technology Deployment	Key technologies (including 'know how') for the product / process / resource	R&D, product design, process development, raw material improvements

Area	Function	Example
Human Resource Management	Across all primary acts. Determines whether firm is rigid or innovative	Recruiting, training, developing and rewarding staff
Infrastructure	Structures, routines, systems (again determines rigid or innovative)	Quality control

Adding Value

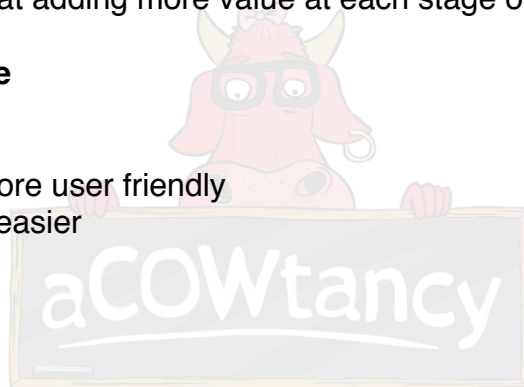
It is rare for 1 company to do all the value activities itself. Normally specialisation occurs and the company is just a part of a wider value system

In fact much of the value is created in the supply and distribution channels

Management should look at adding more value at each stage of the value chain

Methods of Adding Value

- 1) More features
- 2) Less features but more user friendly
- 3) Making a purchase easier
- 4) Promotion of brand
- 5) Speed of delivery
- 6) Reliable service
- 7) Innovation



Using Value Chain Analysis

Creating value for customers ultimately leads to creating value for shareholders

In your exam the model is used to provide a *strategic assessment of performance*

Assess each link in the chain by asking yourself the following:

- 1) How (if any) is value added here?
- 2) Is the value greater than those created by the competition?
- 3) Have added value techniques failed?

If there are no core competencies in the one area then consider outsourcing

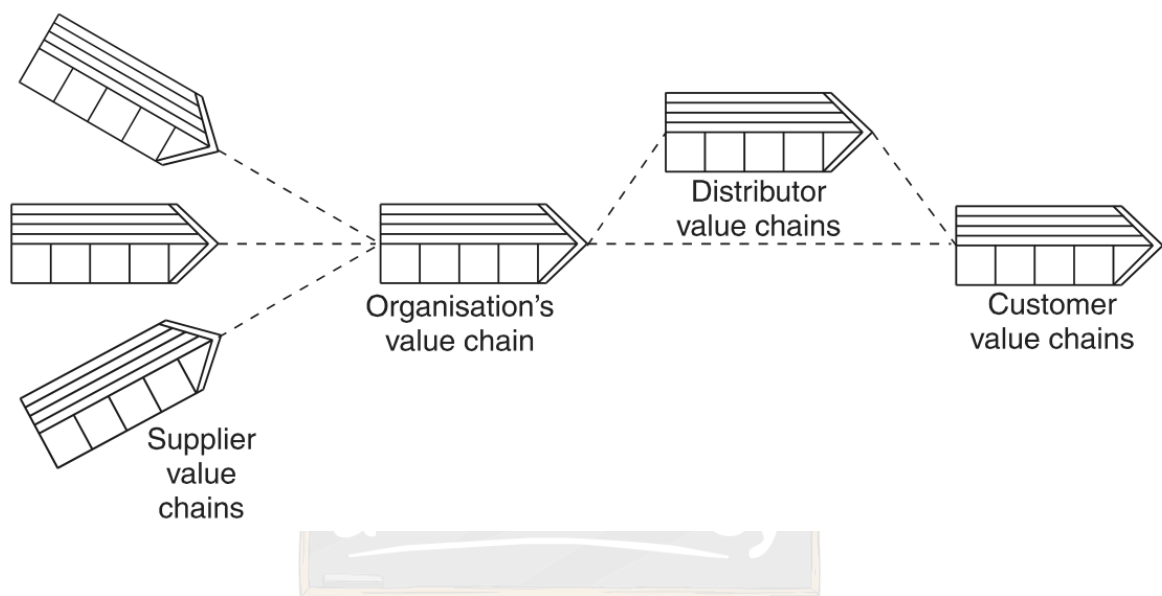
Syllabus A4d: Advise on the role and influence of value networks

Value Network

As mentioned earlier, normally a firm is one part of a wider value system - a value network

So a small company can create a large value network with lots of different suppliers and customers

Elements of a Value Network



All the individual players in a value network need to have good relationships with the others in the network to ensure it is adding as much value as possible

So, a value network is the links between an organisation and its partners in its external value chain. So, adding value doesn't stop at the organisation's boundaries

Benchmarking

Different Approaches

Approach	Description	Example
Internal	One internal unit to another	All divisions to best performing division
Operational	One operation to that in a different industry	Eg How to process online clothes orders against Amazon
Competitive	Own performance to most successful competitor (unlike the others must not let the other party know)	McDonalds v Burger King
Customer	Against what customers expect	

Methods of Competitor Benchmarking

As most competitors will not produce more information than they need to - the FINANCIAL STATEMENTS are often used..to compare

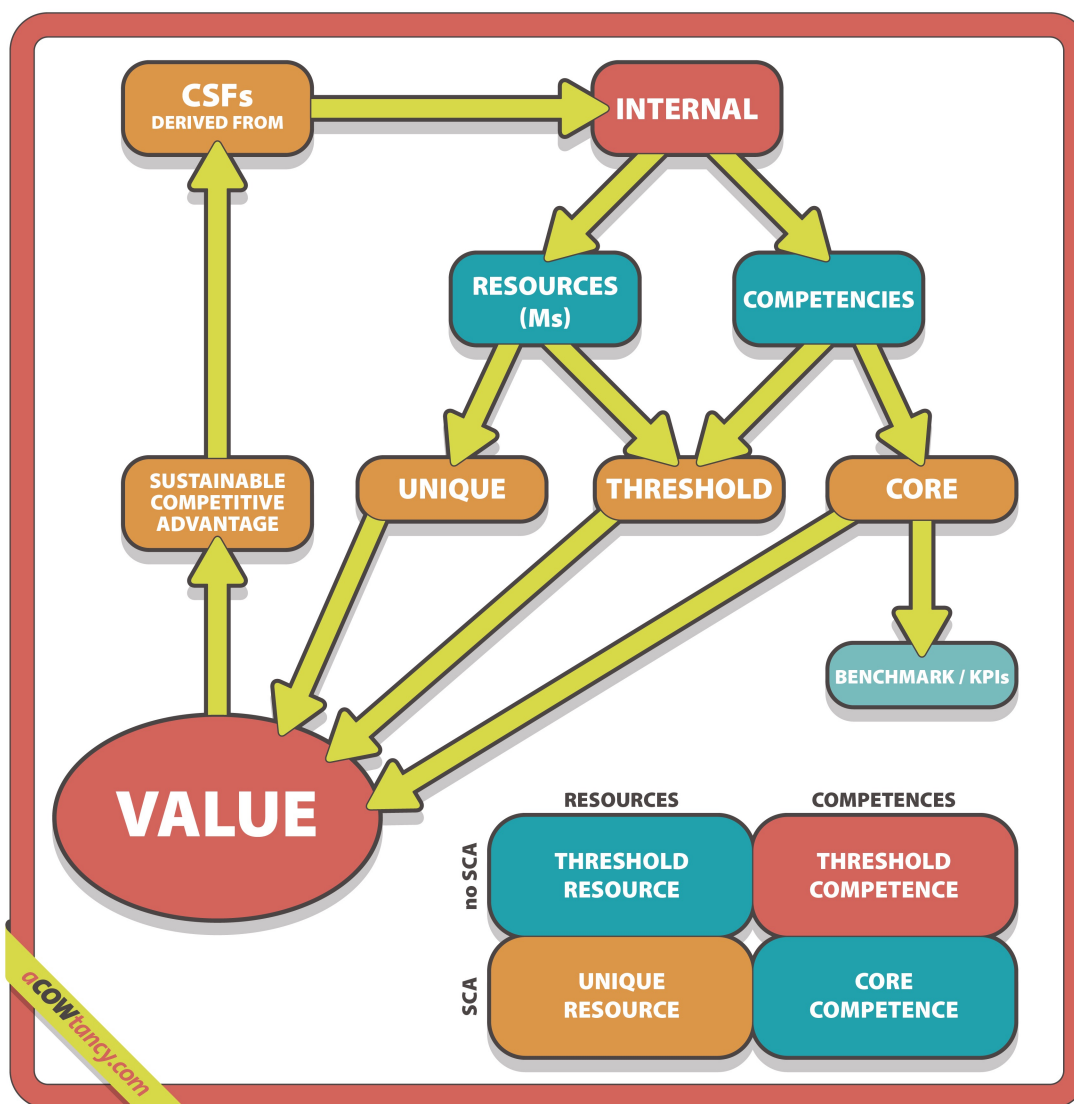
- 1) Financial performance (including segment analysis)
- 2) KPIs such as ROCE, GP etc

Then significant differences investigated and competitors products reverse engineered

Syllabus A5: The internal resources, capabilities and competences of an organisation

Syllabus A5a: Discriminate between strategic capability, threshold resources, threshold competences, unique resources and core competences

Resources - machinery, money, manpower etc



SCA = Sustainable competitive advantage

Strategic Capability

Using core competences to create a competitive advantage

Competitive advantage comes from the correct management of competences and resources

Resources

Threshold Resources

Without these an entity can't survive in the market

Unique Resources

Competitors don't have these and would find it difficult to acquire them. Therefore they can form a competitive advantage

Be careful as these can disappear over time (e.g. Lose key employee, patent expires)

Competencies

Threshold Competencies

The ability to provide a threshold product. Same competencies as competitors (or v easy to imitate)

Core Competencies

Ability to meet CSFs and so give competitive advantage

Sustainable Core Competencies

Keeping the core competencies long enough to achieve strategic objectives. So must be difficult to imitate

Cost Efficiency and Strategic Capability

Cost Efficiency

The level of resources needed to create value

Costs can be lowered by:

- 1) Economies of scale
- 2) Economies of scope (producing more products with the same materials)
- 3) Process design
- 4) Experience

Organisations should expect real costs per unit to decline over time - thus they must attempt to continue to produce value for money

Syllabus A5c: Discuss the capabilities required to sustain competitive advantage

Competitive advantage

- 1) Creates value that customers are willing to pay more for
- 2) Creates same value as competitor but at lower cost

Capabilities

The co-ordinating of resources and competencies to create competitive advantage. They are unique to each business

Dynamic capabilities

Create new capabilities by adapting and innovating

New product strategies

With the passing of the industrial age, and into a knowledge, technology led one - new products can be created quicker than ever before and reach more people quicker than ever before

The tools for doing so are not only cheap but often free

The effect of this is to *lower entry barriers to existing industries and markets*

With processes (and products) there is a temptation to keep adding new features, processes and products - often to the detriment of existing ones

New products and processes need to be well planned - with consideration on when to introduce new products, how best to extend the life of mature ones and when to abandon those in decline.

Different Strategies

Leader strategy

This means being at the cutting edge of new innovation and product. It means getting 'first mover advantage'

Many now believe that first mover advantage is over-estimated

It costs money and has lots of risk attached - Large R&D activity

Follower strategy

Alternatively some wait for others to innovate and then pounce to create something similar once they know there's a market - although of course a competitor will now have the market share to begin with

It does mean far less R&D - and less risk

A follower might have to license certain technologies from a leader (as is the case with many consumer electronics companies). However, research indicates that this can be a more profitable strategy than being an innovator, especially when the follower is able to learn from the leader's mistakes.

Corporate knowledge and Strategic Capability

‘Know how’ can form a competitive advantage, if it cannot be easily replicated. It comes from a combo of unique resources and core competences eg

- 1) Experience of industry
- 2) Employee knowledge
- 3) Management of people to encourage innovation
- 4) Management of IT systems

Analysing Strengths and Weaknesses

This can be done in 3 ways:

- 1) Value chain Analysis
- 2) Capability Profile - An assessment of the key processes needed to consistently add value
- 3) SWOT analysis

Management need a thorough understanding of the resources to perform a SWOT analysis

Preparing a SWOT analysis in the exam

SW - concerned with the core competencies

OT - concerned with environmental factors

In the exam , simply think “strategically” and write out the 4 lists from information in the case. Then you need to interpret it. This involves ranking the list in terms of priority.

Valuing Resources

The resources could then be valued using the VIRO approach

Value (does the resource provide a competitive advantage)

Imitable? How costly to imitate it

Rarity - how unique is the resource

Organisation - does the organisation utilise the resource fully



Syllabus A6: The expectations of stakeholders and the influence of ethics and culture

Syllabus A6a: Advise on the implications of corporate governance on organisational purpose and strategy

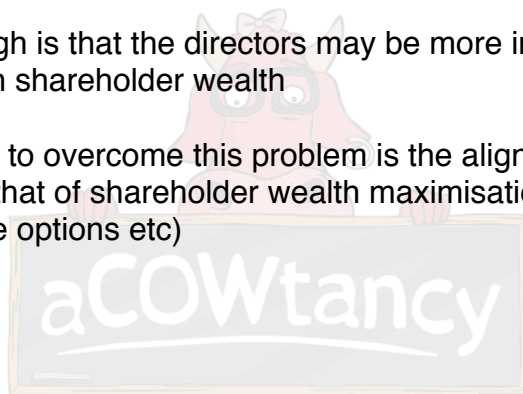
Managers and owners are often not the same people, hence there are conflicts of interest in how the firm should be run

Aim of Corporate Governance

To ensure that the managers run the company in the best interests of the shareholders. This means shareholder wealth maximisation through share price increase and/or dividends

The agency problem though is that the directors may be more interested in their own wealth and promotion than shareholder wealth

One method of attempting to overcome this problem is the aligning of the directors remuneration package to that of shareholder wealth maximisation (short and long term incentives, bonuses, share options etc)



Stakeholder Theory

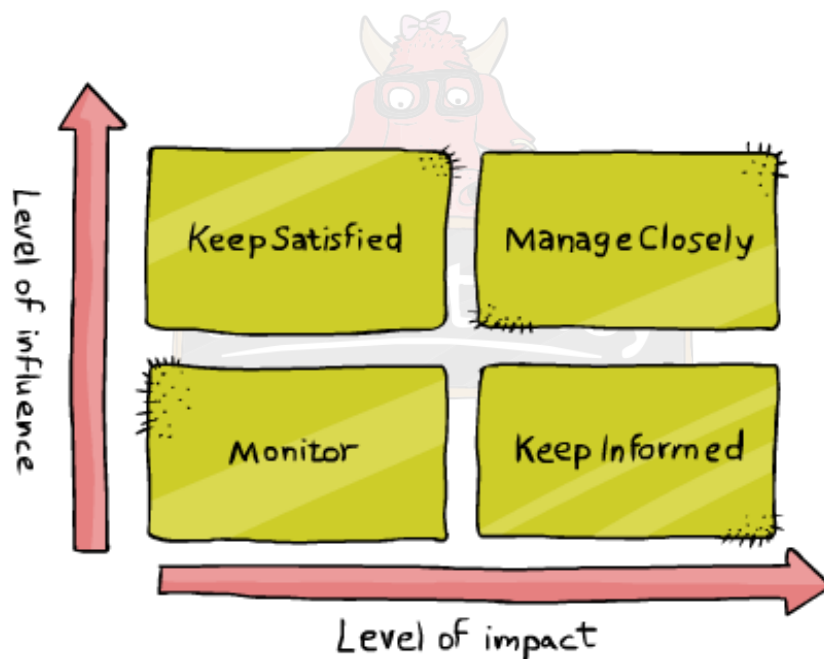
This does not accept that a company should be run purely for *shareholder* wealth maximisation. The welfare of other stakeholder groups should also be taken into account.

Stakeholders are any groups that affect or are affected by the company

The various stakeholders will have different objectives and often opposed to each other.

Therefore the company must make a compromise. To help it to do this the company will need to judge the power of the stakeholder group (and how interested the group are in the company)

This stakeholder 'mapping' can be shown in the Mendelow Matrix



Ethics

Ethics is more than a set of rules, in business it requires judgement

There are consequences of unethical behaviour

- 1) Fines
- 2) Reputation
- 3) Illegal

Ethical Codes

Ethical codes are often used by large businesses to guide all involved, and reduce the risks of unethical behaviour

For them to be effective they must be:

- 1) Embedded throughout the business
- 2) Strongly endorsed from the top
- 3) Training offered
- 4) Kept up to date
- 5) Rewards and penalties for following/not following it

Ethical Stance of a firm



Stereotype	
1	Only interested in short term shareholder wealth. Will do the minimum necessary for other stakeholders
2	Interested in long term shareholder wealth and well managed relationships with other stakeholders
3	Other stakeholders interests should be more explicitly incorporated. Interested in more than just profits. Go beyond minimum corporate governance rules
4	Society shaping firm. Ideological. Easier for owner managed businesses

Corporate Social Responsibility

This means looking after the stakeholders beyond what the law requires:

- 1) Treat Employees fairly and with respect
- 2) Show integrity towards suppliers, customers etc
- 3) Sustain the environment for future generations
- 4) Be a good neighbour

Implications on Strategy

- 1) Formal Environmental policies
- 2) Formal employment policies
- 3) Ethical codes in dealing with suppliers
- 4) Involvement in the community

It has been suggested that embedding CSR into a business can be a competitive advantage - as it mirrors the customer expectations

How socially responsible a company is depends on their stance of course as to how responsible they feel they ought to be

From your P1 studies you may remember how this can range from being a pristine capitalist to a deep environmentalist - and all points in between!

The Cultural Context

Culture affects all aspects of a business. It is their basic assumptions, beliefs and guides its attitude towards stakeholders

The assumptions are 'taught' to employees joining through training and experience

Edgar Schein: 3 Levels of Culture

Outer Skin (or Values)

What an visitor sees when visiting the company. The building design, the way the employees dress and the manner in which they interact

This can be a very 'general' ethical stance and is often seen in the mission statement

Inner Layer (or Beliefs)

Common views on specific issues shared by employees. This is far less 'general' than the outer skin, as it refers to SPECIFIC issues eg:

- 1) Trading with politically oppressive countries?
- 2) Trade with companies with poor environmental records?

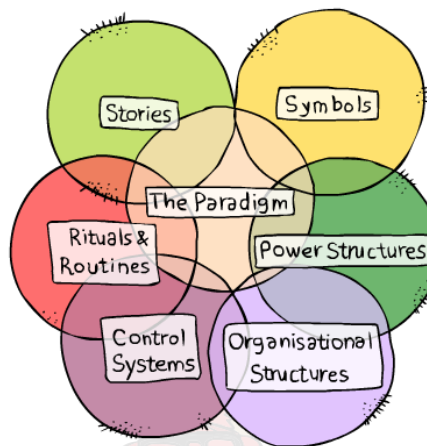
The Heart (or Paradigm)

The taken for granted assumptions and so rarely discussed. The 'core' culture of the organisation

Not written down like in mission statements and ethical codes

Changing corporate culture is very difficult. With effort the outer skin can be changed but it is very difficult to change the heart

The Cultural Web (Johnson and Scholes)



	Questions
Stories	What core beliefs do they show? Do the beliefs go through all levels? Do they relate to strengths or weaknesses? What norms do the mavericks deviate from?
Routines & Rituals	Which are emphasised? Which would look odd if changed? What behavior do they encourage?
Organisational Structure	How organic is it? How flat is it? How informal is it?
Control Systems	What is most closely controlled? Is the emphasis on punishment or reward? Are there many?
Power	What are the core beliefs of the leaders? How strongly held are the beliefs? What prevents change?
Symbols	What jargon is used? What strategy is highlighted publicly? What status symbols are there?

	Questions
Overall	What is the dominant culture? How easy is this to change?

Syllabus A6g: Advise on how organisations can communicate their core values and mission

Communication of Core Values

Mission Statement

A general statement of the overall purpose of the firm

They can be the basis for strategy decisions

Good mission statements have:

- 1) Vision (likely to persist for a while)
- 2) Show main intentions and why firm exists
- 3) Show main activity and position it wishes to attain
- 4) Show key values
- 5) Capable of being lived up to

Often criticised as being bland and generic, but they need to be to ensure most stakeholders can subscribe to it

The role of the mission statement

This depends on who drives the strategy largely and what their ethical stance is..

Strategy Drivers	Legal Minimum	Ideological
Internal Managers	Secretive	Evangelical
External Stakeholders	Regulations	Political

Communicating values

- 1) Leadership example - follow what management do
- 2) Conscious effort to change all aspects of the cultural web
- 3) Formally via codes or in house magazines

4) Through a reward / punishment structure



Purpose and content of an integrated report

To explain to providers of financial capital how an organisation creates value over time.

It benefits all stakeholders interested in an organisation's ability to create value over time, including employees, customers, suppliers, business partners, local communities, legislators, regulators, and policy-makers.

The 'building blocks' of an integrated report are:

- Guiding principles – these underpin the preparation of an integrated report, informing the content of the report and how information is presented
- Content elements – the key categories of information, presented as a series of questions

Guiding Principles

- Strategic focus and future orientation – insight into the organisation's strategy
- Connectivity of information – showing a holistic picture of the combination, inter-relatedness and dependencies between the factors that affect the organisation's ability to create value over time
- Stakeholder relationships – insight into the nature and quality of the organisation's relationships with its key stakeholders

Also being concise, reliable, consistent, comparable and complete

Content Elements

Organisational overview and external environment – What does the organisation do and what are the circumstances under which it operates?

Governance – How does an organisation's governance structure support its ability to create value in the short, medium and long term?

Business model – What is the organisation's business model?

Risks and opportunities – What are the specific risk and opportunities that affect the organisation’s ability to create value over the short, medium and long term, and how is the organisation dealing with them?

Strategy and resource allocation – Where does the organisation want to go and how does it intend to get there?

Performance – To what extent has the organisation achieved its strategic objectives for the period and what are its outcomes in terms of effects on the capitals?

Outlook – What challenges and uncertainties is the organisation likely to encounter in pursuing its strategy, and what are the potential implications for its business model and future performance?

Basis of preparation and presentation - How does the organisation determine what matters to include in the integrated report and how are such matters quantified or evaluated?



Syllabus B: STRATEGIC CHOICES

Syllabus B1: The influence of corporate strategy on an organisation

*Syllabus B1a) Explore the relationship between a corporate parent and its business units
The influence of corporate strategy*

Parents and SBUs

An SBU is a strategic business unit.

There are three main levels of strategy in an organisation:

1. **Corporate:** the general direction of the whole organisation
2. **Business:** how the organisation or its SBUs tackle particular markets
3. **Operational:** specific strategies for different departments of the business

1. **Corporate** strategy is concerned with the overall purpose and scope of the organisation and how value will be added to the different parts (business units) of the organisation.

It will take into account expectations of stakeholders and resources available as a whole

2. **Business-level strategy** is about products and markets dealt with by one business unit.

So it might be a small, independent organisation where business and corporate strategy merge with one another or

Part of a larger organisation where SBU level strategies must be co-ordinated with corporate strategy and with each other

3. **Operational strategies** are concerned with how the component parts of an organisation deliver the corporate and business level strategies in terms of resources, processes and people.

Many large businesses consist of a corporate parent and a number of SBUs.

So, a corporate parent has no direct contact with the buyers or competitors, it only manages the overall scope of the organisation in terms of:

- Diversity of products and markets
- International and geographic diversity

Diversity of products and markets

The corporate parent controls product and market diversification because of:

Synergies in marketing, operating, NCA investments and using common corporate management skills

Increased market power via a high margin business subsidising a low margin one, enabling a price advantage and achieve dominance to recover these earlier losses.

The environment (maybe through new technologies available) wants new products so diversification here protects existing shareholder value

Risk spreading (across more products) although shareholders can manage their own risk exposure better themselves by diversifying their own portfolios.

Be careful though, the expectations of powerful stakeholders can lead to inappropriate strategies generally. The pressure for growth can lead to ill-considered diversification.

Globalisation

This means huge numbers of suppliers exporting to, or trading in, a wide variety of places.

However, the existence of global markets should not be taken for granted in terms of all products and services, as:

- Some services are still subject to trade restrictions
- Immigration - There is a disparity in skills between different countries and restrictions on immigration
- The market for some goods is much more globalised than for others.
 - (i) Upmarket luxury goods may not be required or afforded by people in developing nations.
 - (ii) Other goods are needed almost everywhere e.g..Oil

Here are some types of global business:

Exporting - Simply expands your current market and is relatively low risk

Overseas branches - This is the next step, often, when turnover is large enough.

Overseas production - maybe for cheaper labour and it reduces exporting costs.

Multi-national Companies - fully functional organisations being set up overseas. This reduces exchange rate and political risk but economies of scale may be lost

So globalisation integrates learning, skills and competences to achieve global efficiencies while retaining local responsiveness.

Here's 6 reasons for globalisation:

1. Economies of scale
2. Markets are converging - enabling a standard product in many markets
3. Avoiding currency risk by setting up businesses abroad
4. Using home countries natural competitive advantage (Porters Diamond) and transferring skills abroad
5. To compete with other players following an international strategy

6. To overcome import/export regulations

Strategy	
International Scale Operations	Standard product made in selected countries. This getting economies of scale and minimising distribution costs. Head office probably in home country
International Diversity	Value is added in the different countries. Therefore may be branded differently there. Local variations made. No attempt at global recognition
Globalisation	Standard product and brand name, but produced in the various different countries. Nothing centralised

	Multinational	Global
Strategy	For each foreign market separately	Worldwide strategies
Products	Adapted for each market	Standard with minimal variations
Marketing	Adapted to each culture	Uniform with minimal variations
Locations	Based on individual potential profitability	Based on ability to contribute to global strategy
Culture	Often that of the head office country	Globalised. Management from different countries

Syllabus B1d: Discuss a range of ways that the corporate parent can create and destroy organisational value

Syllabus B1e: Explain three corporate rationales for adding value – portfolio managers, synergy managers and parental developers

In order for the indirect structure to be of benefit then the parent company must add value or else it is just another centre

So, how can the Parent add value?

Role	Function
Portfolio manager	SBUs manage themselves. They are simply investments for the parent who must manage them better than shareholders could themselves directly
Synergy manager	Economies of scale and sharing of knowledge, therefore the SBUs cannot be widely diversified. Persuading the SBUs to cooperate can be tricky
Parental Developer	Parent teaches the SBU. Good where the SBU is not fulfilling potential or P has specialist knowledge

How can the Parent destroy value?

Basically when P's costs are greater than the benefits gained from its role..

Role	Dys - Function
Portfolio manager	It's choices of SBU worse than the shareholders would have been
Synergy manager	Not enough synergies realised
Parental Developer	The knowledge didn't benefit sufficiently as there wasn't a good enough 'fit' between P and SBU

Syllabus B1f: Explain and apply the following portfolio models (the BCG growth/share matrix, public sector matrix, the parenting matrix or Ashridge Portfolio display) to assist corporate parents in managing their business portfolios

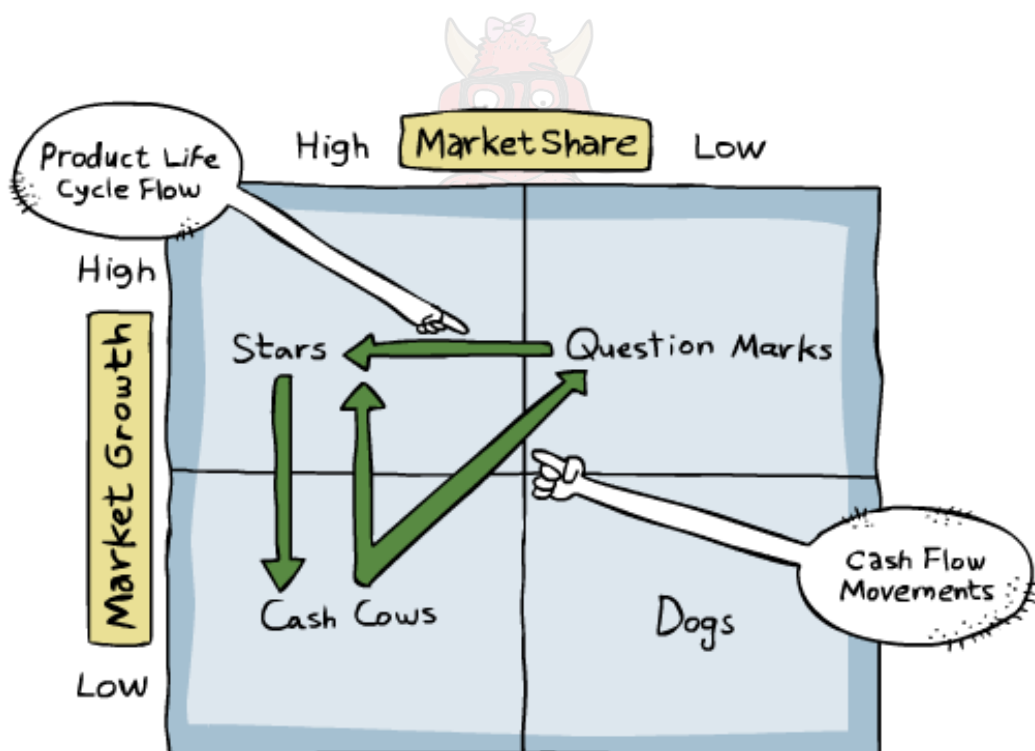
SBU as a portfolio

The aim is to have a range of SBUs and that those that succeed outweigh those that fail. Choosing the SBU to invest in (or which to sell) depends on the different markets in which they exist and what our strategic position in them is

There are 3 models to help us:

1. Boston Consulting Group Matrix (BCG matrix)

This allows a company to select the best strategy for SBUs whilst also staying in line with overall corporate strategy



Market Growth

Above 10% = high
Below 10% = low

Market Share

Sales as % of biggest competitor's sales

Category	Description	Treatment
Question Marks (problem child)	Requires big investment to increase share, needs investment still to just remain profitable. Possible withdrawal from market if loss making.	Choose between: 1) Investing heavily to increase share 2) Abandon
Star	The market leader. Big investment needed to keep it there. At best break even. Over time become more profitable (cash cow of the future)	Aggressive marketing to maintain/ increase market share R&D and new equipment probably needed Financed from cash cows until they become self sufficient
Cash Cow	Market leader, high profits due to high economies of scale, and efficiency through experience. No new competition as market is in decline. Provides finance for stars and question marks	Defend market share Very limited innovation and R&D spending
Dog	Unlikely to increase share. Should be closed eventually though may currently be profitable	Focus on short term future only Very risky to try and turn it around

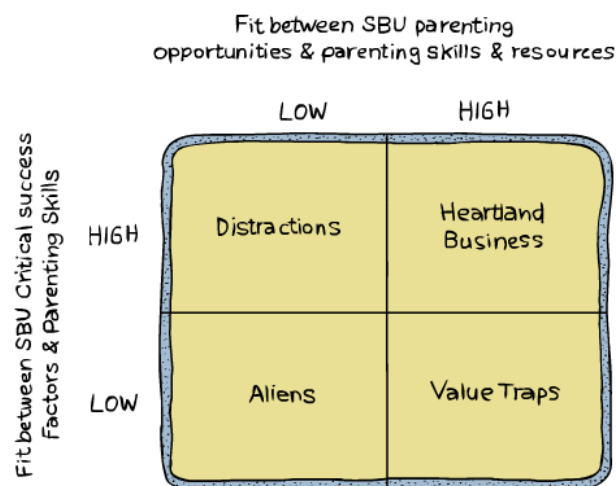
Weaknesses of the BCG

- 1) Assumes that a small market share is not a sustainable situation - Porsche might disagree!
- 2) There are other factors to consider apart from market size and share - such as strength of the competition, brand strength etc
- 3) Difficult to calculate exactly what the market size and share is
- 4) High and low market share is difficult to define
- 5) Growth rates around 10% become problematic - fall below or inch above and suggested treatments are massively different

2. Parenting (Ashridge Portfolio) Matrix

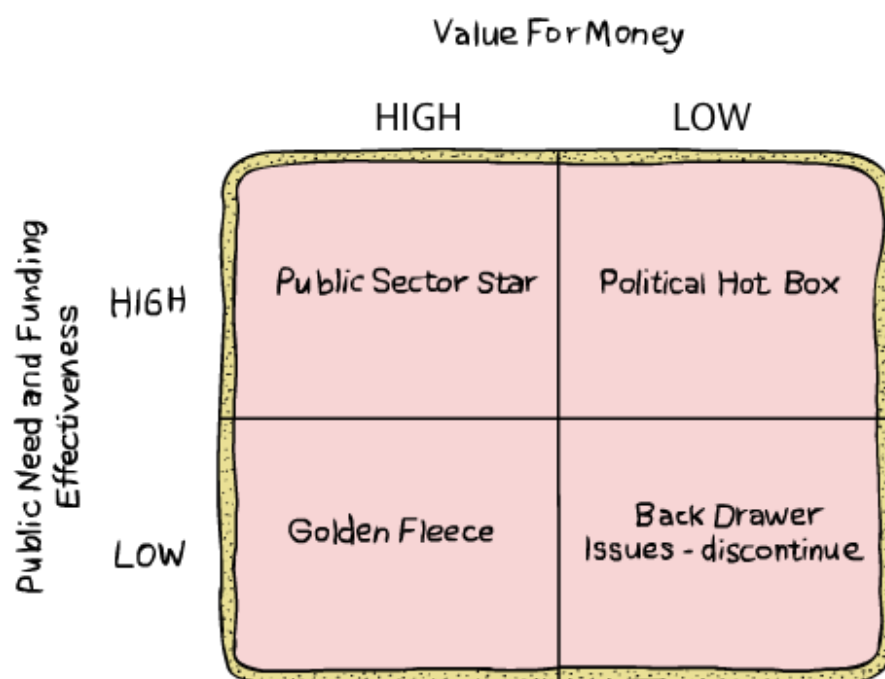
Parents can add value (synergies, expertise, risk management) or destroy value (extra costs, red tape and delays) for SBUs

It depends how good the 'fit' is between the Parent and the SBU



Category	Description	Treatment
Heartlands	Parent can add value without risk of harming SBU	Core of the future corporate strategy
Distractions / Ballasts	Parent understands SBU well but can do little to add value SBU obtains no value from being in the group	Needs a light touch from the parent
Value Traps	Parent can add value but may do more harm than good	Only focus if can be moved to heartlands To do this - Parent must be willing to learn SBU business - not a 'we know best' attitude
Aliens	The misfits. Parent has poor fit with the SBU and can do little to help anyway	Dispose of them

3. Public Sector Portfolio Matrix



Category	Description	Treatment
Public Sector Stars	High public need and well funded. Attractive also to the public	Keep funding Examples difficult to find due to differing views of the public
Political Hot Boxes	Very popular but ineffectively run - perhaps due to being new or inadequately resourced	Difficult decision as whether to fund more Some NHS services
Golden Fleece	Low need, but well resourced and effective	Viewed as over staffed - at risk of future budget cuts
Back drawer issues	Ineffective, no public or political support	Dispose of them

Meeting the needs of the public is obviously subjective and so is a major weakness of the model

Also effectiveness may simply be dependent on level of funding - and this funding level the only difference between the political hot boxes and the public sector stars

Syllabus B2: Alternative approaches to achieving competitive advantage

Syllabus B2a: Evaluate, through the strategy clock, generic strategy options available to an organisation

Alternative ways to getting a competitive advantage

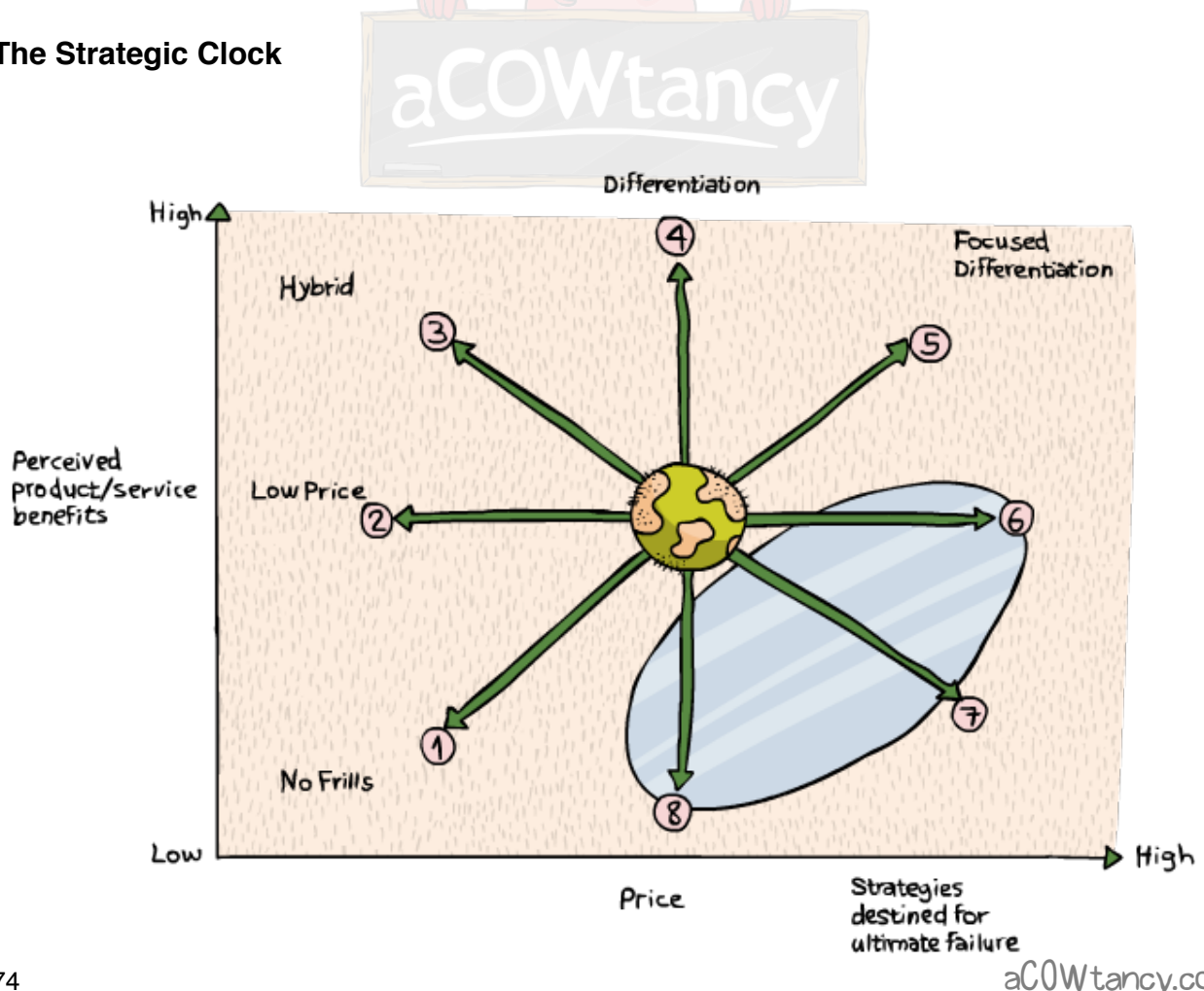
Sustainable advantage is created by adding value to customers greater than the competition. It is the customers perception of “Value for money”

This can come from:

- 1) A low price
- 2) A Great product
- 3) A combination of the two

Of course as this is due to customer perception - what one views as good value another doesn't

The Strategic Clock



The different positions on the clock represent generic strategies for competitive advantage (5 succeed, the other 3 fail as shown in the diagram)

Using the Clock

In the exam, use this when asked to suggest a suitable business strategy from a case study

Successful Strategy	Description	Example
No Frills	Low price, low features/ benefits. Good for price conscious customers	Low cost airlines
Low Price	Low price but not a low quality product (an average quality one) To sustain this as a competitive advantage the company must be the least- cost producer (or confident the least-cost producer will not follow the same strategy)	Own brand in Supermarkets
Differentiation	Product made different through features or quality Prices are average or slightly above	Innocent Smoothies
Hybrid	Higher than average benefits at lower than average cost Needs to have a low cost base and the ability to differentiate	Richard Clarke Academy aCOWtancy.com
Focussed Differentiation	Above average benefits for above average price Strong branding required	Apple Jaguar 5 star hotels

The failing strategies on the clock - allow the competition to adopt the same strategy and beat you

It is crucial to understand the CSFs for each position on the clock and remember that benefits/features can be perceived (due to advertising etc) and not real. They can also be relating to the service and not the product itself (e.g. Amazon booksellers)



Cost Leadership Strategy

Being the least cost producer allows you to produce cheaper than your competitors and still make a profit

They *must* have excellent cost control systems

They must be looking to CONTINUALLY reduce costs

It will be a large company benefitting from economies of scale, and to make a reasonable profit - volume must be large

It is similar to the low price and no-frills strategies on the strategy clock

Differentiation Strategy

The differentiation must be in a way the customer can recognise. The differentiation must be a perceived benefit to add value

This usually requires investment and innovation

They do not need to be the least-cost producer as their focus is not on costs but to the added benefits to the customer

Obviously cost reductions should be aimed for in order to keep innovating

Focus Strategy

Concentrating on selling to a particular segment of the market - once this is identified then again they will follow either a cost leadership or differentiation approach

Lock in Strategy

Once a customer purchases once from the company they are effectively “locked in” to buying from them in the future

Eg Microsoft Office package

Eg Apple iTunes

It effectively means being the ‘industry standard’

These type of strategies are now less of a stronghold as they once were. Only a few years ago the Microsoft “Windows” operating system would have been a great example but it is now quickly losing its grip on the market

The same can be said of iTunes for Apple

Another form of lock in is the purchase of an item with a long UEL. This effectively ensures that all repairs and servicing is through that company too

Syllabus B2c: Assess opportunities for improving competitiveness through collaboration

Collaboration as a strategy

Organisations do not only compete.

Collaboration between buyers and sellers and between potential competitors can reduce total costs

Collaboration between a buyer and seller may mean higher quality due to sharing the cost of research

Collaboration between buyers can increase buying power, as when small retailers co-operate to buy in large quantities.

Collaboration between suppliers in marketing and R&D can help build barriers to entry and against substitutes.

Collaboration can help entry to some foreign markets; obtaining local knowledge and access to the local infrastructure. Indeed, some governments require entrants to take a local partner.

Knowledge sharing may be required in the public sector, as a form of best practice. Also, collaboration may be required to improve standards, secure best value from spending or solve problems that cut across agency boundaries.

Syllabus B3: Alternative directions and methods of development

Syllabus B3a: Determine generic development directions (employing an adapted Ansoff matrix and a TOWS matrix) available to an organisation

This section helps you in the exam to think (and evaluate) different possible strategies a company could follow

Any strategic direction should 'fit' the organisation - specifically the SWOT of the organisation - called here the TOWS matrix

	Strengths	Weaknesses
Opportunities	Look at strategies that use strengths to take opportunities Eg Apple TV	Look at strategies that overcome weaknesses to take opportunities Eg Ebay buying Paypal
Threats	Look at strategies that use strengths to avoid threats Eg Coca-Cola Taste test (though this backfired)	Look at strategies that overcome weaknesses and minimize threats Eg. Blackberry starting own App store

Options highlighted in the TOWS matrix:

- **SO** strategies employ **strengths to seize opportunities**.
- **ST** strategies employ **strengths to counter or avoid threats**.
- **WO** strategies **address weaknesses to exploit opportunities**.
- **WT** strategies are defensive, aiming to **avoid threats by reducing weaknesses**.

You can think of this in time terms too..

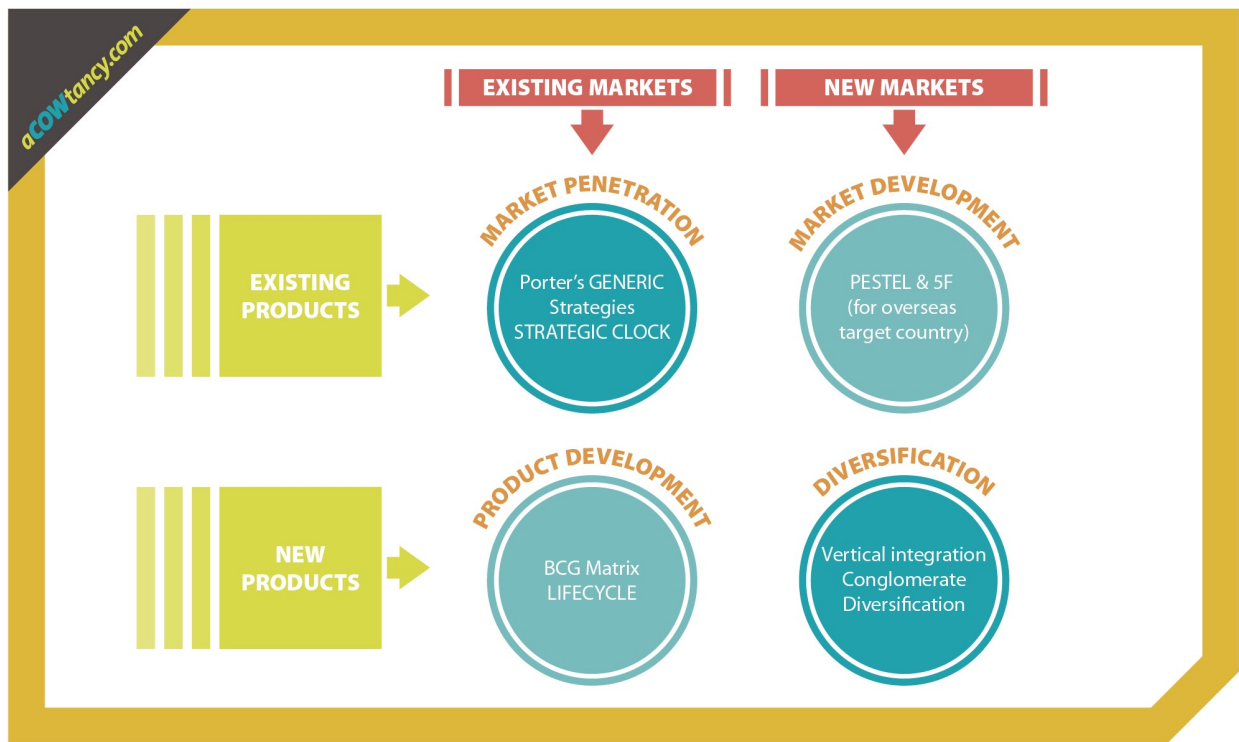
SO strategies may be expected to produce good short-term results

WO strategies are likely to take much longer to show results

ST & WT strategies are more probably relevant to the medium term.

Ansoff Matrix

A very useful tool in many scenarios - it can also help you think of different ways to move a company forwards in the exam



	Existing Products	New Products
Existing Markets	Market Penetration Cut prices Advertise Minor product improvements Eg Lucozade	Great if using existing resources JVs, Licensing, R&D all options
New Markets	New segments Overseas Can barriers to entry be overcome? Would the competitive advantage remain?	Diversification Vertical integration Conglomerate Diversification

Least risk = Existing product & market;
Most Risk = New product and market

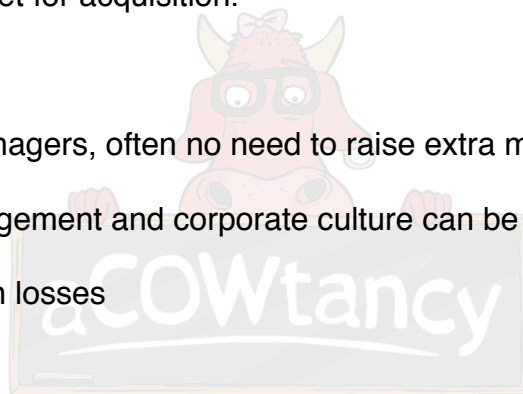
Syllabus B3b: Assess how internal development, mergers, acquisitions, strategic alliances and franchising can be used as different methods of pursuing a chosen strategic direction

Internal Development

Organic growth is achieved through the development of internal resources.

Why go for internal, organic growth?

- Developing a new product gives the firm the best understanding of the market and product.
- Innovation can lead to you being able to license it in the future also
- There is no suitable target for acquisition.
- Easy to plan
- More convenient for managers, often no need to raise extra money.
- The same style of management and corporate culture can be maintained.
- No hidden or unforeseen losses
- Economies of scale



Problems with organic growth

- . (a) Time – learning curves take time
- . (b) Barriers to entry may prevent it - e.g. time; brand;
- . (c) Need to acquire the resources independently.

Organic growth is probably ideal for market penetration, and suitable for product or market development, but it might be a problem with extensive diversification projects.

Acquisitions and mergers

Why make acquisitions?

Marketing advantages

- . (i) Buy in a new product range
- . (ii) Buy a market presence (especially true if acquiring a company overseas)
- . (iii) Unify sales departments and advertising
- . (iv) Eliminate competition or to protect an existing market

Production advantages

- . (i) Gain better production facilities
- . (ii) Buy in technology and skills
- . (iii) Safeguard future supplies of raw materials
- . (iv) Improve purchasing by buying in bulk

Finance and management

- . (i) Buy in a high quality management team
- . (ii) Obtain cash resources
- . (iii) Gain undervalued assets or surplus assets that can be sold off
- . (iv) Obtain tax advantages (eg purchase of a tax loss company)

Risk-spreading

Reduce Risk of Takeover - A company threatened by a take-over might take over another company, just to make itself bigger and so a more expensive target for the predator company.

Overcome barriers to entry

Problems with acquisitions and mergers

- . (a) Cost
- . (b) Customers might resent a sudden takeover
- . (c) Incompatibility
- . (d) Poor information available about acquired
- . (e) Corporate financiers and banks have a stake in the acquisitions process as they can charge fees

Strategic Alliances

- Possible advantages include:
- Sharing development costs
- The regulatory environment prohibits take-overs (eg most major airlines)
- Complementary markets or technology.
- A 'learning' exercise in which each partner tries to learn as much as possible from the other.

Alliances Problems

Alliances do not enable a firm to create new competences.

Loss of individual flexibility

Strategic alliances only go so far, as there may be disputes over control of strategic assets.

Joint Ventures

Best when:

- 1) Lots of risk involved
- 2) Lots of capital needed
- 3) Skills mix required

It is also useful when entering into foreign markets to JV with a local company:

- 1) It might be a legal requirement
- 2) Better knowledge of local business
- 3) Local government may be a major customer
- 4) Local company already has customers there

JVs fail when:

- 1) One partner not contributing enough
- 2) One partner wishes to withdraw
- 3) They start competing rather than collaborating



Franchising

(e.g. McDonalds)

A standard product (with standard systems for delivering it) with lots of advertising and promotion behind it

All the promotion and support services offered by the franchisor, in return for an initial fee and share of turnover

The franchisee has much less risk and benefits from the brand and marketing. It is restricted though by the franchisor's rules and regulations

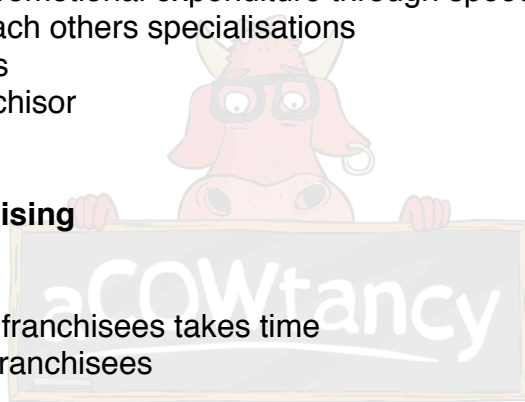
The franchisor receives a constant flow of cash and is able to sell its concept worldwide. Head office remains small as daily management is handled by the franchisee

Advantages of franchising

- Reduces capital requirements
- Reduces managerial resources required
- Improves return on promotional expenditure through speed of growth
- Get the benefits of each other's specialisations
- Low head office costs
- Less risk for the franchisor

Disadvantages of franchising

- Profits are shared
- Acquiring competent franchisees takes time
- Lack of control over franchisees
- Risk to reputation
- Potential for conflict.



Licensing

A licence is given to allow a company to produce its product (usually covered by a patent) in return for a licence fee

A successful strategy needs to be:

- 1) Suitable (fit)
- 2) Acceptable (to stakeholders)
- 3) Feasible (resources available)

These 3 test can be applied to any strategy decision!

Suitable	Acceptable	Feasible
Uses Strengths	Effect on shareholder wealth	M - word model (see below)
Overcomes weaknesses	Cost / benefit	
Meet objectives (profit, more control etc)	Effect on gearing	

Machinery - sufficient spare capacity?

Management - Sufficient skills?

Money - How much needed? Cashflows likely?

Manpower - Amount and skills of employees needed?

Markets - Current brand strong enough or new one required? What share is critical?

Materials - Quality? New suppliers needed?

Make-up - Does the org structure need changing?

Moo-able - Does the new strategy moo like a heifer - sorry got carried away..

As you can see from the above, suitability here basically means looking in the scenario in the exam, and ensuring that any strategy decision uses the firms strengths or overcomes its weaknesses

Again look above and in the exam ensure that any option chosen by the firm (or suggested by you) is feasible in terms of the resources the company currently has 9or has options to get)

All resources can be remembered by thinking of the letter M (see above)

Here again, in the exam scenario, just ensure the chosen route will be acceptable to shareholders and key stakeholders

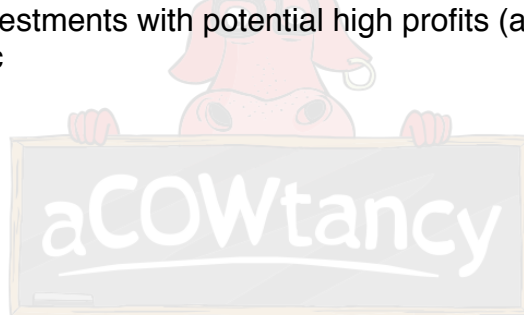
If it's not then you need have an excellent communication plan!

Acceptability will also mean having to work some numbers perhaps on things like profitability (return on investment)

All you need to do here is take the average extra expected profit before tax (from the chosen option) for the year and divide it by the cost of the option you're taking

Then compare this (as a percentage) to the percentage required by the shareholders to see if it's acceptable

With regards risk - the scenario will make it clear whether the shareholders and key stakeholders are risk averse (in which case go for the option with less uncertainty - pays back quicker, relies on organic growth, less up front cost) or have a high risk appetite (in which case go for high investments with potential high profits (and losses). be willing to take risks with cultures etc



Syllabus C: STRATEGIC ACTION

Syllabus C1: Organising and enabling success

Syllabus C1a: Advise on how the organisation can be structured to deliver a selected strategy

Strategy Implementation - organising for success

3 Aspects:

- 1) Organisation Structure
- 2) Managing change
- 3) Intended and Emerging strategy

Organisation Structure

What's the best structure to achieve the strategic objectives?

Option 1: Entrepreneurial Organisation

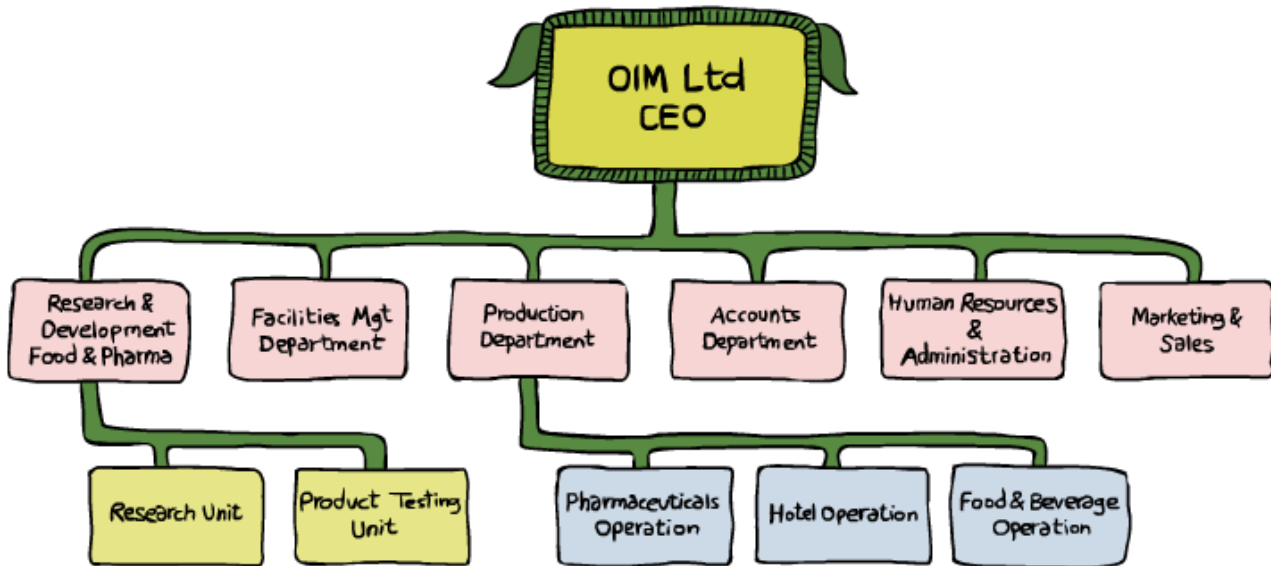
- 1) Entrepreneur takes all the big decisions. No delegation
- 2) No formal management structure
- 3) Simple processes. Small number of products probably

Works best in the early stages of a firm. As it grows it may become inefficient to stay like this, in fact these options are ordered in life-cycle order

Option 2: Functional Organisation

Each function (production, marketing, finance etc) has own management and staff

Functional Organisation Structure

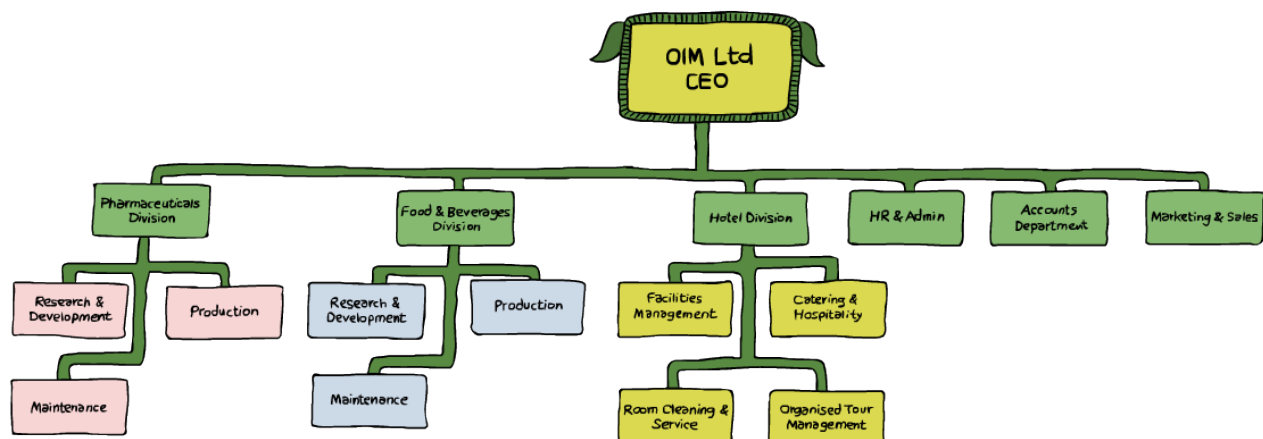


Option 3: Divisional Organisation

As different product-markets appear, this structure may become most appropriate

A division is simply an area of operations (geography, product or customer)

Head office delegates authority and responsibility to divisional management



Option 4: Matrix Organisation

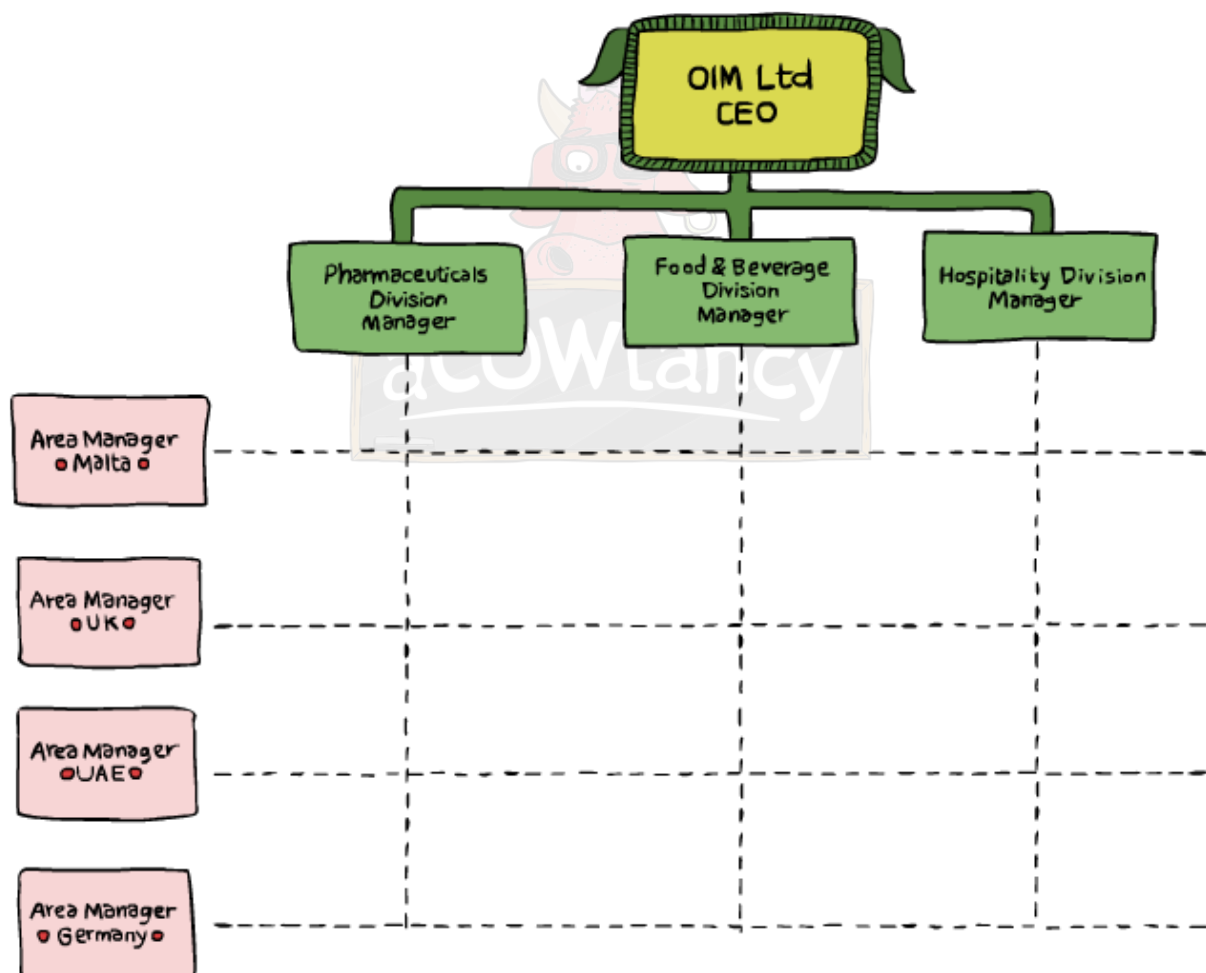
Where different functions need to work closely together, so horizontal relationships become very important

Dual/Multiple Command

Project Managers: In charge of individuals across functions

Functional Managers: Still in charge of their function

There would also be a multiple support mechanisms - and these roles are permanent (not just for the length of a project)

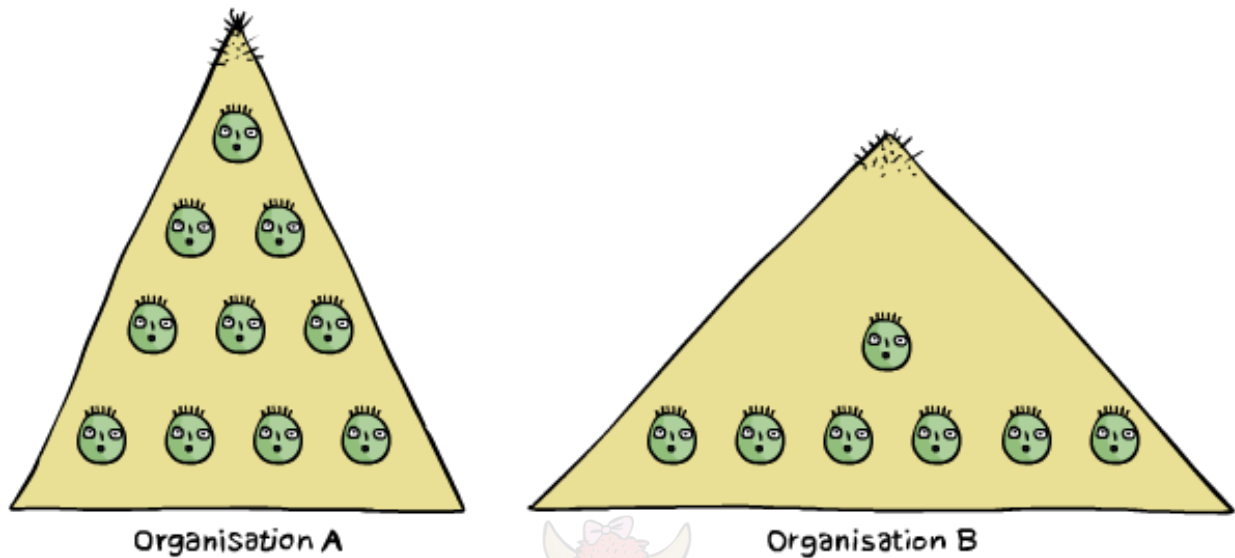


The matrix structure should:

- 1) Encourage communication

2) Focus on getting the job done (not defending own position)

Span of Control



Tall Narrow - Organisation A - Many layers of management. Close supervision. Task specialisation. Very formal roles and job titles. Slow to adapt as info takes a long time to get from bottom to top

Wide Flat - Organisation B - Fewer managers with more subordinates each. Bosses and employees treated as equals. Team work required. More responsibilities throughout. Task switchers and less formal roles. Rapid decision making.

Recent trends is towards a flatter structure - more adaptable and less cheaper as managing each other does not always add value

Control processes determine how organisations function

Some deal with inputs, some with outputs

Some involve direct management action others more indirect

	Input	Output
Direct Manager Involvement	Supervision Planning Processes e.g..budgets and standards	Performance targets - profits, KPIs Balanced Scorecard
Indirect Manager involvement	Culture of an organisation Employee motivation Resources	Internal Markets

In the public sector, control of inputs has been traditional, but there has been a move towards targets for outputs in order to improve services.

A problem with performance targets is that it can be difficult to identify appropriate KPIs. High-level financial KPIs, such as ROI, are well-established and present no difficulty

Syllabus C1c: Discuss how internal relationships can be organised to deliver a selected strategy

Centralisation v De-centralisation

Head office decision making v delegated decision making

Centralisation	Devolved (decentralised)
Ensures corporate objectives met	Better local knowledge
Better coordinated decisions	Motivates managers
Easier in a crisis situation	Quicker and more practical in large, complex firms

Syllabus C1d: Discuss how organisational structure and external relationships (boundary-less organisations; hollow, modular and virtual) and strategic alliances (joint ventures, networks, franchising, licensing) and the supporting concepts of outsourcing, offshoring and shared services, can be used to deliver a selected strategy

Outsourcing

Common in the building industry - work carried out by a sub-contractor on your behalf

Often happens elsewhere, mostly in non-core activities e.g. Security, Payroll etc

Reasons for	Problems with
Allows firm to concentrate on core competencies	Loss of control over the work
Outsource the work to an organization whose core competency is that work	Managing the relationship
Allows specialists to work when otherwise couldn't afford the ability to pay them full time	Not as fully committed / flexible as own staff

Offshoring

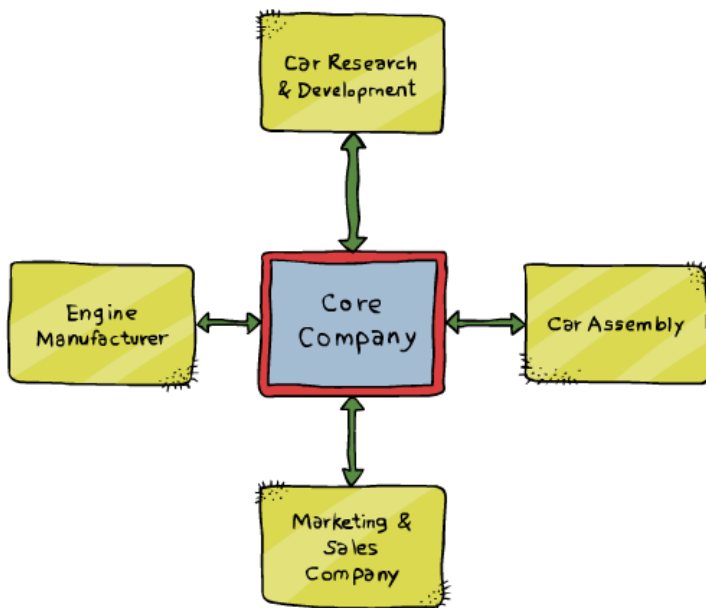
This is the relocation of a business process from one country to another—typically an operational process, such as manufacturing, or supporting processes, such as accounting.

Typically this refers to offshoring to a cheaper labour country

Shared services

This is the provision of a service by one part of an organisation is shared and the providing department effectively becomes an internal service provider

Virtual Organisations



These have no physical existence, operated by emails and telephone services e.g. A sole trader operating from home as 'head office'

These will take on work and outsource a lot of their business e.g. Accountancy, delivery etc

Even large companies could do this e.g. Selling other producers goods. All aspects could be outsourced

Boundary-less Organisations

These are useful for non-standard work, where rapid innovation is needed
Communication between functions is virtual (not face to face). This removes any geographical boundaries

The structure of boundary-less organisations is free-form. There are very few hierarchies. This leaves employees to work in groups managing their own (company wide) projects

Examples:

Hollow: Management identify the core competencies, and outsource the rest. This has the effect of reducing fixed costs (but increasing variable costs).

This fixed to variable costs is good for when times are tough and when there's a price war

Modular: For manufacturing industries. Outsourcing parts of the manufactured item. This needs correct interfaces (where the parts fit together)

Big Data

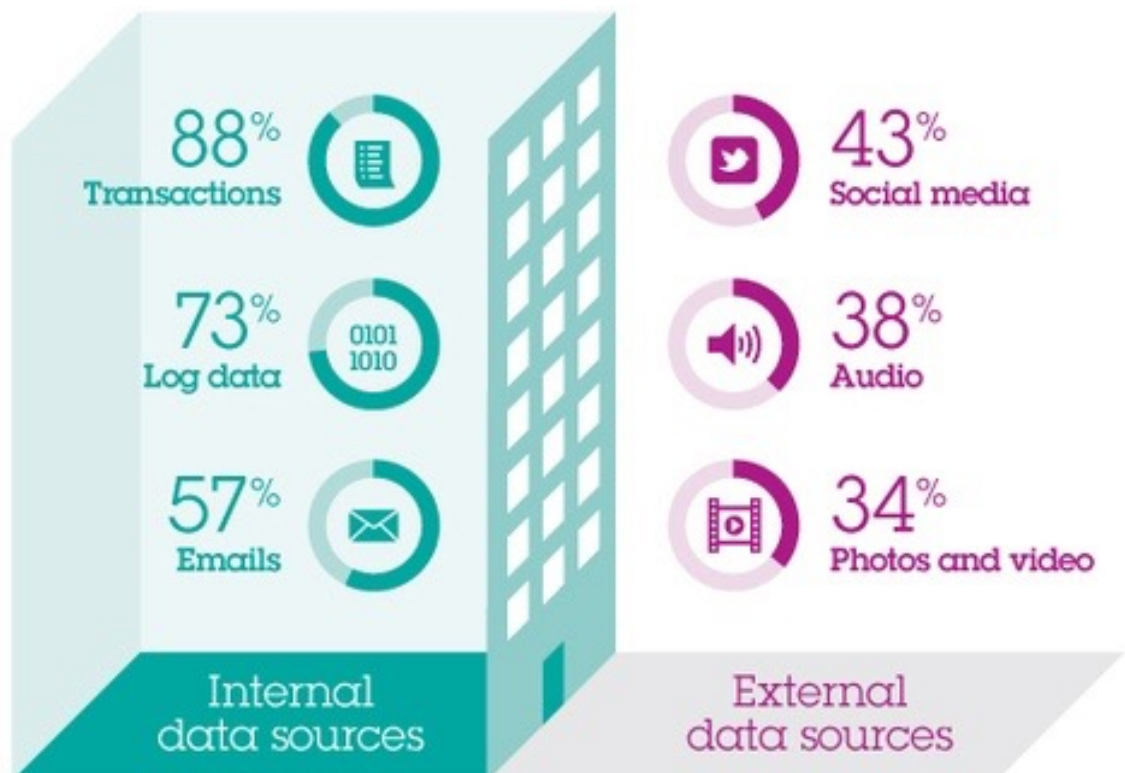
Big data is a broad term for data sets so large or complex that traditional data processing applications are inadequate. Challenges include analysis, capture, data curation, search, sharing, storage, transfer, visualisation, and information privacy

This big data is then used to help businesses analyse their customers, their buying patterns etc

It can also help in recruitment and marketing and many other areas

Where does big data come from?

Most big data efforts are currently focused on analyzing internal data to extract insights. Fewer organizations are looking at data outside their firewalls, such as social media.



IBM

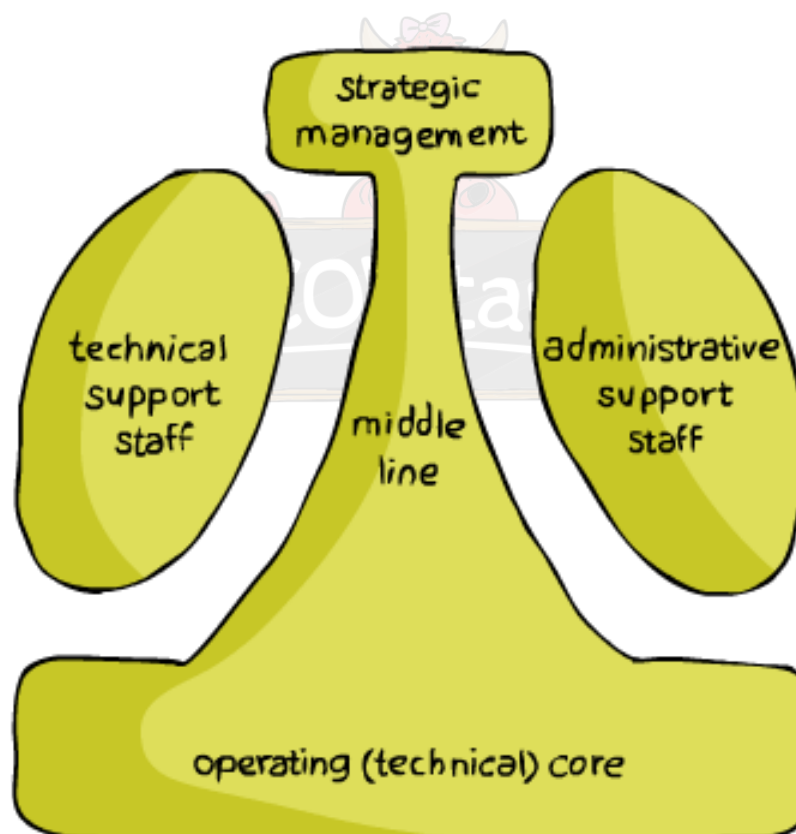
Most appropriate Structure

Contingency Theory

The idea that the structure should be the one best suited to its size, complexity and strategies

Mintzbergs 5 building Blocks

THE 5 BASIC PARTS OF AN ORGANIZATION



Strategic Apex = Top Management

Operating Core = Basic work of the firm

Middle Line = Management Structure

Support Staff = Secretarial, cleaning, repairs, IT etc

Technostructure = No line management responsibilities. Produce systems manuals etc

Whichever group is most powerful dominates the organisation structure

Most powerful group	Structure
Strategic Apex	Entrepreneurial. Leaders give sense of direction
Operating Core	Highly skilled workers with lots of influence e.g. Schools, hospitals
Middle Line	Localised and divisionalised company

Mintzberg's 6 Configurations

Simple Structure

Entrepreneurial. Strategic apex gives direct control, little middle line, support staff or technostructure. Owner-managers often. Flexible, quick to react

Machine Bureaucracy

Technostructure dominant. Controls through regulations. Slow to react to change

Professional Bureaucracy

Operating Core dominant. Highly skilled professionals abound

Divisionalised

Middle line dominant. Division leaders powerful and often able to restrict strategic apex influence

Adhocracy

Complex and disordered. Extensive teamwork/project type work. Support staff very important as close relationship to external suppliers can be vital. Innovation is a strength here

Missionary

All member share a common set of beliefs. Difficult to accept change. Only suitable for small, stable environments

Remember that poor performance in a company may simply be due to having an inappropriate structure for the environment and the strategies it follows

Syllabus C2: Managing strategic change

Syllabus C2a: Explore different types of strategic change and their implications

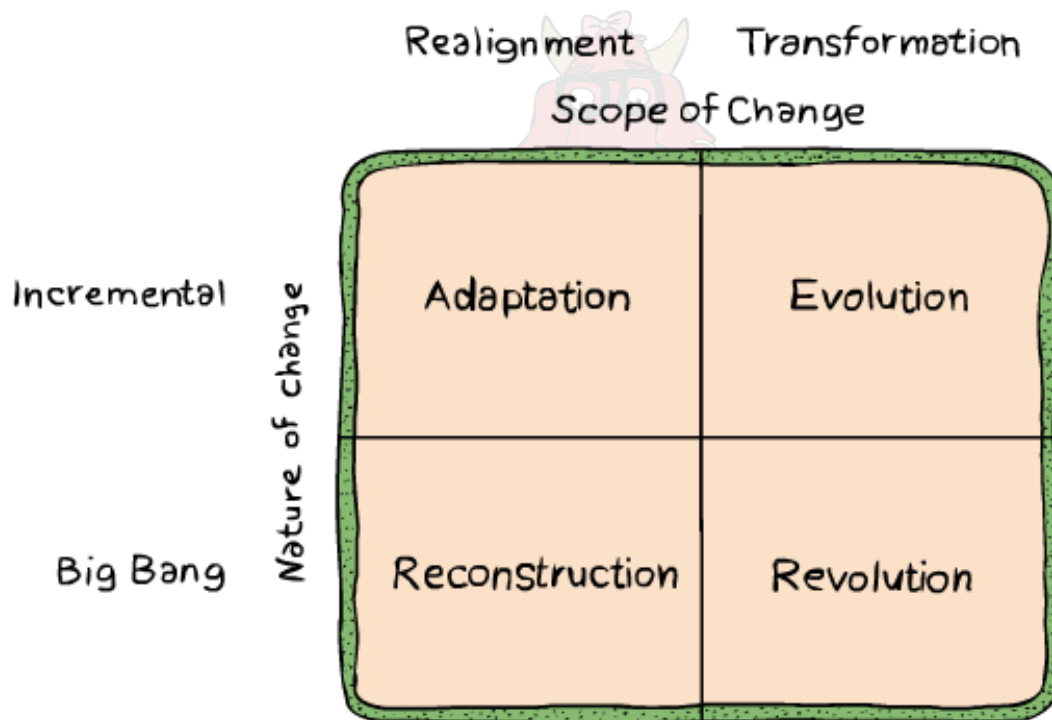
Strategic Change

Incremental Change

Needs no structural reorganisation, the entity should be able to adapt easily

Transformational Change

Big impact on the entity and its workers. Restructuring required and change management skills



Realignment does not alter the fundamental beliefs of the organisation. It is therefore easier than transformation

Evolution can take a long time.

Revolution, on the other hand, is immediate and requires simultaneous action from many change managers. It is therefore the most difficult to accomplish successfully

So Managers need to be aware of what type of change they are looking for: adaption, reconstruction, evolution or revolution

Reasons for Change

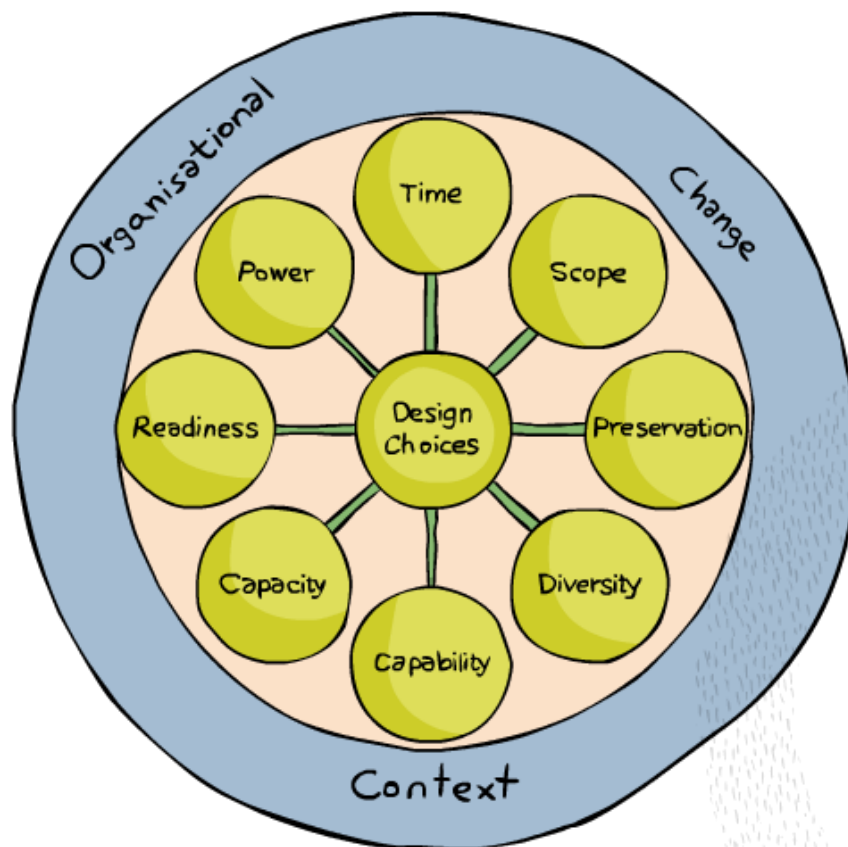
External	example	Internal	example
Politics	Civil war in a major export market	Senior Management changes	New CEO with new ideas
Economy	Euro crisis affecting export market	Acquisitions & Mergers	Integration with partnering firm
Socio-Cultural	Health scares	DeMergers	Systems will need changing
Technological	New technology on market making ours obsolete	Downsizing	Current systems make no longer be needed
Environmental	Diminishing supplies of energy		
Legal	Health and Safety regulations		



The Context of Change

In the exam you might be asked to consider the context of the change, and how this might affect the approach to the change

Balogun & Hope Hailey Model



Time: How much time does the organisation have to achieve this change? Is it in a short term crisis or is it concerned with long-term strategic development? Are stakeholders, such as the Stockmarket, expecting short term results from the change? Incremental or big bang?

Scope: Is the required outcome realignment or transformation? Does the change affect the whole organisation, or is it only concerned with a particular division or department? Transformation or realignment?

Preservation: To what extent is it essential to maintain continuity in certain practices or preserve specific assets? Do these practices and/or assets constitute invaluable resources, or do they contribute towards a valued stability or identity within an organisation?

Diversity: Is the staff group concerned diverse or relatively homogeneous in terms of its values, norms and attitudes? Are there many subcultures or national cultures within the group? Are there different departments or divisions or is it one particular staff group? With whom or what in the organisation do different staff groups identify – their team, job, department, division or the whole organisation? Are there professionals who identify more with their profession than their organisation?

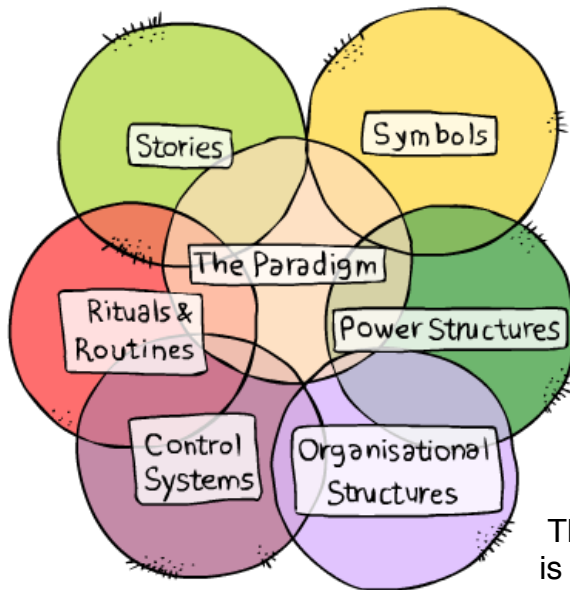
Capability: How capable or competent is the organisation at managing change and how widespread throughout the organisation is this capability? How much change has the organisation and its individual staff experienced in the past? Is there an expertise at an individual level for handling change?

Capacity: How much cash or spare human resource is there to divert towards the change?

Readiness for change: Are staff aware of the need for change? If they are, how willing and motivated are they towards the change? How much support generally is there for the change? How much understanding is there for the scope needed?

Power: Where is power vested within the organisation? For this change to be successful, who are the major stakeholders within and outside the organisation whose support must be canvassed? Is the unit needing to change part of a larger group or is it relatively autonomous?

The Cultural Web



The Cultural Web was explored in a previous lecture and is reproduced below:

- 1) Identify what changes need to be made to the current paradigm
- 2) Map out an organisation's position on the various aspects outlined in the web;
- 3) Set out a strategy to change the various elements in the cultural web.

The impact of change of each element on the cultural web is reproduced below:

Stories

Identify the core beliefs of the stories and extent of their pervasiveness within the organisation; Do they show the 'reality' that management wants

Routines & Rituals

Do they help or hinder?. To what extent can these be changed?
Gain insight on the type of message driven by training programmes;

Organisational Structures

The type of structure used Functional/Project Based; What is the level of hierarchy ;
What is the type of power structure being deployed; Is it now appropriate for the desired change?

Control Systems

What are the key controls put in place;
What form of incentive schemes and motivation tools are being adopted; Are they appropriate and promote the desired change?

Power Structures

What values are being enforced by the leaders; Do they fully believe in the change required? How is power distributed across the organisation?

Symbols

What is the overall language and jargon used at the place of work? What status symbols are associated with the organisation? What aspects of strategy that are highlighted in publicity? Are they a barrier or help to change?

Overall

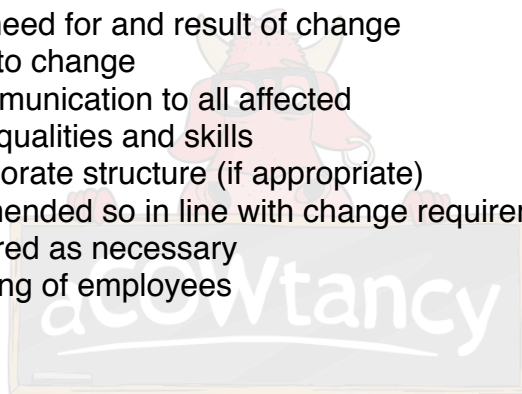
What is the dominant culture? How easy is this to change.

Syllabus C2c: Establish potential blockages and levers of change

There are several requirements for change - these are called levers of change

Levers of Change

- 1) Understanding the need for and result of change
- 2) Leaders committed to change
- 3) Effective 2 way communication to all affected
- 4) Leadership change qualities and skills
- 5) Adaption of the corporate structure (if appropriate)
- 6) Reward systems amended so in line with change requirements
- 7) CSFs and KPIs altered as necessary
- 8) Educating and training of employees



Blockages to Change

These come from:

- 1) What Individuals want for themselves
- 2) their habits and customs
- 3) relationships between those involved
- 4) vested interests
- 5) organisation structure
- 6) entity's policies
- 7) resources available
- 8) regulations
- 9) events happening

Overcoming Resistance to Change

A number of techniques have been identified as being appropriate to overcome resistance to change.

These are:

Education and Communication

Raising awareness and providing knowledge on the reasons, main outcomes and underlying benefits of the change process;

Participation:

Employees provide a direct input in the decision making process. In view of such involvement, a lower probability of resistance is likely.

Facilitation and Support:

Providing counselling to employees to enable them to overcome their fears and anxieties;

Negotiation:

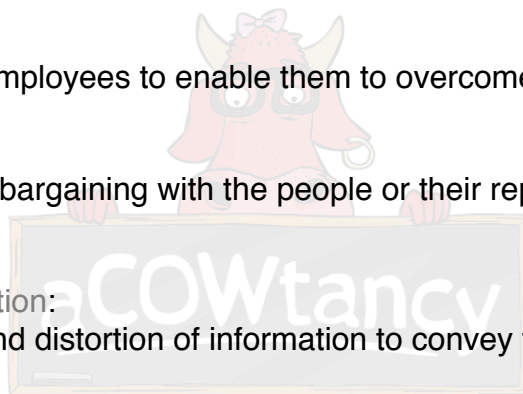
Reaching comprising and bargaining with the people or their representative being impacted by the change;

Manipulation and Co-optation:

Selective dissemination and distortion of information to convey the more positive benefits of the change;

Coercion:

Undertaking a compulsory approach by management to implement change.



Syllabus C3: Understanding strategy development

Syllabus C3a: Discriminate between the concepts of intended and emergent strategies

b) Explain how organisations attempt to put an intended strategy into place.

c) Highlight how emergent strategies appear from within an organisation.

Planned Versus Emergent Change

The following provides a comparison between Planned and Emergent Change as set out by Beer and Nohria:

Emergent Change and Theory

Complexity theorists argue that a form of order will emerge out of the interactions between the elements in a system. It is an order that cannot necessarily be predicted in advance.

From the complexity theory point of view, the planner's attempt to build high boundaries with the environment, to plan in detail how each actor within the organisation must perform his or her role, and to attempt to predict how the environment will change, is doomed to failure.

It leads to forms of control that undermine rather than strengthen the capacity of the organisation to survive. The job of those people managing change is firstly to ensure the space for experimentation, innovation and variation, and secondly to have the skills and resources capable of identifying and building on variations that will be key to the organisation's future.

Planned Change

Leaders who subscribe to this theory manage change from the top down. Such leaders set goals based on the expectations of financial markets.

The incremental change decisions lower-level managers can make are simply not enough anymore.

Moreover, in many change situations, leaders do not have the time it takes to build consensus through participation. Speed is of the essence, and it is faster for one person – the leader – to make the decisions and for others to implement them.

Leaders efforts focus first on changing strategies, structures and systems – the 'hardware' of the organisation. These are elements that can readily be changed from the top down to yield quick financial results.

Understanding Strategy Development

Management need to understand that strategy changes can be intended, emergent or incremental.

	Intended	Emergent
Strategy comes apparent from?	Strategic planning process	Changes in resource allocations, due to changes in the environment
Implemented by..	Specially formed project groups	a cultural process over time
Develops by	Hiring strategy consultants	Organisational 'power politics'

Syllabus C3d: Discuss how process redesign, and e-business can contribute to emergent strategies

Emergent strategies arise from an unforeseen external stimulus

Emergent strategy emphasises learning - particularly process redesign and e-business.

An emergent strategy follows this general pattern, using e-business to speed up the information flowing from these different sections

- I. Design
- II. Build
- III. Test
- IV. Learn
- V. Redesign
- VI. Iterate
- VII. Launch
- VIII. Scale Slow

Strategic drift is a departure from the strategic plan over time by a range of small actions moving away from the original desired outcome

There is considerable evidence to suggest that strategic drift particularly affects organisations which have experienced a long period of relative continuity during which strategy has remained relatively unchanged

Here are some ways it can happen:

The organisation takes planned steps to change ahead of the market and develop a competitive advantage. However, change in the market speeds up, and the firm is left behind.

Managers look to expand into new markets, but using the same strategies, if not successful, strategy development loses direction, further damaging performance.

Eventually transformational change is required if the demise of the organisation is to be avoided. Transformational change tends to occur when performance has fallen off significantly, i.e. in times of crisis.

So, overall it is important to realise why strategic drift occurs. Managers, faced with the complexities of steering an organisation, tend to look for solutions based on the current ways of doing and seeing things, grounded in the existing organisational culture and this can lead to the wrong decisions being made

The realisation of performance problems is often followed by a period of flux where no clear direction is pursued - this may itself be followed by transformational change, in which there is a (too late) fundamental change in strategic direction

The challenge for managers is to stand apart from their own experience and organisational culture so that they are able to recognise the emerging strategic issues which they face.

New strategies might require actions outside the scope of the existing culture. Thus people within the organisation are required to substantially change their core assumptions and their ways of doing things.

Syllabus D: BUSINESS & PROCESS CHANGE

Syllabus D1: Business change

Syllabus D1a: Explain how business change projects are initiated to address strategic alignment

Syllabus D1b: Apply the stages of the business change lifecycle (alignment, definition, design, implementation, realisation)

Business Change Lifecycle

Step 1: Alignment

Strategic direction should be checked continuously

It shows us what we need to be good at to succeed, and this means constant checking the environment to help direct us

Step 2: Definition

At the beginning of the project, it will help to develop and communicate a set of ground rules that outline how the project is to be conducted.

These are high-level statements that need the active support of senior management

They may be described as principles and they should cover aspects such as business values, customer focus, the project itself, the impact of the project on staff, and management behaviour

Step 3: Design

Thorough testing during the development is essential to avoid problems and delays in implementation later

For example, by testing with real users, we can identify and correct deficiencies. !

This is much more cost-effective than waiting for the problems to occur during implementation

Step 4: Implementation

Throughout this stage the change team have a major influence on how well implementation proceeds

In this phase we need to consider the need for professionalism in the delivery of the business changes

The involvement of key staff members can help to cascade the message and the sequence of activities as they are rolled out.

Learning and adapting the plan as the roll-out takes place will be important, as will training, coaching and dealing with practical issues as they arise.

Professional delivery of the message is essential to build up people's confidence and trust. Sloppy presentations, inconsistent content and an inability to handle objections will undermine that confidence

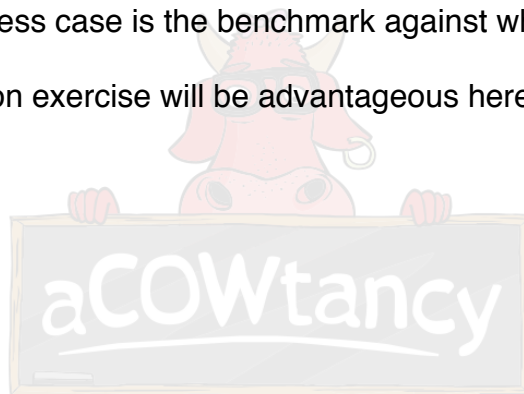
Also communication is a two-way process that requires quick thinking and the ability to adapt to varying needs and circumstances

Step 5: Realisation

Business change is made because business benefits are expected

This means that the business case is the benchmark against which benefits are measured.

A formal benefits realisation exercise will be advantageous here



POPIT: people, organisation, processes, information technology

This approach looks at four elements needed to achieve successful business change

Organisation:

This ensures the change is suitable in terms of the organisations' business model, external environment and internal capabilities

Processes:

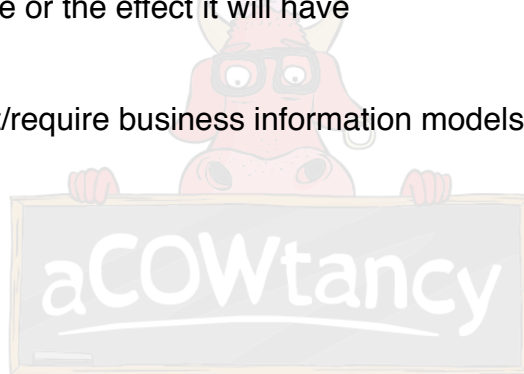
Then look at the business' main processes and their value chain and how the chain will affect / take advantage of them

People:

This looks at employees' roles, skills and competencies and the entire culture to again see if the change is appropriate or the effect it will have

Information Technology:

How will the change affect/require business information models and technical architecture



Syllabus D2: The role of process and process change initiatives

Syllabus D2a: Advise on how an organisation can reconsider the design of its processes to deliver a selected strategy

Business processes (e.g. Development, manufacturing, distribution etc) make up the value chain of a company. Different strategies will need different processes

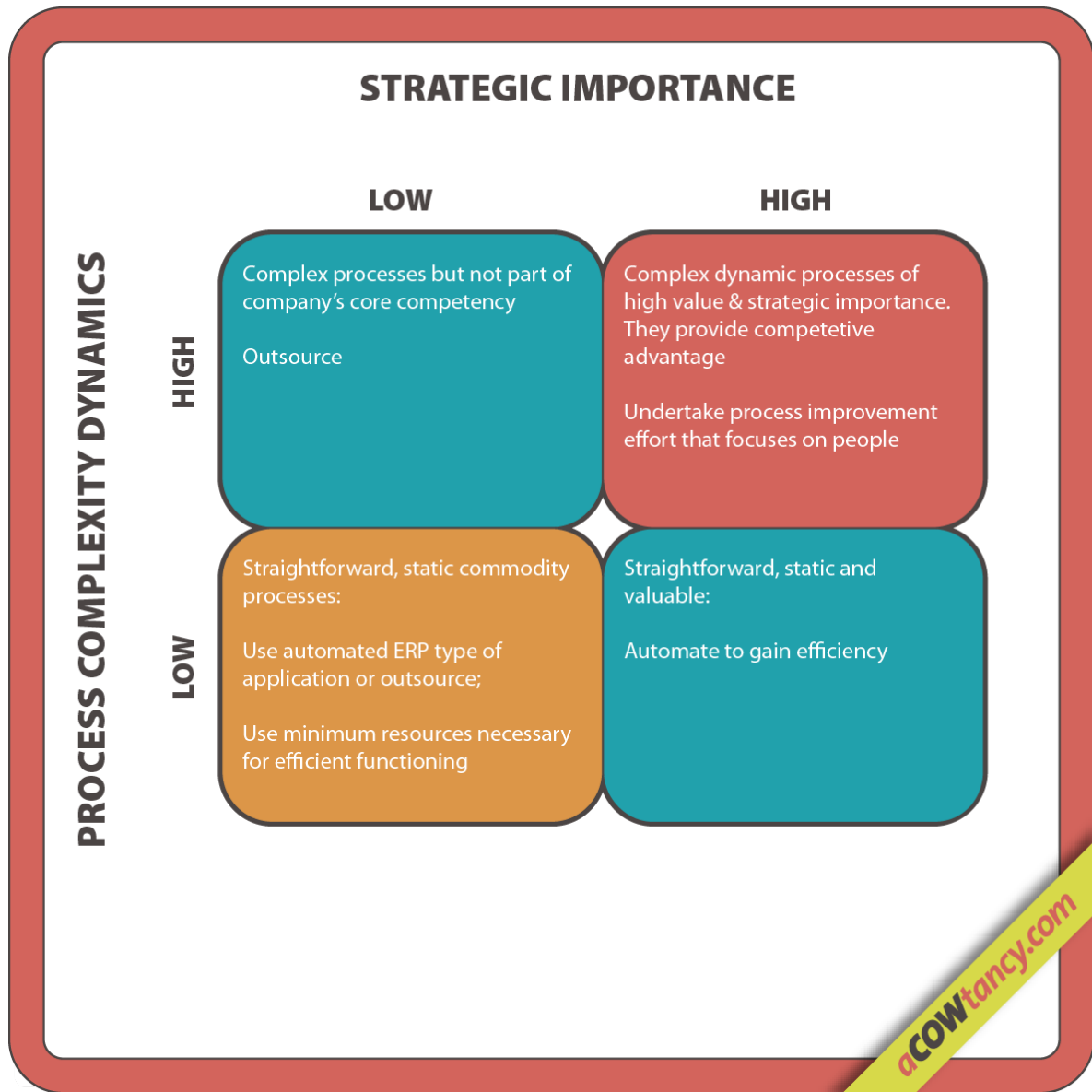
Process Change Examples

	Automation	Rationalisation	Business Process Redesign
Define	Manual processes now automated	Making processes more efficient and streamlined	Major redesign to improve costs / quality and service
Examples	Payslip calculations and production Old computer system to a new one	Electronic data interchange to place orders	Sharing data with suppliers so they control your stock

Syllabus D2b: Appraise business process change initiatives previously adopted by organisations

Syllabus D2c: Establish an appropriate scope and focus for business process change using Harmon's process-strategy matrix

Scope and Focus of Change - Harmon Process-Strategy Matrix



Which processes to change and how far to change them

Quadrant	Processes	Action
Bottom Left	Simple and stable No competitive advantage from them	Automate them to be as efficient as possible. They are just a necessary evil e.g. Payslips
Bottom Right	Simple and stable Strategically important	Automation to a high standard e.g. Assembly work
Top Left	Complex and dynamic Not a core competence	Outsource e.g. Calculating tax to be paid
Top Right	Complex and dynamic A core competence	Carefully investigating and analysed Redesigned to create even more value

Syllabus D2d: Explore the commoditisation of business processes

Throughout the history of business, most firms have built their own processes for almost everything that needed to be done. Producing widgets. Paying vendors. Administering payroll.

Even processes critical were generally performed by people within the organisation.

Sometimes they were done well, sometimes they were done badly—but since a company had no way of determining how well an outside business might perform these processes, they were kept in-house.

In the 1970s and 1980s, companies improved their processes with total quality management.

In the 1990s, they attempted to radically advance them through business process reengineering.

In the current decade, many firms have returned to process improvement with Six Sigma programs.

Commoditisation

Also recently, the idea of outsourcing processes and capabilities began to emerge.

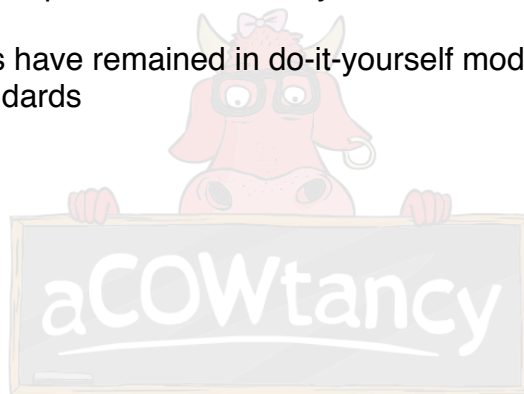
Companies may have previously outsourced a few ancillary activities like building maintenance or legal work, but now they were beginning to outsource major capabilities involving thousands of people.

The first step was IT management, then HR, finance and accounting functions

Nike and Apple outsource their manufacturing to a substantial degree

The advantages are price, expertise and flexibility

However, most companies have remained in do-it-yourself mode for most processes due to the lack of process standards



Under the right circumstances outsourcing can certainly provide significant opportunities for savings, though it is no panacea.

Different companies will have different expectations for their outsourcing partners. A niche business to business producers' core competencies are very different than those of a provider that's set up to produce large volumes of a consumer-oriented product

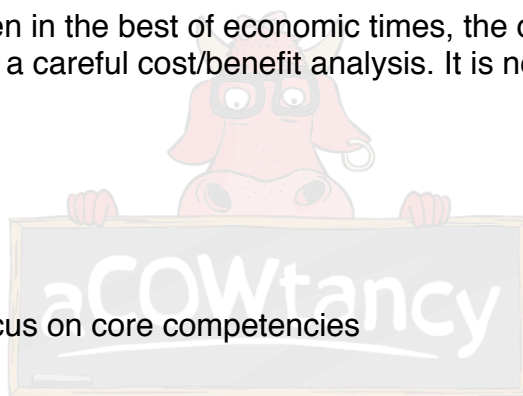
The current economic environment presents an excellent opportunity to further utilise outsourcing as a way to reduce their manufacturing and design costs, there are challenges and difficulties that come with this kind of change.

The most successful situations are those where the customer understands that outsourcing is as much a cultural change as a strategic one for their organisation

The bottom line is that even in the best of economic times, the decision to outsource should be made based on a careful cost/benefit analysis. It is not a quick, short-term solution

Advantages of BPO

Cost savings
Improved customer care
Allows management to focus on core competencies



Problems of BPO

More outsourcing suppliers leads to fragmentation and a less cohesive business
Security problems
Managing of the outsourcers
Performance measuring problems

Syllabus D3: Improving the processes of the organisation

Syllabus D3a: Evaluate the effectiveness of current organisational processes

Although this syllabus heading is referring to the current situation of a business (from the scenario in the exam) - obviously we can't comment on that here but the following is needed when the processes aren't working well currently, and a complete overhaul is needed

Business Process redesign is also called Business process Re-engineering (BPR)

Harman recommends a 5 stage approach to this:

Step	Name	Approach
1	Plan	Identify goals, scope, personnel and plan
2	Analysis	Document workflow, identify problems
3	Redesign	Explore alternatives and choose best
4	Development	Redesign of jobs, products, hiring, firing, KPIs
5	Transition	Integrate, train, test, modify where needed

In the exam you may be asked to Evaluate an existing process and make redesign suggestions

Syllabus D3b: Describe a range of process redesign patterns
c) Establish possible redesign options for improving the current processes of an organisation

- 1) Are there any steps or gaps missing?
- 2) Any duplication of work?
- 3) Any no value added activities?

Pattern	Driver	Description
Re-engineering	Major re-organisation	Major redesign from scratch. High risk/return
Simplification	Duplication and unnecessary activities	Checking each step in the process to check they're needed. Low risk/return
Value added analysis	Non value adding activities	Check each activity for what value it adds to the customer Moderate returns
Gaps and Disconnects	Information flows not working	Using process diagrams to see what needs to happen Modest returns

Now decide if you think a complete redesign is needed or just an improvement on existing processes

In doing so think about the pros and cons in terms of money, culture, effect of change etc
Software Solutions

Syllabus D4: Software solutions

Syllabus D4a: Establish information system requirements required by business users

First of all you need to establish business information needs

Technique	When suitable
Interviews	Nearly all scenarios
Written Questions	When interviews not possible
Questionnaires	User population very large (lack of interaction here is a big problem)
Observation	Before interviews
Documented analysis	Good for redesign proposals
Workshops	Where there is high uncertainty or conflicts
Protocol analysis (Interviews and observation)	To consider all aspects and none taken for granted
Prototypes	Where functionality needs to be addressed

Syllabus D4b: Assess the advantages and disadvantages of using a generic software solution to fulfil those requirements

Using Generic Software

Advantages

- 1) Cheap
- 2) Available immediately
- 3) Few bugs
- 4) Good documentation and support
- 5) Regular updates
- 6) Previous users feedback built in

Disadvantages

- 1) Not a precise fit
- 2) Difficult to adapt
- 3) Incompatible data structures
- 4) No competitive advantage
- 5) Not a bespoke design / user interface leading to inefficiencies

Choosing a generic package

Stage One: Evaluation

This is concerned with establishing whether a commercial off-the-shelf software package would be an appropriate. A framework such as the Harmon process – strategy matrix could be used

Stage Two: Business case

This stage would require the definition of a formal business case, including a financial evaluation of the proposed investment

Stage Three: Requirements definition

This stage is concerned with defining the requirements which the software package is to be evaluated against

Stage 4: Evaluation of competing products

The stage involves a formal Invitation to Tender (ITT) allowing the consideration of alternative products and suppliers

Stage 5: Contract negotiation

Once a potential solution is identified, a detailed investigation of the contract is required to remove or amend clauses which the customer is unhappy about. Contracts are usually framed in favour of the software supplier

Stage 6: Implementation

Effective training, appropriate documentation and successful data migration are central to the success of the project. Proper consideration of them also contributes to the business case (stage 2)

Changeover Techniques

Parallel Running (high cost / low risk)

Keep both systems running for a while until trust is built up in new system

Direct Changeover (Low cost / high risk)

Old finishes at 11.59.59 New starts at 12.00.00

Phased

Stage by stage implementation if possible (e.g. in departments)



Generic software solutions and business process redesign

Competitive advantage

Firms seek to redesign processes to increase their competitive edge.

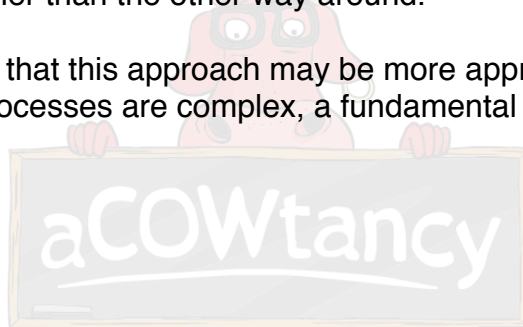
Generic software packages by their nature mean you can't outperform the competition using them

ERP-driven redesign

As opposed to the BPR approach explained above, the ERP (Enterprise Resource Planning) - driven approach to software solutions occur in reverse order. In effect, businesses start with the solution and then modify processes.

It is still possible to follow traditional redesign efforts (for example, by applying Harmon's 5 step process), but, generally, companies tend to accommodate the way that they work around the application rather than the other way around.

It can be argued therefore that this approach may be more appropriate to processes that are not complex. When processes are complex, a fundamental redesign process should be used.



Syllabus E: INFORMATION TECHNOLOGY

Syllabus E1. Principles of information technology

Syllabus E1a: Advise on the basic hardware and software infrastructure required to support business information systems

This will be clear as to what is needed in the exam - just make sure your recommendations are relevant

For example - most businesses will need a website where sales can be made and linked to stock and accounts

Furthermore - software solutions such as secure file retrieval systems like dropbox etc will help processes - but the point is just use common sense and relate it to the scenario

Syllabus E1b: Identify and analyse general information technology controls and application controls required for effective accounting information systems

Syllabus E1c: Analyse the adequacy of general information technology controls and application controls for relevant application systems

Information Technology Controls

These can be split into **general** controls and **application** controls

General controls:

As the name suggests these apply to all IT applications and are not specific

Examples

Back-up procedures, anti-virus software and firewalls

The process of purchasing hardware & software acquisition and their maintenance

Physical access controls (to servers etc) as well as passwords etc

Application Controls:

These are SPECIFIC controls over a particular process (eg. Sales orders, wages etc)

Examples

Range tests which reject data outside the given range (e.g. Enter your phone number but there's too many/few digits and it will highlight the error)

Numerical sequence checks to ensure that all accountable documents have been processed

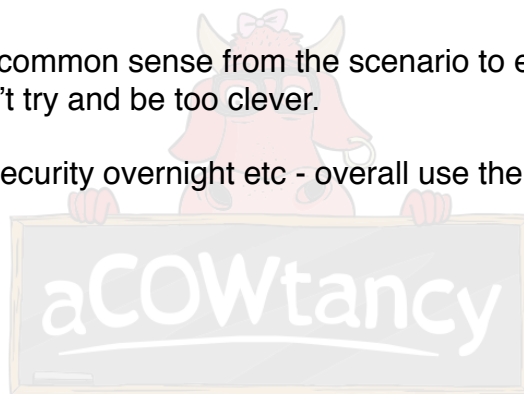
Drop down menus which constrain choices and ensure only allowable entries can be made

Batch total checks

Syllabus E1d: Evaluate controls over the safeguarding of information technology assets to ensure the organisational ability to meet business objectives

Again here this just takes common sense from the scenario to ensure all the obvious controls are in place - don't try and be too clever.

Think passwords, laptop security overnight etc - overall use the scenario



Syllabus E2. Principles of e-business

Syllabus E2a: Discuss the meaning and scope of e- business

Meaning

e-Business

Using internet technologies for key business processes

e-Commerce

Electronic information exchanges between the company and its external stakeholders

B2B - e.g. Supermarkets systems automatically placing orders when stocks are low

B2C - Selling over the internet (aCOWtancy.com)

C2B - Groupon - consumers together buying from a business

C2C - Ebay

Scope

Technology has helped rigid functional and divisional structures to be replaced by matrix and network systems.

New work patterns have emerged that encourage flexi-working and other family friendly measures. Many business processes are now automated.

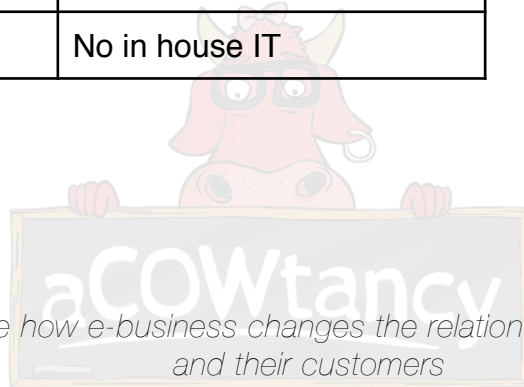
Enterprise Resource Planning Solutions

ERP Systems are now widely available providing management with information that is available almost instantaneously.

Whilst Information Technology may be in fact be used as a core competency, it needs to be applied judiciously to suit the specific business needs

Benefits and Barriers to eBusiness

Benefits	Barriers
Cost reduction	
Increased sales	
Better information	Technophobia
Increased visibility	Security concerns
Enhanced customer service	Set up costs
Improved marketing	No eBusiness opportunities
Market penetration	No in house IT



The Impact of eBusiness on Customer Relationships

Tie in/Switching Costs:

The consumer may need to learn how to use the technology and so incur some learning costs in the process. Moreover, some consumers may further be required to purchase a specific application in order to be in a position to make use of services made available through an e-business channel. Such factors raise the switching costs incurred by the customer to move from one service provider to another;

Disintermediation:

eBusiness can do away with the middleman who would otherwise be required to act as a broker between the buyer and the seller. Eg. on-line purchase of airline tickets & hotel accommodation

Reintermediation:

Where alternative services are offered through a single gateway. Eg. eBay, Expedia, and Travelocity amongst others.

A key advantage of using these intermediaries is the possibility to access a wealth of information on price and quality criteria for products and services that may be acquired and compare these in accordance with the customer's specific requirements;

Faster and Cheaper two way communication:

The RCA website was designed by a dude in downtown Brooklyn, New York. The site was coded by William from Malta.

aCOWtancy was developed in London, UK. The illustrator lives in Israel, and the customers come from all over the world

Communication between all parties is frequent and immediate

Development of User Communities:

Want to know how good your new Jaguar car might be? There will be a forum and website dedicated to in the internet

Recommendations from user communities are indeed a powerful tool that may be used by the organisations using e-business models since prospective customers are viewing an independent opinion on the overall quality and value for money of the product and/or service acquired from the seller.

Similarly a negative opinion is bound to put off a sale to a prospective buyer;

Think of user reviews on Amazon

Easier tracking of consumer patterns:

eBusiness Systems retain a trail of all transactions carried out by consumers over the internet thereby making it easier for organisations to collect and analyse consumer patterns in the process;

Enhanced Customisation:

Increased interactivity and easier tracking of consumer patterns creates the right framework for segmenting the market and developing dynamic ebusiness applications which customise the presentation, type and level of information and services posted on the portal.



E-business is just exchanging information in real-time, using the internet. The world wide web allows for more potential customers and suppliers

‘E-shopping’

Just means buying off a website

For the supplier, they will need delivery systems e.g.. direct delivery in the company’s own vehicles

It’s not always products of course, aCOWtancy.com is an example of selling a service, specifically information - sent directly to the customer via the internet

‘E-auctions’

Obviously eBay is the most best-known example

New intermediary companies

With the huge amount of websites and products available - there is now a new breed of businesses online which create more structure and organisation - filtering the web for a particular product

Think of asos.com, or ‘best deals’ sites such as [‘last-minute.com’](http://last-minute.com)

‘e-procurement’

This is business-to-business purchasing, by linking up the computer systems of companies with those of their main suppliers.

Advertising

Companies advertise their products or services on search engines such as Google, or on the websites of other companies.

Companies with popular, high-traffic websites can sell advertising space and earn revenue for their business in this way.

Marketing

Marketing messages can be sent by e-mail to potential customers (although this form of marketing is affected by the very large number of 'spam' marketing e-mails).

Customer relationships

Good customer relationships can be created by providing real time support, user forums and FAQ (frequently asked questions) pages.

Big data can also be used to analyse customer interests and preferences



Syllabus E3. E-business application: upstream supply chain management

Syllabus E3a: Analyse the main elements of both the push and pull models of the supply chain

Push Systems

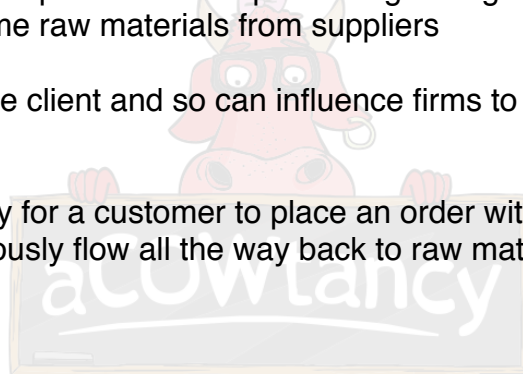
Here the raw materials are purchased, then pushed through to manufacturing, then pushed through to finished goods, then finally pushed through to the customer

Pull Systems

Here the customer makes an order and so pulls through some finished goods, which means the finished goods department must pull through the goods from manufacturing who must pull through some raw materials from suppliers

e-commerce empowers the client and so can influence firms to move towards a pull system

e-commerce makes it easy for a customer to place an order with precise requirements which can then simultaneously flow all the way back to raw material procurement



Syllabus E3b: Discuss the relationship of the supply chain to the value chain and the value network

The supply chain and the value network

E-commerce transactions could be when you buy raw materials and being electronic they can be real time and reduce costs thus adding value which can be passed onto customers

Added value can be created at any stage in the supply chain and at any link in the supply chain between a company and a supplier.

E-business provides opportunities for improvements throughout a company's own value chain and within its entire value network.

Relationships with suppliers can be vital in certain businesses. Those whose success may actually depend on their supplier are in what is called a supply chain

The internet can help the supply chain work more efficiently



Syllabus E3c) Assess the potential application of information technology to support and restructure the supply chain

d) Advise on how external relationships with suppliers and distributors can be structured to deliver a restructured supply chain

The virtual supply chain

A virtual supply chain is the electronic communications between the organisation and its suppliers. They could be via websites, extranet links or an electronic data interchange (EDI).

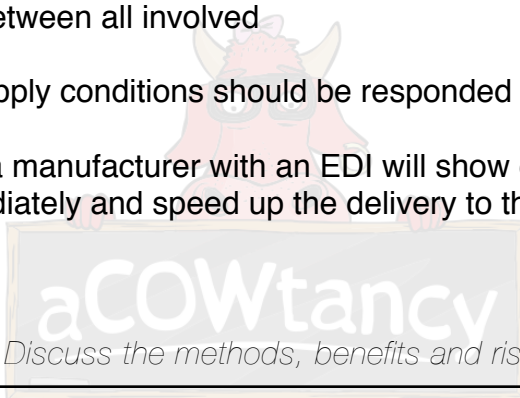
It can replace some of the 'traditional' links in the supply chain, improving the information flow from the organisation to its suppliers.

Creating a virtual supply chain might be essential for a manufacturer, in order to remain competitive. To be competitive, a manufacturing company must try to reduce its lead times

Collaboration is needed between all involved

Changes in demand or supply conditions should be responded to immediately

For example, an order to a manufacturer with an EDI will show current stock levels and the order will be placed immediately and speed up the delivery to the customer.



Syllabus E3e: Discuss the methods, benefits and risks of e-procurement

E-Procurement

This is the whole purchases cycle

Procurement can also be summarised as the 'five rights of purchasing':

1. right price
2. right quality
3. right quantity
4. right time
5. right place

Benefits of e-procurement

- 1) Reduced labour costs
- 2) Better inventory control
- 3) Fewer stock outs
- 4) Better ordering accuracy

Risks of e-procurement

- 1) Over-reliance on the technology
- 2) Staff resistance

Syllabus E3f: Assess different options and models for implementing e-procurement

There are 3 areas in particular where e-procurement methods can improve efficiency in the supply chain:

1. e-sourcing

This is the use of electronic methods for finding new suppliers (looking on the internet) and negotiating purchase agreements.

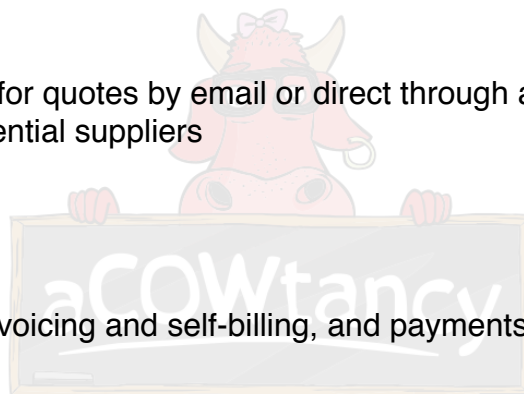
Communications and negotiations can be by e-mail

2. e-purchasing

This might involve asking for quotes by email or direct through a website, and also receiving quotes from potential suppliers

3. e-payment

This includes electronic invoicing and self-billing, and payments via paypal, stripe, BACS etc



Syllabus E4: E-business application: downstream supply chain management

Syllabus E4a: Define the scope and media of e-marketing b) Highlight how the media of e-marketing can be used when developing an effective e-marketing plan

e-marketing media includes websites, search engines, advertising on others sites, banner adverts, posting on popular blogs, free downloadable materials, social media

Social media can be great for offering immediate support.

Posting on popular blogs means giving great advice and thus building up a strong reputation within the industry

Free material could be in the form of a FREEMIUM model - like aCOWtancy.com where a high quality product is offered at no costs - building trust with future customers

More traditional push advertising is available in google (including Search engine optimisation) as well as on others sites

Syllabus E4c: Explore the characteristics of the media of e-marketing using the '6I's of Interactivity, Intelligence, Individualisation, Integration, Industry structure and Independence of location

Elements of eMarketing

eMarketing forms a critical part of downstream supply chain management systems. The key elements of eMarketing comprise the following:

Interactivity: This is the extent to which a portal promotes a two way communication channel between the customer and the supplier.

Intelligence: This is the extent to which customer information can be collected to form meaningful patterns & analysis;

Individualisation: This is the extent to which a web-site content is customised to the specific need of the customer;

Integration: This is the extent to which transactions arising through the portal are directly transferred to an organisation's back end systems;

Industry Structure: This is the extent and potential opportunities for disintermediation and reintermediation;

Independence of Location: This is the extent to which products and services offered to the eCommerce System permeate across geographical boundaries.

eMarketing is marketing carried out using electronic technology and follows the traditional marketing mix.

The marketing mix comprises of 4Ps in the case of Products and 7Ps in the case of Services.

The impact of e-business on the marketing mix for products and services is outlined below:

Product

A wider range of products is made available. An opportunity to provide customised offerings is further created particularly as a result of increased knowledge of the specific needs of the customer.

Price

Lower costs are incurred due to process automation which could in turn result in lower prices. On the other hand, direct comparison with others puts further pressure to lower prices

Promotion

Opportunity are created to use other Web-sites to promote an organisation's own web-site. Search Engine Optimisation has become a key Promotional tool.

An opportunity is also created to cross sell similar items to those purchased.

Place

Elimination of the middle man and wider reach across a far reaching geographic base. Has enabled direct delivery of knowledge based products over the internet.

People/ Participants

Automation, reduces the need for front line personnel to generate sales. On the other, increased customer support is required.

Processes

Business Processes are pushed down to the consumer. Whilst business cost is reduced, this creates consumer frustration

Physical Evidence

A Web-site provides a first impression and hence becomes an ambassador for the company which it represents.

Syllabus E4e: Describe a process for establishing a pricing strategy for products and services that recognises both economic and non-economic factors

Pricing

This is determined chiefly by 4 factors:

- 1) Costs
- 2) Customers (What are they willing to pay)
- 3) Competitors
- 4) Corporate objectives (break into a market or consolidate)

There are further issues to consider such as:

- 1) Survival (break even being the goal for the short term as you may feel your product is a little ahead of its time in that particular market)
- 2) Return on investment - If this needs to be met then the selling price may have to be adapted accordingly
- 3) Market positioning - where do you want to be in the market
- 4) Barrier to entry pricing - if you're the lowest cost provider then reducing the price to a minimum may prevent the competition joining the market
- 5) Cashflow requirements

Practical Pricing Methods

Method	Technique
Penetration	Low price to gain market share
Perceived Quality	High price to create the quality image
Periodic discounting	Sales
Price discrimination	Different prices for the same product in different markets
Price Skimming	High price at first until all those customers willing to pay such high prices have been "skimmed off". Then charge a lower price and repeat the process
Loss Leader	Customers tempted by this then (possibly tied in to) purchase other more profitable products
Bait pricing	Advertise a low price but hope customer will buy a higher priced one from within the range

eBranding

A Brand is a representation of the values, quality & positioning of an organisation's products and services as compared to those of its competitors. eBranding is the process through which an organisation's products and services are effectively positioning on the on-line market place.

There are three choices that need to be made available for organisations on how to apply e-branding initiatives. These are:

Retain the same Branding

On the Web-Site to that being applied to its brick and mortar business. In this case the e-brand replicates the physical brand. Airmalta uses the same brand for the sale of air tickets both over the counter as well as over the internet.

Offer a Slightly Amended Product:

This is normally the case for information products. For example, the Times of Malta offers additional interactivity functionalities to its on-line electronic version as compared to its paper version;

Form a partnership with an existing brand:

Such partnerships enable the sharing of costs and resources necessary to build the strength of the eBrand. This is particularly commonplace in the case where electronic payments need to be channelled through the internet whereby companies partner up with brands such as Paypal to give the consumer comfort on the security and reliability of the transactions processed on-line.

Develop an entirely new brand:

This may be necessary in the case of product or service offerings which target a completely separate market than that which is originally targeted in the brick and mortar business.

This technique is commonly used by Insurance Companies that may offer Insurance Policies over the internet using a different brand name.

Syllabus E5: E-business application: customer relationship management

Syllabus E5a: Define the meaning and scope of customer relationship management

Customer Relationship Management

Customer Relationship Management (CRM) is an approach to build and sustain long term business with customers.

It consists of the processes a company uses to track and organise its contacts with its current and prospective customers

CRM software is used to support these processes; information about customers and customer interactions can be entered, stored and accessed by employees in different company departments.

Syllabus E5b: Explore different methods of acquiring customers through exploiting electronic media

Acquiring Customers

One of the most challenging phases in an eMarketing initiative is the acquisition stage. From an eCRM perspective, a number of methods of acquisition may be contemplated.

These include the following:

- 1) Search engine Optimisation (SEO)
- 2) Pay Per Click (PPC): Here advertisers pay their host only when their ad is clicked.
- 3) Contextual Advertising: The advertisements themselves are selected and served by automated systems based on the content displayed to the user.
- 4) On-Line Public Relations: These include on-line blogs and social media
- 5) Affiliate Marketing: This is where a business rewards the affiliate for each visitor or customer brought about by the their marketing efforts.
- 6) Sponsorship: Firms advertise themselves as sponsoring or part sponsoring the web-site under review.
- 7) Co-Branding: This is when two companies form an alliance over the internet to work together, creating marketing synergy
- 8) Opt in emails: Opt in e-mail is a term used when someone is given the option to receive "bulk" e-mail, that is, e-mail that is sent to many people at the same time. An example of this is the email recap sent to all RCA students
- 9) Viral Marketing: Where the advertising is passed around indirectly by consumers (thus becoming viral). Viral promotions may take the form of video clips, interactive games, ebooks etc



Retaining Customers

Customers are retained if they are satisfied with the overall quality of products and services being provided by an organisation.

To ensure this focus could be on the following:

Tangibles:

The overall appearance and quality of a product and service;

Reliability:

The ability to provide a promised service dependably and accurately;

Responsiveness:

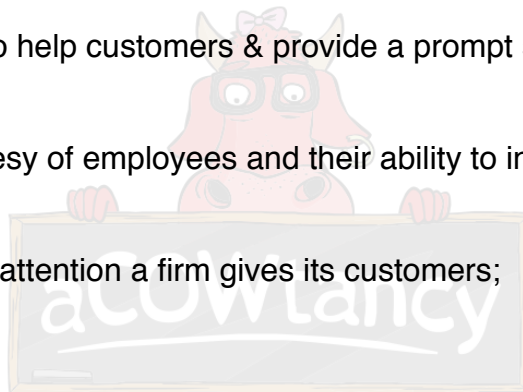
The willingness of a firm to help customers & provide a prompt service;

Assurance:

The knowledge and courtesy of employees and their ability to inspire trust and confidence;

Empathy:

The caring, individualised attention a firm gives its customers;



Techniques which can be used online include the following:

Personalisation:

Delivering individualised content through web-pages;

Mass Customisation:

Delivering customised content to groups of users through web-pages or e-mail;

Opt-in-e-mail:

Asking customers whether they wish to receive further orders;

On-line Communities:

Customers themselves create the content.

CRM systems help organisations to form and maintain relationships with customers.

The rise of Call Centres has necessitated the need for the development of sophisticated Customer Relationship Management Systems. CRM systems ensure consistency of service without dependency on specific customer service representatives through the maintenance of a central system containing all the required information on a customer.

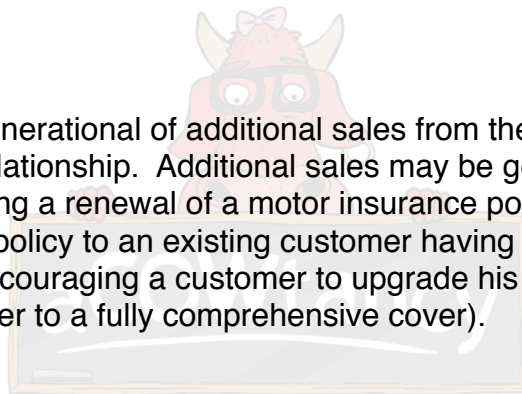
Retention

Retention is the ultimate objective of CRM systems particularly since it costs more to get a new customer than to retain an existing one.

Retention requires an in-depth understanding of the needs of the customer so that products and services are tailored to his or her specific requirements. Some lock in strategies are normally used such as is the case for loyalty schemes that are widely popularised by supermarkets, vendors of fast moving consumer goods and airlines.;

Extension:

Retention results in the generation of additional sales from the customers with whom the organisation has built a relationship. Additional sales may be generated either by reselling the same product (ex selling a renewal of a motor insurance policy), cross-selling (ex selling a home insurance policy to an existing customer having a motor insurance policy) or even up- selling (ex- encouraging a customer to upgrade his motor insurance policy from a third party only cover to a fully comprehensive cover).



The Customer Relationship Management Development Process

Relationships with customers are slowly built over time. The key is to retain the highest proportion of the customers in the business. The main stages of developing and maintaining appropriate customer relationships are illustrated below:

Phase 1 - Selection:

Identify the customers to be targeted through the normal Segmentation, Targeting and Positioning Process. Some form of market research may need to be carried out to ensure that the right customers are targeted;

Phase 2- Acquisition:

The generation of the first sale to a new customer. This stage is particularly critical since it is the first experience of the customer with the organisation.

The acquisition cost is minimised through the deployment of effective sales and business development strategy as well as the use of an appropriate marketing mix. The customer needs to be provided with a positive experience of the product and hence service quality becomes of paramount importance.

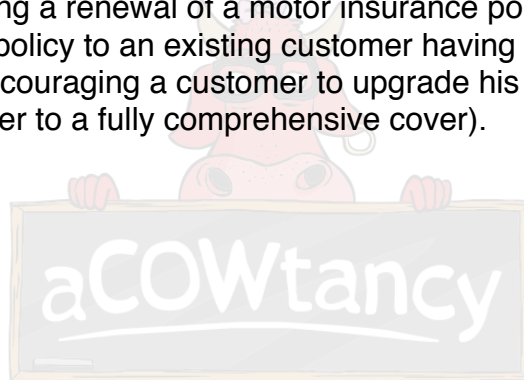
Phase 3 – Retention:

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Syllabus F: PROJECT MANAGEMENT

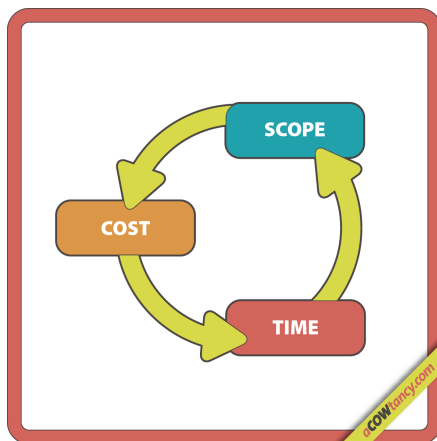
Syllabus F1. The nature of projects

Syllabus F1a) Determine the distinguishing features of projects and the constraints they operate in

What is a Project?

A project is a finite endeavour having a specific start and completion dates undertaken to create a quantifiable deliverable.

A project has three constraints:



Time:

Consists of two elements including the project completion date and available man hours.

Scope:

Comprises of the tasks that need to be performed and the levels of quality expected of the outcome.

Cost:

The available budget for project completion and the value added generated through the outcome.

Syllabus F1b: Discuss the implications of the triple constraint of scope, time and cost

Every project is constrained in some way by its scope, time and cost. These limitations are often called the triple constraint.

The scope concerns what has to be delivered by the project, time is when the project should deliver by, and cost is concerned with how much can be spent on achieving the deliverable (the budget).

Quality is also an important feature of projects.

Some authors include quality in their triple constraint (instead of scope), others add it as a further constraint (quadruple constraint), whilst others believe that quality considerations are inherent in setting the scope, time and cost goals of a project.

How a particular project is managed depends greatly on the pressures in the triple constraint.



Linking Projects to Strategy

By definition, Project Management involves change. Under the Strategy as Design view, change should be invoked through the Corporate and Business Level Strategy of an Organisation.

Each department subsequently engages on specific projects aimed at enhancing the organisation's strengths in specific critical success factors.

In some cases, as per the Emergent View of the Firm, strategic initiatives may be developed on an ad hoc basis. Engaging into ad hoc projects may in some cases be required due to unforeseen circumstances and changes in the market place which were not originally contemplated in the strategic plan.

Risk Management in Projects

A risk is anything that will have a negative impact on any one or all of the primary project constraints, i.e. Time, Scope and Cost

4 step process:

1. Identify Risk - Make list of potential risks continually
2. Analyse Risk - Prioritise according to threat/likelihood
3. Plan for Risk - Avoid or make contingency plans (TARA)
4. Monitor Risk - Assess risks continually

The analysis/assessment of risk is primarily concerned with the likelihood of them occurring and the severity of impact on the organisation or project should they occur.

Sometimes the likelihood is a subjective probability, the opinions of experienced managers or experts in the field. On other occasions, there is some statistical evidence on which to base the assessment.

Planning for risk involves TARA

- 1) Transfer the risk (to a 3rd party e.g. insurance)
- 2) Avoid the risk (don't take the project on)
- 3) Reduce the risk through controls (also called mitigation of risk)
- 4) Accept the risk (particularly if it's an insignificant or improbable risk)

All projects incur risks which include cost over-run, missed deadlines, poor quality, disappointed customers and business disruption.

Time Risks:

The risk of not completing the project within the deadline and/or within the time available;

Scope Risks:

The risk of not meeting the specifications and quality levels expected by the customers;

Cost Risks:

The risk of exceeding the budgeted cost of the project or of not achieving the desired value added following the completion of the project;

Such risks may be either foreseen, unforeseen or chaotic.

Foreseen risks refers to a distinct and identifiable project influence that may or may not have an impact on the project;

Unforeseen Uncertainty: Cannot be identified during project planning;

Chaos: whereas projects subject to unforeseen uncertainty start out with reasonably stable assumptions and goals, projects subject to chaos do not. Even the basic structure of the project plan is uncertain.

Experience has shown that many projects fail because of weaknesses in project identification and initiation:

An example would be not properly understanding the project's implications

Structures therefore need to be in place for a successful initiation

These would include:

- a project budget
- a project timetable
- adequate resources
- a well resourced and chosen project team

Initiating a project



This process builds on the work of the start up process, and the project brief is augmented to form a business case

Business Process Redesign

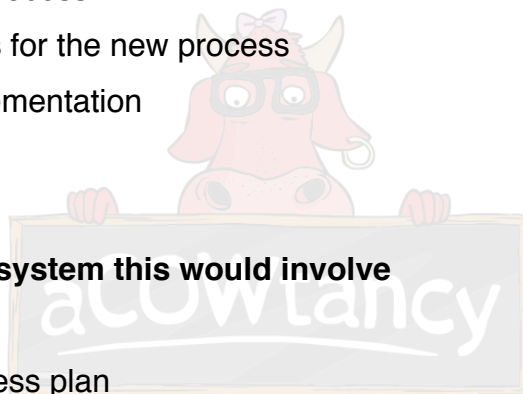
A specific project can be linked to a specific process - this is then business process redesign

The steps for this would be:

1. Analyse the existing process
2. Design the new process
3. Get the resources for the new process
4. Manage the implementation

For an e-business system this would involve

1. Establish e-business plan
2. Design the system and build new website
3. Integrate the e-business into the current system
4. Test the system and monitor



Syllabus F2: Building the business case

Syllabus F2a: Describe the structure and contents of a business case document

Reasons for building a business case:

- 1) To obtain funding
- 2) To compete with other projects
- 3) To improve planning
- 4) To improve project Management

Contents of a Business Case

Heading	Content
Introduction	Sets the scene and explains reasons behind the project
Executive Summary	The key considerations; The options considered; Reasons behind the choice made and the key numbers
Current Situation	Strategic and operational assessment including a SWOT analysis
Options	Assessment of each and reasons why not chosen
Cost / benefit analysis	Detail in the appendices; tangible and intangible (customer satisfaction etc) items; Appraisal techniques numbers also
Impact	Impact on the cultural web
Risk	Identification and management of each risk. Contingency planning
Recommendations	Justification for the chosen path
Appendices	Detailed cost/benefits and appraisal technique numbers

Cost / Benefits of a Project

Project Costs

Investment Cost	Include IT costs and project specific assets
Development Costs	Include potential future development costs (as an estimate)
Centrally allocated costs	For use of premises and services (personnel, accounting etc)
External Consultancy costs	
Resource costs	For ongoing (incremental) staffing costs and material costs
Quality costs	Training, reworking, monitoring
Flexibility costs	IT equipment for home use; lower batch sizes etc
Disruption costs	Loss of productivity during changeover

Project Benefits

Some benefits are more worthy than others - here's the scale

1. Financial (cost reductions / revenue increases)
2. Quantifiable (now and forecastable before the project)
3. Measurable (now but not forecastable until after the project)
4. Observable (e.g. Improvements in morale)

Project Appraisal

Projects tie up a lot of resources in terms of time, costs and human resources, it is therefore important to assess these properly. Part of the assessment includes financial rewards derived from the projects.

The following project appraisal methods focus purely on the financial rewards of the project, however this should not be the only determining factor of whether management should select a project or not.

Indeed, focusing only on financial costs and benefits can lead to the following issues:

- 1) Non-financial costs or benefits might outweigh the financial ones
- 2) Managers might be encouraged to make use of 'creative' calculations of benefits and have them classified under financial benefits
- 3) Costs may be removed from forecasts in an attempt to 'overstate' the case for the project
- 4) Managers may include slack in forecasts in an attempt to show enough benefit to achieve project approval
- 5) Projects with no financial benefits will be automatically rejected

Payback Period

The payback period is how long it takes the cash inflows to exceed the initial outflow - "the time that it takes for an investment to pay for itself."

The quicker the better - particularly when the focus is on liquidity

Eg.

Initial cost	3.6 million
Cash in annually	700,000

What is the payback period?

$$3,600,000 / 700,000 = 5.1429$$

Take the decimal (0.1429) and multiply it by 12 to get the months - in this case 1.7 months

So the answer is **5 years and 1.7 months**

Eg 2

Consider the following data:

		Cumulative
Capital out	800	-800
Cash in	100	-700
Cash in	240	-460
Cash in	200	-260
Cash in	250	-10
Cash in	120	+110

When the **cumulative** cashflow becomes positive then this is when the initial payment has been repaid and so is the payback period

So in the final year we need to make 10 more to recoup the initial 800. So, that's 10 out of 120. $10/120 \times 12$ (number of months) = 1.

So the answer is 4 years 1 month.

Return on capital employed (ROCE)

$$\frac{\text{Average annual profit (PBIT) of the investment}}{\text{Cost of the investment}}$$

This is used when company's are more interested in **PROFITABILITY** than liquidity

It uses profits rather than cashflows

The answer is expressed as a % and can be compared to a target return (often the company's cost of capital)

Net Present Value

So, to appraise an investment we compare the cost to all the discounted inflows. The hopefully positive difference is the NPV

If a company has 2 projects under consideration it should choose the one with the highest NPV.

NPV Proforma

	0	1	2	3	4
Sales		x	x	x	x
Costs		(x)	(x)	(x)	(x)
Profit		x	x	x	x
Tax		(x)	(x)	(x)	(x)
Capital Expense	(x)				
Scrap					x
WDA		x	x	x	x
Working capital	(x)	(x)	(x)	(x)	x
Discount Factor					

Illustration

	0	1	2	3	4
Land & Buildings	2000				
F&F	500				
Revenue		600	800	1000	1200
COS		150	200	250	300
Overheads		100	100	100	100

Additional information:

20% of office overhead is an allocation of head office operating costs.

The cost of land and buildings includes a feasibility study which has already been paid of 100

The entity hope to sell the business at the end of year 4 for 1,500

Cost of capital is 10%

Tax is 30% and is payable one year after profits are earned

WDA on fittings and equipment at 25% on a reducing balance basis. None available on land and buildings.

Estimated resale proceeds of 100 for the fittings and equipment have been included in the total figure of 1,500 given above.

Working capital = 10% of next years sales



Answer

	0	1	2	3	4	5
Sales		600	800	1000	1200	
Costs		150	200	250	300	
Overhead		80	80	80	80	
Profit		370	520	670	820	
Tax			-111	-156	-201	-246
Capital Expense	-2,400					
Scrap					1500	
WDA			37.5	28	21	33.5
Working capital	-60	-20	-20	-20	120	
Discount Factor	0	0.909	0.826	0.751	0.68	0.621
	-2460	318	352	392	1537	-132

NPV = 7

WDA working

Yr 1 $500 \times 25\% \times 30\% = \mathbf{37.5}$

Yr 2 $37.5 \times 75\% = \mathbf{28}$

Yr 3 $28 \times 75\% = \mathbf{21}$

Asset effective cost = $(500 - 100) = 400$.

So WDA should be $400 \times 30\% = 120$, so extra **33.5**

NPV Benefits

- it considers the time value of money (that is in the discount rate used)
- it gives an absolute figure not a percentage
- it considers the whole life of the project
- is based on real cashflows.

NPV drawbacks

- is the reliance placed on the cost of capital - this can be tricky to calculate (as we shall see later)
- inflation rates for selling price and variable cost are assumed to be constant in future periods. In reality, interaction between a range of economic and other forces influencing selling price per unit and variable cost per unit will lead to unanticipated changes in both of these project variables
- it is heavily dependent on the production and sales volumes forecasts

Internal Rate of Return

The IRR is essentially the discount rate where the initial cash out (the investment) is equal to the PV of the cash in. **So, it is the discount rate where the NPV = 0**

Consequently, to work out the IRR we need to do trial and error NPV calculations, using different discount rates, to try and find the discount rate where the NPV = 0.

The good news is you only need to do 2 NPV calculations and then apply a formula.

That formula is:

$$L + \frac{NPV L}{NPV L - NPV H} \times (H - L)$$

L = Lower discount rate

H = Higher discount rate

NPV L = NPV @ lower rate

NPV H = NPV @ higher rate

Illustration

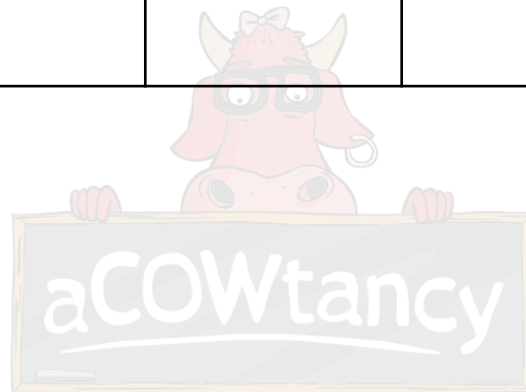
If a project had an NPV of 50,000 when discounted at 10%, and -10,000 when discounted at 15% - what is the IRR?

Answer

$$10 + (50,000/60,000) \times 5\% = 14.17\%$$

ROCE, Payback, NPV and IRR compared

	NPV	IRR	ROCE	Payback
Time value of money accounted for?	Yes	Yes	No	No
Use relevant cashflows?	Yes	Yes	No	Yes
Looks at cashflows for all investment's life?	Yes	Yes	Yes	No



Benefit Owners

An owner should be assigned to each individual benefit. Someone who gains the from the benefit and therefore is willing to work to ensure it is realised.

However, the benefit owners are not solely responsible for realising the benefit, as others are needed and may not be under their direct control.

Sometimes it's better to have more than one benefit owner - for example when an organisation is based in two separate geographical locations

However, there shouldn't be too many as they need to reach agreement quickly

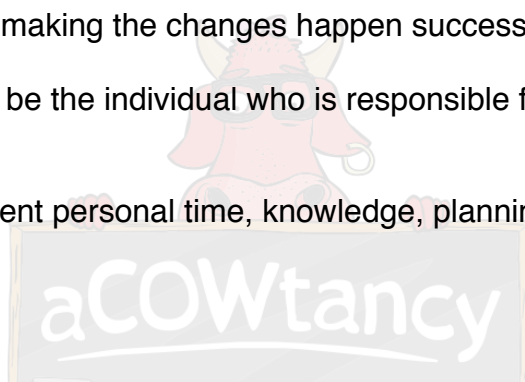
The benefit owners will be responsible for establishing measures for benefits, and identifying how they will know when the benefit has been achieved (what evidence of achievement is required? How can the achievement of each change be assessed?)

Change Owners

These are responsible for making the changes happen successfully.

The change owner should be the individual who is responsible for the area in which the identified change resides.

They must dedicate sufficient personal time, knowledge, planning and managing of the changes



After the benefits have been quantified (or otherwise measured) and allocated to owners, the business case will need to identify how those benefits will be realised.

This plan will identify factors that indicate when the change has been successful and the benefits are being realised, and will illustrate everything that has to happen in order for this to occur.

The benefits realisation plan will involve

- Full descriptions of each benefit and change with responsibilities for delivery defined and agreed
- Measures, and where possible expected values, for each benefit
- Measurements to establish the current baseline
- Agreed ownership of all the changes and actions in place to address issues that may affect the achievement of changes

- Evidence or criteria to be used to assess whether each change has been successfully carried out
- Complete and documented benefits dependency network identifying all the benefit and change relationships

Management of Benefits

The idea is that some benefits are not automatic but need work to be realised

Process	
Identify & Structure benefits	Effect on stakeholders and business case
Plan realisation	Responsibility allocated and performance measures set (using current as baseline)
Executing the plan	Interim targets monitored and remedial action taken
Review results	Allows the firm to learn so future actions improved
Establish potential for future benefits	Similar to stage 1 - with hindsight of unforeseeable benefits that may have occurred



Syllabus F3: Managing and leading projects

Syllabus F3a: Discuss the organisation and implications of project-based team structures

Project Team Structures

Projects need coordination. Teams will be from different function boundaries, therefore a matrix structure is required

The size of the team will depend on the project

One of the difficulties for the organisation therefore becomes one of responsibility. If you are working on a project, say as an accountant, are you then reporting to the FD or to the Project Sponsor?

Syllabus F3b: Establish the role and responsibilities of the project manager and the project sponsor

Project Sponsor

Normally a senior member of management, often the one with most to gain (or lose) from it

Their job is to direct the project with roles such as choosing the right project, monitoring, coaching, making decisions and negotiating resources

Project Manager

Manages it on a day-to-day basis. Responsibility to deliver the project and ensure effectiveness and efficiency

Various roles include team leader, co-ordinator, relationship manager, problem solver, budget manager and change manager

They are often 'generalists' not specialists, facilitating rather than supervising team members

Typical problems faced by Project Managers

- Managing people with their own department responsibilities
- Dealing with departmental managers
- Managing the resources
- Dealing with specialists

Leadership and team building

A participative style of leadership is appropriate for much of most projects, but a more autocratic, decisive style may be required on occasion.

Be positive (but realistic) about all aspects of the project

Understand where the project fits into the big picture

Delegate tasks appropriately

Do not be restrained by organisational structures

Organisational

Ensure all project documentation is clear and distributed to all who require it

Communication and negotiation

Listen to project team members

Use persuasion to coerce reluctant team members or stakeholders to support the project

Negotiate on funding, timescales, staffing and other resources, quality and disputes

Ensure management is kept informed and is never surprised

Technical

By providing the technical expertise and experience needed to manage the project

Personal qualities

Be flexible

Show persistence. Even successful projects will encounter difficulties that require repeated efforts to overcome

Be creative. If one method of completing a task proves impractical a new approach may be required

Patience is required even in the face of tight deadlines

Problem solving

Delegate as much responsibility as possible to team members

React fast and decisively



Syllabus F4: Planning, monitoring and controlling projects

Syllabus F4a: Discuss the principles of a product breakdown structure

Product breakdown structure looks at the work required to breakdown the project into manageable chunks.

Start with the outputs expected of the project. Split them into tangible & intangible components then simplified further

Working backwards in this way helps to avoid preconceived ideas of the work the project will involve and the processes that must be undertaken.

It can start with major project phases and gradually break them down into major activities, more detailed sub-activities and individual tasks that will last only a very short time.

These are very useful for control purposes, as the completion of each stage is an obvious point for reviewing the whole plan before starting the next one.

Syllabus F4b: Assess the importance of developing a project plan and discuss the work required to produce this plan

Project Plan

Important because it

- 1) Communicates roles & timings
- 2) Encourages forward thinking
- 3) Provides the measures of success
- 4) Identifies resources needed

Contents of a Project Plan

Parts of Plan	Contents
Overview	Background, Aims, scope, outputs, stakeholder analysis (mendelow), Risk Analysis (risk map), Intellectual property rights
Resources	Details of project partners, reporting relationship, decision process
Detailed Plan	Project deliverables and reports, phasing of work and deadlines
Evaluation Plan	How the output quality should be evaluated, how success will be measured
Quality Plan	Quality assurance procedures for each deliverable
Dissemination Plan	How outcomes will be shared with stakeholders
Exit & Sustainability Plan	What will happen to knowledge etc at the end. See if any outputs may live on after profit ends

Syllabus F4c: Monitor the status of a project and identify project risks, issues, slippage and changes
d: Formulate responses for dealing with project risks, issues, slippage and changes

Project Gateways

These are review points for critical points in the project. They ensure the business case remains valid

If there are problems then control measures and corrective action will be necessary (or stop if severely off course)

Normally carried out by someone not involved in the project

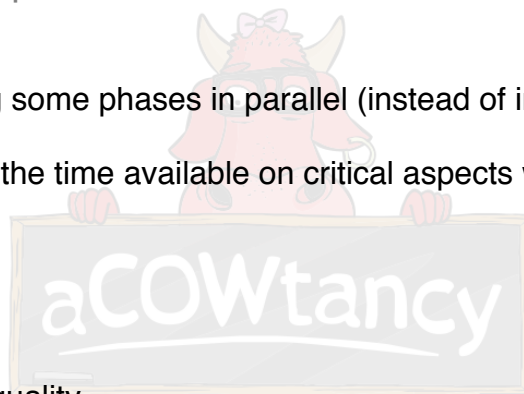
Threat Identification

This will obviously reduce the risk of slippage (when a projects slips behind timescale, or slips over budget etc) and other problems.

Threat	Prevention
Poor management or planning or controls	Training managers, no critical projects until proved themselves
Poor Planning	Use proper planning methods
Poor Controls	Set out in advance
Unrealistic deadlines	Ensure no slippage and change deadlines
Insufficient budgets	Do a smaller project properly
Moving targets	Structured walkthroughs and prototyping

Corrective action examples

- 1) Fast tracking - doing some phases in parallel (instead of in sequence)
- 2) Crashing - reducing the time available on critical aspects while minimising the cost of doing so
- 3) Adding resources
- 4) Reducing scope or quality
- 5) Incentives and punishments

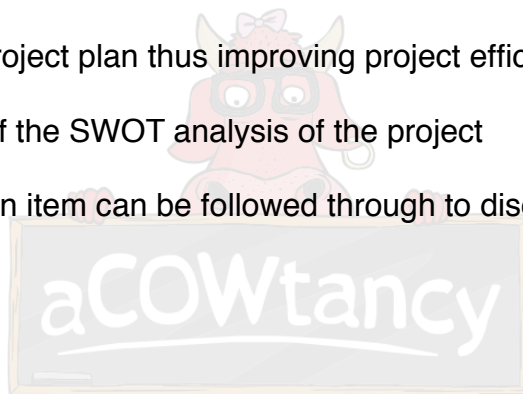


Benefits Dependency frameworks

This attempts to ensure there are appropriate changes in work methods, structure, culture etc

Advantages

- Clearly illustrates the business drivers (why), the business benefits (what) and the business and enabling changes (how)
- Clearly identified linkages
- Enabling changes followed through to the business drivers
- Business benefits requiring too many enabling and business changes, can be dropped from the project
- It can feed into the project plan thus improving project efficiency
- May form the basis of the SWOT analysis of the project
- Impact of failure on an item can be followed through to discover the overall impact on the project



Syllabus F5: Concluding a project

Syllabus F5a: Establish mechanisms for successfully concluding a project b) Discuss the relative meaning and benefits of a post-implementation and a post-project review

Project Completion

Post Project Review

This involves:

- 1) Acceptance by client
- 2) Review of outputs (against goals)
- 3) Disbanding the team
- 4) Performance review
- 5) Lessons learnt
- 6) Formal closure by the steering committee

Post Implementation Review

This involves

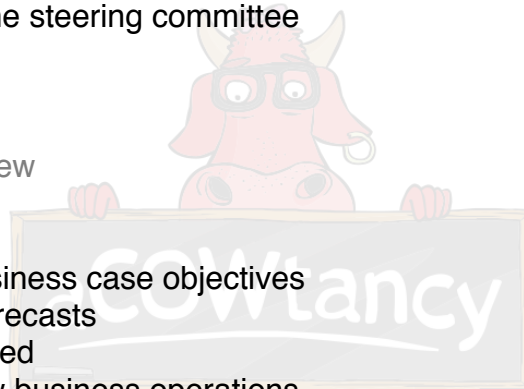
- 1) Gap analysis on business case objectives
- 2) Costs / benefits v forecasts
- 3) Other benefits realised
- 4) Effectiveness of new business operations
- 5) Stakeholder satisfaction

PIRs are on-going to ensure benefits are managed and realised

PPR is a one -off with a lessons learnt goal

PIR objective is to ensure maximum benefit is obtained from the product of the project

PPR focuses on the project itself



Benefits Realisation Review

To see if the benefits claimed at evaluation stage are subsequently realised

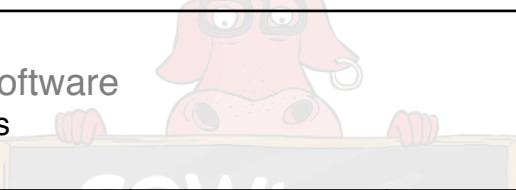
It includes:

- 1) Seeing which benefits have been achieved (and which haven't)
- 2) Identify any unexpected benefits and weaknesses
- 3) Understand reasons for the above
- 4) Understand how to improve the management process

Syllabus F5d: Evaluate how project management software may support the planning and monitoring of a project

Project Management Software

This can be used as follows



Plan	Estimate	Monitor	Report	Advantages
Network diagrams created	Consider alternative resource allocation	Network all members	Access to members	Better planning and control
Gantt Charts created	Create budgets	Central store for all project data	create technical documents	Better communication
	Allocate time	Automatic comparison to the plan	Create reports	Better quality systems

It will require the following

- 1) Duration of each activity
- 2) Dependence on activities
- 3) Resources available

4) When the resources become available

Syllabus F5e: Apply 'lessons learned' to future business case validation and to capital allocation decisions

The need for continuous improvement is necessary because, despite best efforts, many projects fail.

By analysing the reasons for the failures and identifying the lessons learned the chances of future success can be improved.

Taking the lessons learned forward into future projects helps avoid similar mistakes and to strengthen and improve both the project management and management processes.

Lessons learned should be fed back into project management standards to ensure future projects do not repeat the same mistakes.



Syllabus G: FINANCE

Syllabus G1: The link between strategy and finance

Syllabus G1a: Explain the relationship between strategy and finance

- i) Managing for value*
- ii) Financial expectations of stakeholders*
- iii) Funding strategies*

Syllabus G1b: Discuss how the finance function has transformed to enabling an accountant to have a key role in the decision making process from strategy formulation and implementation to its impact on business performance

Finance underpins strategy. Potential new projects / investments need financing.

Therefore the cheapest form of financing needs to be obtained and the project needs to outperform the cost of the financing (cost of capital)

Furthermore, a company needs to be aware of the cashflows needed for the potential project and the levels of gearing and interest payments it currently already has

Then theres the issue of dividends - cutting these could help finance a project - but would this be acceptable to shareholders

Managing for Value

This is a move from “scale” to “values”

In other words, the questions should no longer be how many countries do well to, do we have the biggest market share etc to what is the contribution of this product to the brand and what financial return on investment are we getting

To do this, there are 3 steps:

- 1) Competitive strategy (where customers see value and buy off you). This then gives you cashflows and earnings beyond what rivals can offer
- 2) Financial strategy is ensuring that the funds we use are as cheap as possible (cost of capital) and fit with our corporate strategy

- 3) These funds are then re-invested to create value for our stakeholders in products which again take us back to step 1

Syllabus G2: Finance decisions to formulate and support business strategy

Syllabus G2a: Determine the overall investment requirements of the business

Focus here on the scenario and look at the original capital investment needed plus any interest charges plus any working capital requirements

Syllabus G2b: Evaluate alternative sources of finance for these investments and their associated risks

Alternative Sources of Finances

- 1) Equity - Ordinary issue and rights issue
- 2) Self generated funds
- 3) Debt - Including preference shares and convertible loans
- 4) Leasing
- 5) Grants

Things to consider are:

- 1) Their costs (debt cheaper than equity)
- 2) Effect on gearing (shares will reduce this)
- 3) Effect on control (Debt and rights issue will maintain control)
- 4) Availability (Issuing shares not always a possibility, debt also)
- 5) Time needing funds for (Shares more long term)
- 6) Expectations (Will repayments be feasible)

7) Security to be offered (without it more debt might not be possible)

Syllabus G2c: Efficiently and effectively manage the current and non-current assets of the business from a finance and risk perspective

Managing Assets

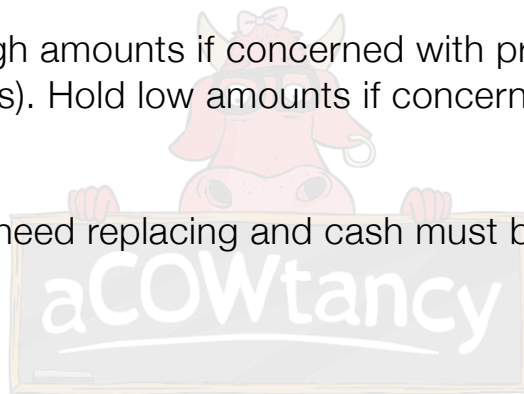
Cash - how much cash to keep on hand and how much to invest elsewhere. This will depend on future investing requirements and cashflow forecasts

Debtors - Efficient managing of these to ensure prompt payment but also enough incentive for customers to buy from us by an attractive credit period

These current assets need managing according to the company needs for either profitability or liquidity.

Eg Inventory - hold high amounts if concerned with profitability (no stock outs and loss of orders). Hold low amounts if concerned with liquidity as stock ties up cash

Non current assets need replacing and cash must be set aside or be budgeted for



Syllabus G3. The role of cost and management accounting in strategic planning and decision-making

Syllabus G3a: Evaluate budgeting, standard costing and variance analysis in support of strategic planning and decision making

Standard Costing

A standard cost is a predetermined estimated unit cost of a product or service. Therefore, a standard cost represents a target cost.

Standard costing has a variety of uses: -

it is useful for planning, control and motivation

it is used to value inventories and cost production for cost accounting purposes

it acts as a control device by establishing standards (planned costs), highlighting activities that are not conforming to plan and thus alerting management to areas which may be out of control and in need of corrective action.

Variance Analysis

Variances provide feedback to management indicating how well, or otherwise, the company is doing.

Standard costs are essential for calculating and analysing variances. Before any meaningful comparison can be made, the original budget should be 'flexed' to the actual level of performance.

A **flexible budget** is a budget which, by recognising different cost behaviour patterns, is designed to change as volume of activity changes.

A **flexed budget** is a budget prepared to show the revenues, costs and profits that should have been expected from the actual level of production and sales.

Budgetary control involves drawing up budgets for the areas of responsibility for individual managers and of regularly comparing actual results against expected results.

The differences between actual results and expected results are called variances and these are used to provide a guideline for control action by individual managers.

Sales Variances

The sales price variance shows the effect on profit of selling at a different price from that expected.

The sales price variance =	Actual units should have sold for	\$ x
	Actual units did sell	\$ x
	Sales Price Variance	<u>\$ x (F/A)</u>

The sales volume variance =	Budgeted sales volume	x units
(absorption costing)	Actual sales volume	x units
	Sales Volume Variance in units	x units (F/A)
	x standard profit per unit	\$x
	Sales Volume Variance in \$	<u>\$x (F/A)</u>

The sales volume variance =	Budgeted sales volume	x units
(marginal costing)	Actual sales volume	x units
	Sales Volume Variance in units	x units (F/A)
	x standard contribution per unit	\$x
	Sales Volume Variance in \$	<u>\$x (F/A)</u>

The **sale price variance** is a measure of the effect on expected profit of a different selling price to standard selling price. It is calculated as the difference between what the sales revenue should have been for the actual quantity sold, and what it was.

The **sales volume profit variance** is the difference between the actual units sold and the budgeted (planned) quantity, valued at the standard profit (under absorption costing) or at the standard contribution (under marginal costing) per unit. In other words, it measures the increase or decrease in standard profit as a result of the sales volume being higher or lower than budgeted (planned).

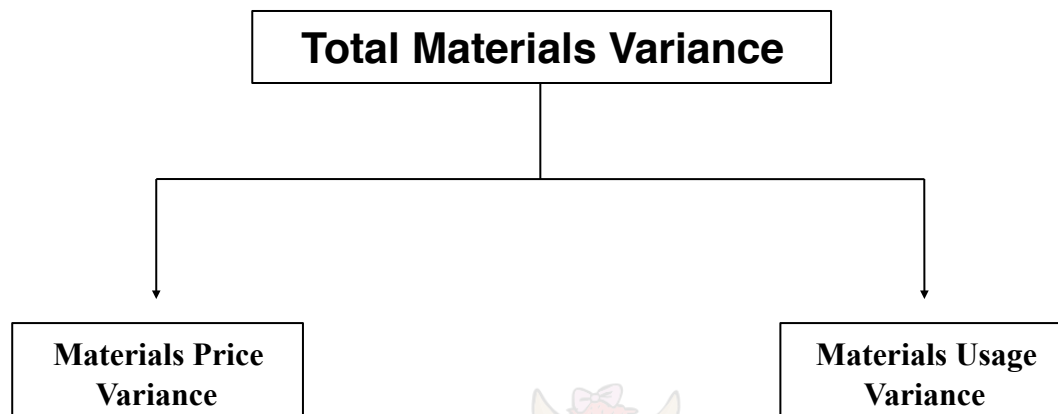
Possible causes of sales variances: -

1. unplanned price increases
2. unplanned price reduction to attract additional business
3. unexpected fall in demand due to recession
4. increased demand due to reduced price

5. failure to satisfy demand due to production difficulties

Material Variances

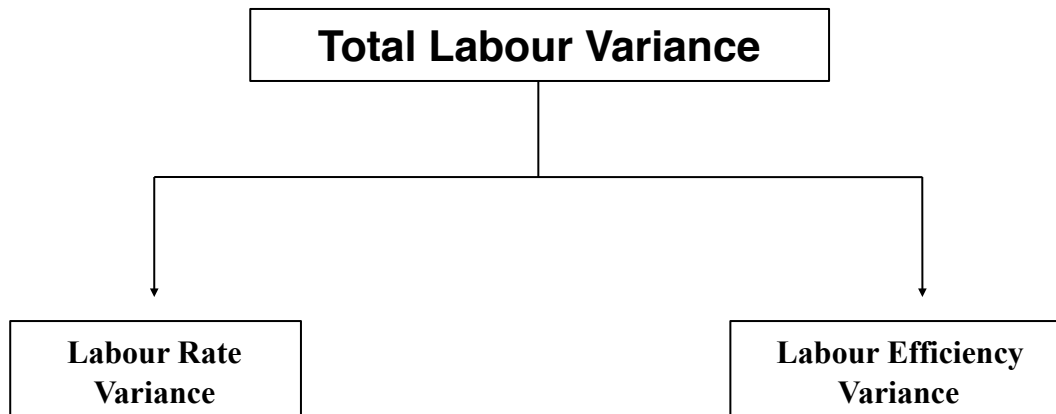
The **direct material total variance** can be subdivided into the direct material price variance and the direct material usage variance.



Variance	Favourable	Adverse
Material price	Unforeseen discounts received More care taken in purchasing Change in material standard	Price increase Careless purchasing Change in material standard
Material usage	Material used of higher quality than Standard More effective use made of material Errors in allocating material to jobs	Defective material Excessive waste Theft Stricter quality control Errors in allocating material to jobs

Labour Variances

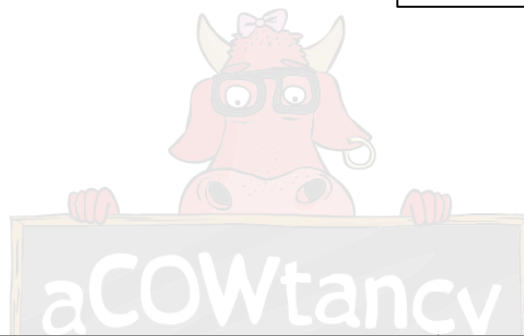
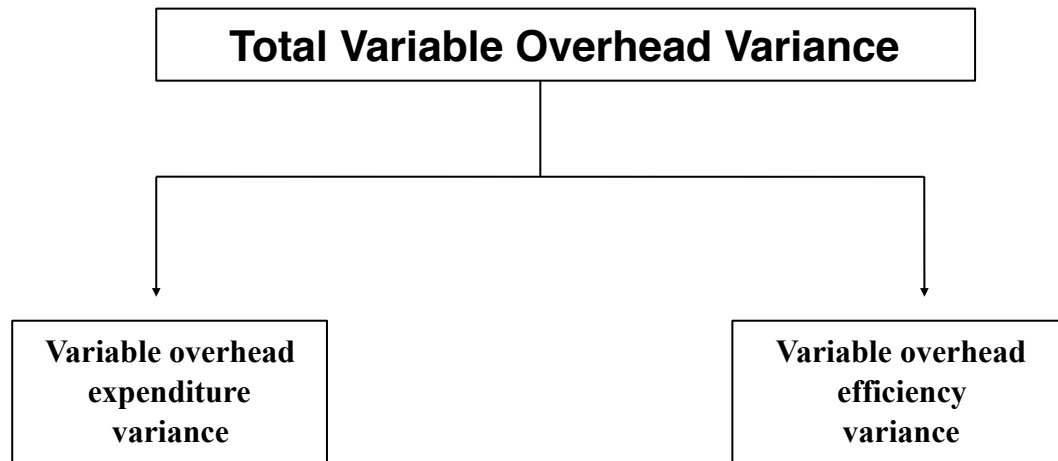
The **total labour variance** can be subdivided between labour rate variance and labour efficiency variance.



Variance	Favourable	Adverse
Labour rate	Use of apprentices or other workers at a rate of pay lower than standard	Wage rate increase Use of higher grade labour
Idle time	The idle time variance is always adverse	Machine breakdown Non-availability of material Illness or injury to worker
Labour efficiency	Output produced more quickly than expected because of work motivation, better quality of equipment or materials, or better methods. Errors in allocating time to jobs	Lost time in excess of standard allowed Output lower than standard set because of deliberate restriction, lack of training, or sub-standard material used Errors in allocating time to jobs

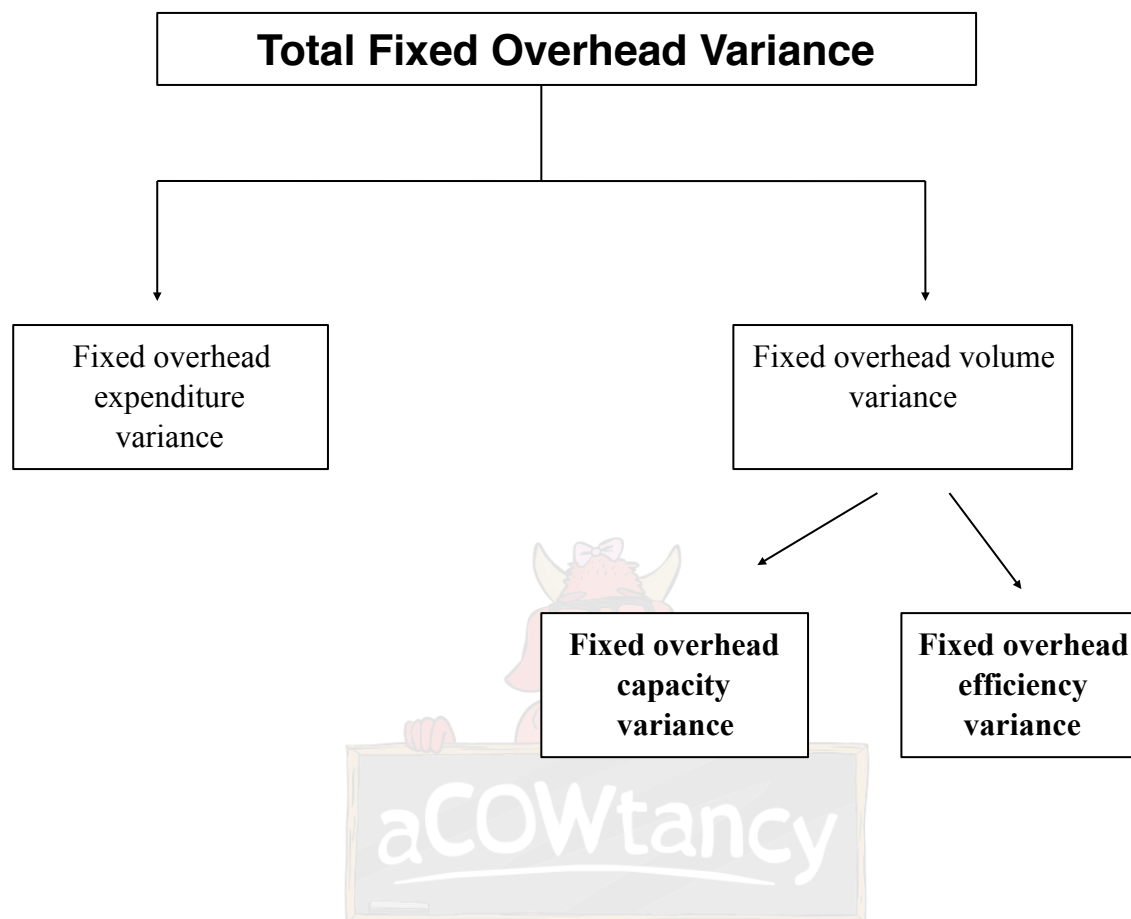
Variable Overhead Variances

The **variable production overhead total variance** can be subdivided into the variable production overhead expenditure variance and the variable production overhead efficiency variance (based on actual hours).



Variance	Favourable	Adverse
Variable overhead expenditure	Savings in costs incurred More economical use of overheads	Increase in cost of overheads used Excessive use of overheads Change in type of overheads used
Variable overhead efficiency	Labour force working more efficiently (favourable labour efficiency) Better supervision or staff training	Labour force working less efficiently (adverse labour efficiency) Lack of supervision

Fixed Overhead Variances



Variance	Favourable	Adverse
Fixed overhead Expenditure	Savings in costs incurred Changes in prices relating to fixed overhead expenditure	Increase in cost of services used Excessive use of services Change in type of services used
Fixed overhead volume Efficiency	Labour force working more efficiently	Labour force working less efficiently Lost production through strike
Fixed overhead volume Capacity	Labour force working overtime	Machine breakdown, strikes, labour Shortages



Decision trees and multi-stage decision problems

A decision tree is a diagram showing several possible courses of action and possible events and the potential outcomes for each course of action.

Each alternative course of action or event is represented by a branch, which leads to subsidiary branches for further courses of action or possible events.

In the exam, you will not have to draw decision trees but it will be important that you can understand and interpret them.

Look at this example - you start from the right and work to the left

So, Look at F

$$(1,500,000 \times 0.95 + 600,000 \times 0.05) =$$

$$1,455,000$$

$$- 550,000 \text{ E}$$

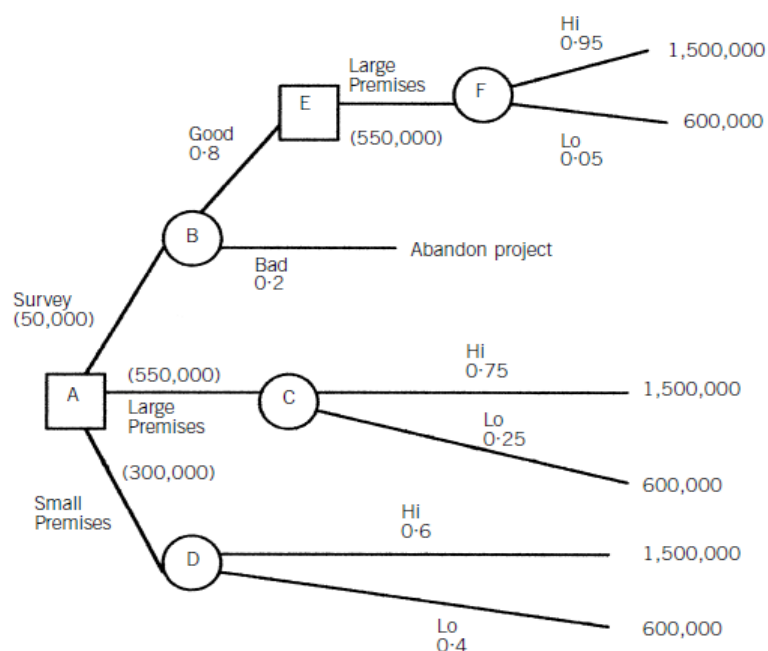
$$= 905,000$$

$$B = 905,000 \times 0.8 =$$

$$724,000$$

$$- 50,000 \text{ survey} =$$

$$\mathbf{674,000}$$



Now lets go again from the right

$$1,500,000 \times 0.75 + 600,000 \times 0.25 = 1,275,000 - 550,000 \text{ (large premises)} = \mathbf{725,000}$$

Now again from the right

$$1,500,000 \times 0.6 + 600,000 \times 0.4 = 1,140,000 - 300,000 \text{ (small premises)} = \mathbf{840,000}$$

From the above - compare the final figures and you can see the small premises is **probably** the best option

Note: -



A square is used to represent a decision point. At a decision point, the decision maker has a choice of which course of action he wishes to undertake.



A circle is used as an outcome point. The branches from the circle are always subject to probabilities.

Syllabus G3c) Evaluate the following strategic options using marginal and relevant costing techniques.

- i) Make or buy decisions*
- ii) Accepting or declining special contracts*
- iii) Closure or continuation decisions*
- iv) Effective use of scarce resources*

Relevant Costing

Any short term decisions should be approached using relevant costing principles. Relevant costs and revenues are future cash flows arising as a direct consequence of a decision.

1. Relevant costs and revenues are future costs and revenues
2. Relevant costs and revenues are cash flows
3. Relevant costs and revenues are incremental costs and revenues.

Decision making should be based on relevant costs and revenues.

1. Relevant costs are **future costs**. A decision is about the future and it cannot alter what has been done already. Costs that have been incurred in the past are totally irrelevant to any decision that is being made 'now'. Such costs are called past costs or sunk costs and are irrelevant.
2. Relevant costs are **cash flows**. Only cash flow information is required. This means that costs or charges which do not reflect additional cash spending (such as depreciation and notional costs) should be ignored for the purpose of decision making.
3. Relevant costs are **incremental costs** and it is the increase in costs and revenues that occurs as a direct result of a decision taken that is relevant. Common costs can be ignored for the purpose of decision making.

Where the choice of one course of action requires that an alternative course of action is given up, the financial benefits that are forgone or sacrificed are known as opportunity costs. Opportunity costs are relevant to short-term decision making and represent the lost contribution to profits arising from the best use of the alternative forgone. Opportunity costs only arise when resources are scarce and have alternative uses.

Relevant costing techniques can be used in four key areas of decision making:

- (i) Make or buy decisions
- (ii) Accepting or declining special contracts
- (iii) Closure or continuation decisions
- (iv) Effective use of scarce resources

Make or buy decisions

When assessing the differences in costs between making a product in-house or outsourcing, a key consideration is whether spare capacity does or would exist.

If there is spare production capacity available the following issues arise:

1. Production resources may be idle if the component is purchased from outside.
2. The fixed costs of those resources are irrelevant to the decision in the short term as they will be incurred whether the component is made or purchased.
3. Purchase would be recommended only if the buying price was less than the variable costs of internal manufacture.
4. In the long term, however, the business may dispense with or transfer some of its resources and may purchase from outside if it thereby saves more than the extra cost of purchasing.

If there is not spare capacity available, the following issues arise:

1. A decision to make components in-house might displace the manufacture of other existing products. This could give rise to opportunity costs of lost contribution or additional costs of buying in those products (if cheaper).

2. In the longer term, management may look to other alternatives, such as capital expenditure of machinery.

Accepting or declining special contracts

A business should identify the incremental cash flows associated with a new one-off contract/project.

Lecture Example

The managing director of Q Limited is considering undertaking a one-off contract. She has asked her inexperienced accountant to advise on what costs are likely to be incurred so that she can price at a profit. The following schedule has been prepared:

Costs for special order	Notes	\$
Direct wages	1	28,500
General overheads	2	4,000
Machine depreciation	3	2,300
Materials	4	<u>34,000</u>
		<u>68,800</u>

Notes

1. Direct wages comprise the wages of two employees, particularly skilled in the labour process for this job. They could be transferred from another department to undertake the work on the special order. They are fully occupied in their usual department and sub-contracting staff would have to be brought in to undertake the work left behind.
Sub-contracting costs would be \$32,000 for the period of the work. Other sub-contractors who are skilled in the special order techniques are also available to work on the special order. The costs associated with this would amount to \$31,300.
2. General overheads comprise an apportionment of \$3,000 plus an estimate of \$1,000 incremental overheads.
3. Machine depreciation represents the normal period cost, based on the duration of the contract. It is anticipated that \$500 will be incurred in additional machine maintenance costs.
4. Materials represent the purchase costs of 7,500kg bought some time ago. The materials are no longer used and are unlikely to be wanted in the future except for the special order. The complete stock of materials (amounting to 10,000kg), or part thereof, could be sold for \$4.20 per kg. The replacement cost of material used would be \$33,375.

Required:

Produce a revised costing schedule for the special project based on relevant costing principles. Fully explain and justify each of the costs included in the costing schedule.

Closure or continuation decisions

In evaluating whether to close part of a business, the cost accountant must consider

1. loss of contribution from the segment
2. savings in specific fixed costs from closure
3. penalties resulting from the closure, e.g. redundancy, compensation to customers
4. alternative use for resources released
5. knock-on impact, e.g. supermarkets often stock some goods which they sell at a loss. This is to get customers through the door, who they then hope will purchase other products which have higher profit margins for them.

Lecture Example

The management of Fiona Co is considering the closure of one of its operations and the financial accountant has submitted the following report.

Department	1	2	3	Total
Sales (units)	5,000	6,000	2,000	13,000
Sales (\$)	150,000	240,000	24,000	414,000
Cost of sales				
Direct material	75,000	150,000	10,000	235,000
Direct labour	25,000	30,000	8,000	63,000
Production overhead	5,769	6,923	2,308	15,000
Gross profit	44,231	53,077	3,692	101,000
Expenses	(15,384)	(18,461)	(6,155)	(40,000)
Net profit (\$)	28,847	34,616	(2,463)	61,000

In addition to the information supplied above, you are told that:

- Production overheads of \$15,000 have been apportioned to the three departments on the basis of unit sales volume
- Expenses are head office overhead, again apportioned to departments on sales value.

As management accountant, you further ascertain that, on a cost driver basis:

- 50% of the production overheads can be directly traced to departments and so could be allocated in the basis 2:2:1.
- Similarly 60% of the expenses can be allocated 3:3:2.
- In addition:
 - 80% of the so-called direct labour is fixed and cannot be readily allocated.
 - The remaining 20% can be better allocated on the basis of sales volume.

Effective use of scarce resources

When there is only one scarce resource, key factor analysis can be used to solve the problem. Options must be ranked using contribution earned per unit of the scarce resource.

Three steps in key factor analysis

Step 1: - First determine the limiting factor (bottleneck resource)

Step 2: - Rank the options using the contribution earned per unit of the scarce resource

Step 3: - Allocate resources

Assumptions

1. A single quantifiable objective. In reality, there may be multiple objectives.
2. Each product always uses the same quantity of the scarce resource per unit.
3. The contribution per unit is constant. However, the selling price may have to be lowered to sell more; discounts may be available as the quantity of materials needed increases.
4. Products are independent. It may not be possible to prioritise product A at the expense of product B.
5. We focus on the short term, therefore ignoring fixed costs.

Lecture Example 5

X Ltd manufactures 3 products for which details are as follows:

	<u>A</u>	<u>B</u>	<u>C</u>
Selling price	\$25	\$20	\$15
Materials	7	6	5
Labour (@ 75c per hr)	9	6	3
Variable overheads	3	3	3
	<u>\$19</u>	<u>\$15</u>	<u>\$11</u>
Contribution	<u>\$6</u> <u>\$5</u>	<u>\$4</u>	

Sales demand for the period is limited as follows:

Product A	4,000 units
Product B	6,000 units
Product C	6,000 units

There are 90,000 labour hours available.

Dealing with risk in decision-making

Risk refers to the situation where probabilities can be assigned to a range of expected outcomes arising from an investment project and the likelihood of each outcome occurring can therefore be quantified.

For e.g., based on past experience, a sales team may estimate it has a 60% chance of winning a particular contract.

Expected Values (EV)

The likelihood that an event will occur is known as its probability. This is normally expressed in decimal form with a value between 0 and 1. A value of 0 denotes a nil likelihood of occurrence whereas a value of 1 signifies absolute certainty. A probability of 0.4 means that the event is expected to occur four times out of ten. The total of the probabilities for events that can possibly occur must sum up to 1.0.

An expected value is computed by multiplying the value of each possible outcome by the probability of that outcome, and summing the results.

$$EV = \sum px$$

Where **p** = probability of the outcome
x = the possible outcome

Advantages and disadvantages of EVs

Advantages:

1. Takes risk into account by considering the probability of each possible outcome and using this information to calculate an expected value.
2. The information is reduced to a single number resulting in easier decisions.
3. Calculations are relatively simple.

Disadvantages:

1. The probabilities used are usually very subjective.
2. The EV is merely a weighted average and therefore has little meaning for a one-off project.
3. The EV gives no indication of the dispersion of possible outcomes about the EV, i.e. the risk.
4. The EV may not correspond to any of the actual possible outcomes.



Limitations of EV

1. Forecasts may be inaccurate and the probabilities used are also usually very subjective
2. The EV is a weighted average of the probability distribution. It will never actually occur.
3. Expected values are more valuable as a guide to decision making where they refer to outcomes which will occur many times over. Examples would include the probability that so many customers per day will buy a particular product, the probability that a customer care assistant will receive a number of phone calls per hour, etc.

It ignores risk and the investor's attitude to risk.



Syllabus G3d: Evaluate the role and limitations of cost accounting in strategy development and implementation, specifically relating to:

- i) Direct and indirect costs in multi-product contexts*
 - ii) Overhead apportionment in full costing*
 - iii) Activity based costing in planning and control*
-

Multi Product Costing

Where units of output are not identical thence need to split costs into direct and indirect

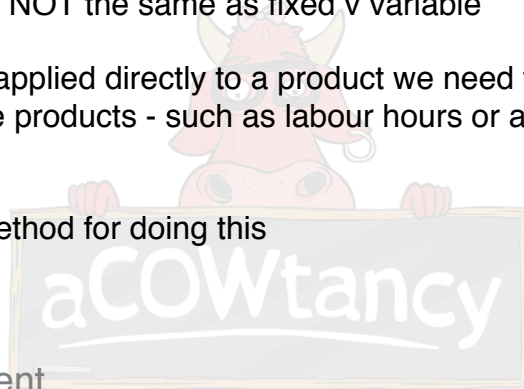
Direct costs - are costs that can be identified with a specific product (eg labour for a garage mechanic)

Indirect costs (overheads) are costs that cannot be identified with a specific product (eg rent of a garage)

The direct / indirect split is NOT the same as fixed v variable

As indirect costs can't be applied directly to a product we need to come up with a formula to share these costs to the products - such as labour hours or actual activities (in activity based costing)

There is no one correct method for doing this



Overhead Apportionment

Full absorption Costing

This is the total amount of resources (direct + indirect costs) used and should be used in the following scenarios:

- Pricing & Output decisions
- Exercising control
- Assessing efficiency
- Income measurement

If the full absorption price is charged as the sales price then the company will break even. Full costing like this may be seen as not useful because it is backward looking - it includes information that's irrelevant to decision making (fixed costs for example).

Dealing with Overheads on a departmental basis

Indirect costs can be put into segments such as the separate departments - then each department can share these across its own products using whichever basis it chooses

Batch Costing

Here the cost per unit can be calculated as:

$$\text{Cost of the batch (indirect + direct) / Number of units in the batch}$$

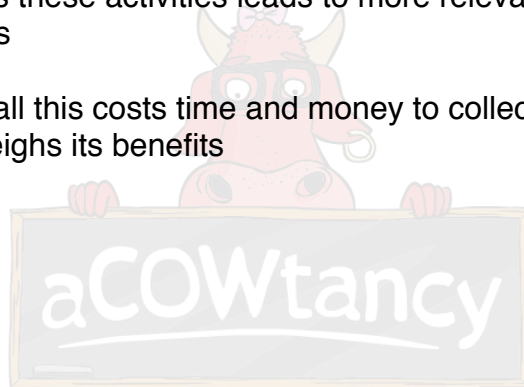
Activity Based Costing

This treats all indirect costs as being caused by 'activities'

It is argued that this is more relevant in the modern business world where lots of things cause costs now - not just labour hours - which was the case in old fashioned factories etc

Understanding what drives these activities leads to more relevant decision making and better control of overheads

However it is argued that all this costs time and money to collect and record such information and this outweighs its benefits



Syllabus G4: Financial implications of making strategic choices and of implementing strategic actions

- a) *Apply efficiency ratios to assess how efficiently an organisation uses its current resources.*
 - b) *Apply appropriate gearing ratios to assess the risks associated with financing and investment in the organisation.*
 - c) *Apply appropriate liquidity ratios to assess the organisation's short-term commitments to creditors and employees.*
 - d) *Apply appropriate profitability ratios to assess the viability of chosen strategies.*
 - e) *Apply appropriate investment ratios to assist investors and shareholders in evaluating organisational performance and strategy.*
-

Accounting Ratios

In your exam, you may be required to calculate some ratios in order to support your strategic analysis of the case. You have already covered ratio analysis in other subjects of the ACCA syllabus. This section shall therefore only present a summary and list of ratios that could potential be used in your exam for such purpose.

Ratios may be divided into the following categories:

Profitability Ratios

These are measures of value added being generated by an organisation and include the following:

Ratio		Formula
ROCE	=	Operating Profit (PBIT)/Capital Employed
Gross margin	=	Gross Profit/Sales
Net Margin	=	Net Profit/Sales
ROE	=	Profit After Tax & Preference dividends/Shareholders' Funds

Efficiency Ratios

These are measures of utilisation of Current & Non-current Assets of an organisation. Efficiency Ratios consist of the following:

Ratio		Formula
Asset Turnover	=	Sales/Capital Employed
ROCE	=	Margin X Asset Turnover
Receivables	=	Receivables Balance/Credit Sales
Payables	=	Payable Balance/Credit Purchases
Revenue per Employee	=	Sales/Number of Employees
Inventory	=	Inventory/Cost of Sales

Liquidity & Gearing Ratios

Liquidity Ratios measure the extent to which an organisation is capable of converting assets into cash and cash equivalents. On the other hand, Gearing Ratios measure the dependence of an organisation on external financing as against shareholder funds.

Liquidity and Gearing Ratios are outlined below:

Ratio		Formula
<i>Liquidity</i>		
Current Ratio	=	Current Assets/Current Liabilities
Quick Ratio	=	Current Assets – Inventory/Current Liabilities
<i>Gearing Ratio</i>		
Financial Gearing	=	Debt/Equity
Financial Gearing	=	Debt/Debt + Equity

Investors' Ratios

These ratios measures return on investment generated by stakeholders. Such ratios include:

Ratio		Formula
Dividend Cover	=	Profit After Tax/Total Dividend
Interest Cover	=	PBIT/Interest
Earnings Per Share	=	Profit After Tax and preference dividends/ Number of Shares
PE Ratio	=	Share Price/EPS

Limitations of Accounting Ratios

The ratios outlined above that could be used in support of a strategic analysis of a question in your exam have to be evaluated within the context of the following limitations:

- On their own, ratios do not provide information that can be used to assess a business performance.
- To be meaningful, ratios need to be benchmarked: Ratios are meaningless unless these are compared to some sort of standard. An evaluation of ratios may be rendered meaningful by comparison either to past performance, to competitors or to an industry benchmark;
- Where price inflation has occurred, ratios comparing different time periods will not be directly comparable: Inflation from one period to another distorts comparisons and would therefore be accounted for when making a proper analysis;
- Many of the key ratios actually used have numerous different definitions: Accounting Ratios may actually be calculated using different formulae thereby making comparisons a more challenging task;
- When the performance of different companies is being compared, ratios are usually calculated from the company's financial statements. Comparative information may have been prepared on a different accounting basis;
- Ratio analysis is only useful to the extent that key information is readily available: Not all information may be readily available to compute such ratios when presented with a set of financial statements.
- The Information on which ratios are based is historical not current. Such information may not be appropriate for managers to make strategic decisions for the future;

Limitations of Inter-Firm Comparisons

When Accounting Ratios are applied for the purpose of making comparisons with other firms to discern the level of performance achieved by the organisation, additional limitations would need to be considered. These are:

- Different accounting methods may be used by individual firms: For example your competitor may be using a reducing balance method of depreciation or alternatively a different depreciation rate than your own. Moreover, different accounting standards may be applicable in different countries which have a direct impact on the accounting results;
- Industry figures may be biased by one or a few very large firms within sample:
- An industry mean may be misleading for a small or large firm being compared with the mean: An industry mean may be skewed by the performance of large players and may not be representative of the true performance of their smaller counterparts;
- Companies within the industry may span across more than one industry classification. In some cases, it is not possible to separate the performance of a division (or a business unit) from other divisions within the same organisation from the available information in the financial statements.
- Industry figures may be relevant for a different financial period and could possibly be out-of-date. Organisations may have different financial year ends and therefore not directly comparable between each other.

Syllabus H: People

Syllabus H1. Strategy and people: leadership

Syllabus H1a: Explain the role of visionary leadership and identify the key leadership traits effective in the successful formulation and implementation of strategy and change management

Leadership

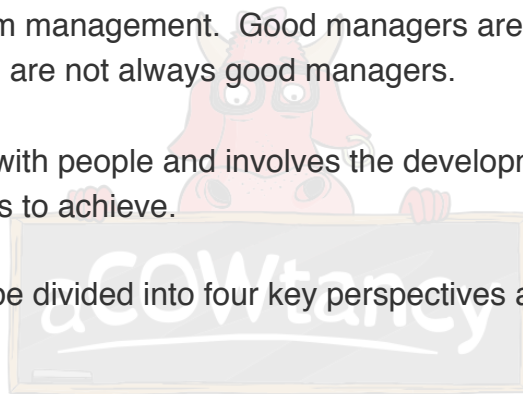
Leadership is defined as

“the ability to influence the behaviour of other people in a certain direct way”

Leadership is different from management. Good managers are not always good leaders and similarly good leaders are not always good managers.

Leadership deals directly with people and involves the development of a vision that can inspire and motivate others to achieve.

Leadership theories may be divided into four key perspectives as outlined below:



4 main generations of Leadership theory

It is important to recognise that none of the four ‘generations’ is mutually exclusive or totally time-bound.

1. Trait theories
2. Behavioural theories
3. Contingency theories
4. Transformational theories

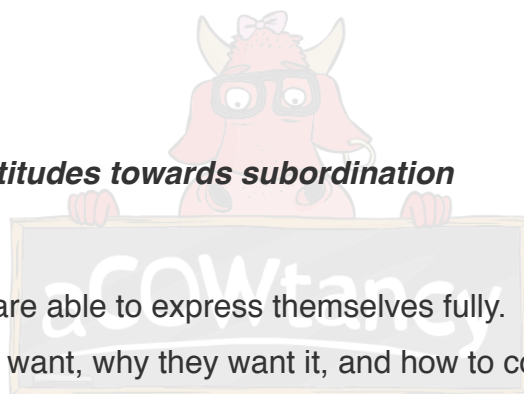
Trait Theories

If we can identify the distinguishing characteristics of successful leaders, we will at least be able to select good leaders

Here the individual is more important than the situation

The traits of good leaders (according to the trait theory) are:

- ***Ability to solve problems creatively***
- ***Ability to communicate and listen***
- ***A strong desire to achieve***
- ***Many interests and sociability***
- ***Self-Confidence***
- ***Enthusiasm***
- ***Self-Discipline***
- ***Manners***
- ***Emotional stability***
- ***Positive & Sincere attitudes towards subordination***



Leaders are people, who are able to express themselves fully.

They also know what they want, why they want it, and how to communicate what they want to others, in order to gain their co-operation and support.

Lastly, they know how to achieve their goals.

But what is it that makes someone exceptional in this respect?

As soon as we study the lives of people who have been labelled as great or effective leaders, it becomes clear that they have very different qualities.

We only have to think of political figures like Nelson Mandela, Margaret Thatcher and Mao Zedong to confirm this.

Instead of starting with exceptional individuals many turned to setting out the general qualities or traits they believed should be present.

Surveys of early trait research by Stogdill (1948) and Mann (1959) reported that many studies identified personality characteristics that appear to differentiate leaders from followers.

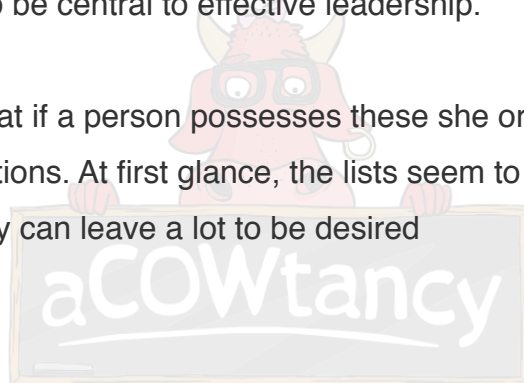
Problems with Trait Theories

- **It's not always true**

As Peter Wright (1996: 34) has commented, 'others found no differences between leaders and followers with respect to these characteristics, or even found people who possessed them were less likely to become leaders'.

Yet pick up almost any of the popular books on the subject today and you will still find a list of traits that are thought to be central to effective leadership.

The basic idea remains that if a person possesses these she or he will be able to take the lead in very different situations. At first glance, the lists seem to be helpful. But spend any time around them and they can leave a lot to be desired



- **Different situations need different traits**

The first problem is that the early searchers after traits often assumed that there was a definite set of characteristics that made a leader - whatever the situation.

In other words, they thought the same traits would work on a battlefield and in the staff room of a school.

They minimised the impact of the situation (Sadler 1997). They, and later writers, also tended to mix some very different qualities.

Some are aspects of a person's behaviour, some are skills, and others are to do with temperament and intellectual ability

- **The list is very big but still not exhaustive**

Like other lists of this nature it is quite long - so what happens when someone has some but not all of the qualities?

On the other hand, the list is not exhaustive and it is possible that someone might have other 'leadership qualities'. What of these?

More recently people have tried looking at what combinations of traits might be good for a particular situation.

There is some mileage in this. However, it remains an inexact science!

- **Different traits needed for different genders?**

One of the questions we hear most often around such lists concerns their apparent 'maleness' (e.g. Rosener 1997).

When men and women are asked about each others characteristics and leadership qualities, some significant patterns emerge.

Both tend to have difficulties in seeing women as leaders.

The attributes associated with leadership on these lists are often viewed as male.

However, whether the characteristics of leaders can be gendered is questionable.

If it is next to impossible to make a list of leadership traits that stands up to questioning, then the same certainly applies to lists of gender specific leadership traits!

Visionary Leadership

Leadership traits for Strategy Implementation and Change:

Vision

Clear direction about what needs to be done;

Communication

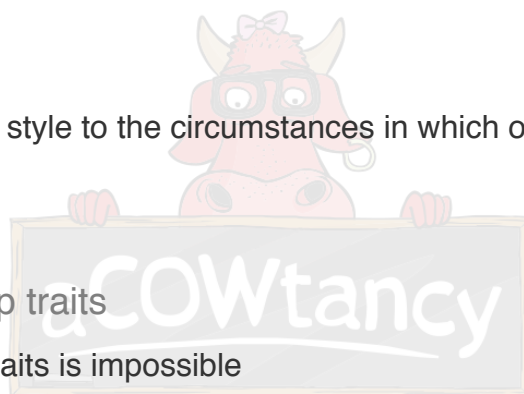
Listening to what others have to say and enabling them to gain trust in you

Passion & Motivation

Inspiring others to work harder through passion and making others see the purpose & value in what they do

Flexibility

Adapting one's leadership style to the circumstances in which one has to lead.



Criticisms of leadership traits

1. Possession of all the traits is impossible
2. There are too many exceptions
3. Good leaders may have many of these qualities but possession of them does not always make one a good leader
4. The traits are so ill defined as to be useless in practice

Behavioural Theory

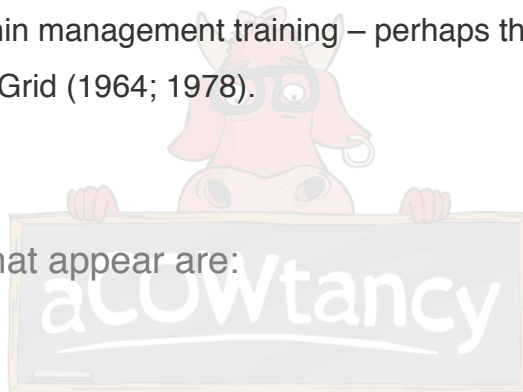
This is a move from leaders to Leadership

As the early researchers ran out of steam in their search for traits, they turned to what leaders did - how they behaved (especially towards followers).

This became very popular in organisations in the 1950s and early 1960s.

Different patterns of behaviour were grouped together and labelled as styles. This became a very popular activity within management training – perhaps the best known being Blake and Mouton's Managerial Grid (1964; 1978).

The four main styles that appear are:



- **Concern for task:**

Here leaders emphasise the achievement of concrete objectives. They look for high levels of productivity, and ways to organise people and activities in order to meet those objectives.

- **Concern for people:**

In this style, leaders look upon their followers as people - their needs, interests, problems, development and so on. They are not simply units of production or means to an end.

- **Directive leadership:**

This style is characterised by leaders taking decisions for others - and expecting followers or subordinates to follow instructions.

- **Participative leadership:**

Here leaders try to share decision-making with others.(Wright 1996: 36-7)

Often concern for task is set against concern for people; and directive is contrasted with participative leadership.

If you have been on a teamwork or leadership development course then it is likely you will have come across some variant of this in an exercise or discussion.

Many of the early writers that looked to participative and people-centred leadership, argued that it brought about greater satisfaction amongst followers (subordinates).

Problems with Behavioural Theory

- **No 1 style is best**

However, as Sadler (1997) reports, when researchers really got to work on this it didn't seem to stand up.

There were lots of differences and inconsistencies between studies.

It was difficult to say style of leadership was significant in enabling one group to work better than another.

- **Different styles suit different situations**

Perhaps the main problem, though, was one shared with those who looked for traits (Wright 1996: 47).

The researchers did not look properly at the context or setting in which the style was used.

Is it possible that the same style would work as well in a gang or group of friends, and in a hospital emergency room?

The styles that leaders can adopt are far more affected by those they are working with, and the environment they are operating within, than had been originally thought.

Style Theories

Here certain styles of management work better than others

The styles usually compared are the authoritarian and democratic dimensions. The major difference between these styles resides in the focus of power.

In the **extreme authoritarian style**, power resides with the leader.

In the **democratic style**, these powers and responsibilities are shared with the group in some way or other.

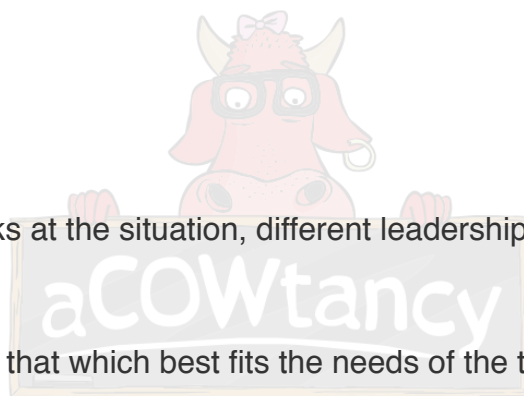
It is commonly assumed that people will produce more under democratic conditions than under authoritarian conditions.

Contingency Theories

Contingency theorists look at the situation, different leadership styles work in different situations.

The most effective style is that which best fits the needs of the task, the group and the individual.

Some of the world's greatest leaders had and have the natural ability to read a situation and to deal with these needs as they appear



Transactional Leaders

These are the opposite of transformational leaders

The transactional leader:

- Recognises what it is that we want to get from work and tries to ensure that we get it if our performance merits it
- Exchanges rewards and promises for our effort
- Is responsive to our immediate self interests if they can be met by getting the work done.

Transformational Leaders

Raise our level of awareness about the significance and value of designated outcomes, and ways of reaching them

Get us to transcend our own self-interest for the sake of the team, organisation or larger polity

Alters our need level (after Maslow) and expands our range of wants and needs

Transformational Leaders are visionary leaders who seek to appeal to their followers better nature and move them toward higher and more universal needs and purposes. In other words, the leader is seen as a change agent

It is impossible to say how effective transformational leadership is with any degree of certainty.

Theory X and Y

Theory X

This assumes that employees are naturally unmotivated and dislike working, and this encourages an authoritarian style of management.

According to this view, management must actively intervene to get things done. This style of management assumes that workers:

- Dislike working.
- Avoid responsibility and need to be directed.
- Have to be controlled, forced, and threatened to deliver what's needed.
- Need to be supervised at every step, with controls put in place.
- Need to be enticed to produce results; otherwise they have no ambition or incentive to work.

X-Type organisations tend to be top heavy, with managers and supervisors required at every step to control workers.

There is little delegation of authority and control remains firmly centralised.

McGregor recognised that X-Type workers are in fact usually the minority, and yet in mass organisations, such as large scale production environment, X Theory management may be required and can be unavoidable.

Theory Y

This expounds a participative style of management that is de-centralised. It assumes that employees are happy to work, are self-motivated and creative, and enjoy working with greater responsibility.

It assumes that workers:

- Take responsibility and are motivated to fulfil the goals they are given.
- Seek and accept responsibility and do not need much direction.
- Consider work as a natural part of life and solve work problems imaginatively.

This more participative management style tends to be more widely applicable.

In Y-Type organisations, people at lower levels of the organisation are involved in decision making and have more responsibility.

Syllabus H2: Strategy and people: job design

Syllabus H2a: Assess the contribution of four different approaches to job design (scientific management, job enrichment, Japanese management and re-engineering)

Job Design

Job design refers to the way that a set of tasks, or an entire job, is organised.

Job design helps to determine:

- What tasks are done?
- How the tasks are done?
- How many tasks are done? and
- In what order the tasks are done?

It takes into account all factors which affect the work, and organises the content and tasks so that the whole job is less likely to be a risk to the employee.

Job design involves administrative areas such as:

- job rotation,
- job enlargement,
- task/machine pacing,
- work breaks, and
- working hours.

A well designed job will encourage a variety of 'good' body positions, have reasonable strength requirements, require a reasonable amount of mental activity, and help foster feelings of achievement and self-esteem.

Techniques for job design may be grouped under four major schools of thought:

1) Scientific Management School

This analyses jobs to determine what the worker does and what the requirements are for the job. After this analysis, the job is designed to ensure that employees will not be asked to perform work beyond their abilities.

Another aspect of the scientific method is that jobs are divided into small segments for the worker to perform, a method that works well in establishing expected levels of worker performance.

While not as popular as in the past, this method of job design is still used in the twenty-first century.

The key advantages of scientific management of Job Design include:

- **Promotes a high degree of production efficiency through economies of scale:** The focus is on developing employees as an extension of a machine by formulating standard tasks that enable workers to maximise their efficiency in the completion of such tasks.
- **Employees may be easily replaced because skills are de-specialised:** The fragmentation of tasks essentially reduces jobs to simple tasks that need minimal skill and training. In this context, employees are easily replaceable;
- **Highly suitable for the provision of standardised products & services:** This is the most efficient means of producing homogenous products and services;

The key disadvantages of scientific management of Job Design include:

- ***Creates worker alienation:*** No worker has complete control and/or knowledge of the whole product or service.
- ***Discourages innovative thinking and the development of new products & services:*** Since no worker has complete control over the whole product or service, there is limited scope for such workers to contribute to the innovative thinking process;
- ***Today's focus is on mass customisation as opposed to mass production:*** Scientific Management is not appropriate in a context where products and services need to be customised to the specific needs and requirements of customers.



2) Job Enrichment

Job enrichment is an attempt to motivate employees by giving them the opportunity to use the range of their abilities.

An enriched job should ideally contain:

- A range of tasks and challenges of varying difficulties (Physical or Mental)
- A complete unit of work - a meaningful task
- Feedback, encouragement and communication

The key advantages of Job Enrichment include the following:

- ***Reducing some of the alienation that was created by scientific management.***
This is achieved recombining tasks that were previously fragmented through specialisation;
- ***Workers have increased control & responsibility over tasks within the production cycle:*** Recombination of tasks reinstitute control to workers of the organisation;
- ***Believed to improve job satisfaction:*** Since workers increase their control over their job, the level of job satisfaction is likely to increase;

The key disadvantages associated with Job Enrichment include the following:

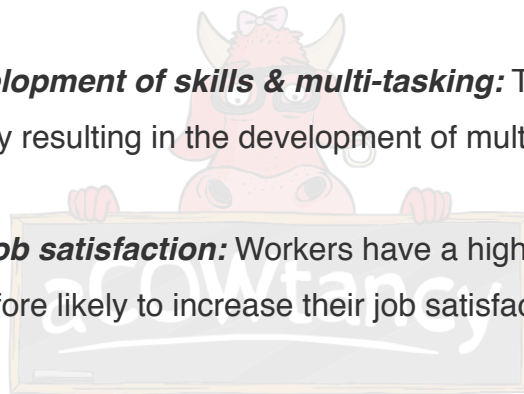
- In most cases, workers still do not have full visibility of the overall production cycle; and
- Has been frequently associated with burdening workers with more de-specialised tasks as opposed to providing them with opportunities to develop appropriate skills.

3) Japanese Management

A distinctive element of the Japanese management model is the greater role given to workers' knowledge.

The key advantages of Japanese Management include the following:

- **Emphasis on quality:** Quality and continuous improvement become central themes in jobs being performed;
- **Emphasis on Team Work:** In contrast to westernise cultures, Japanese Management encourages the use of team work as a means of solving problems and coming up with new ideas. This has spurred the concept of Quality Circles;
- **Encourages the development of skills & multi-tasking:** Teamwork encourage worker learning thereby resulting in the development of multi-disciplinary skills;
- **Is likely to increase job satisfaction:** Workers have a high degree of control over their work and is therefore likely to increase their job satisfaction in the process;



The key disadvantages of Japanese Management include the following:

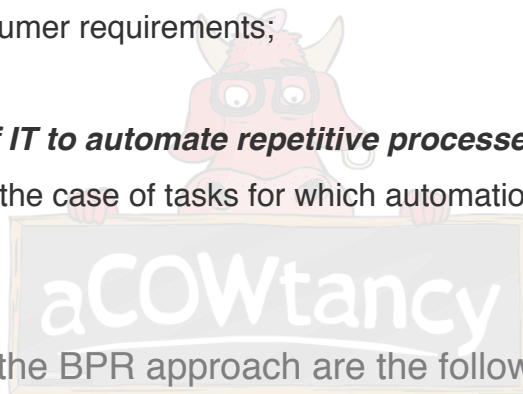
- **May be difficult to implement for cultural reasons:** Westernised Cultures are not traditionally collectivists and may be difficult to implement in practice;
- **Does not exploit economies of scale as advocated by Scientific Management:** Whilst promoting effectiveness in responding to the needs of customers, it may not be the most efficient system of producing products or services;
- **May be difficult to replace workers if they leave the organisation:** The emphasis is on developing and building worker knowledge which can be more difficult to replace once a work leaves an organisation.

4) **Business Process Reengineering**

Business Process Reengineering views employees as Assets rather than costs involves the establishment of a horizontal structure with work carried out by self managed teams.

The key advantages of the BPR approach are the following:

- **Views employees as assets rather than costs:** In this context, the selection of employees and investment decisions on such employees are based on the value added that could be generated as opposed to the costs incurred in the process;
- **Promotes delegation and of tasks to self managed teams:** Decentralisation becomes a central theme thereby increasing the responsiveness to changes in market conditions and/or consumer requirements;
- **Maximises the use of IT to automate repetitive processes:** BPR obviates the need to employee people in the case of tasks for which automation is a viable option;



The disadvantages of the BPR approach are the following:

- **May create a degree of alienation due to standardisation of processes:** Similar to the Scientific Management Approach, BPR involves a certain degree of fragmentation of tasks thereby creating alienation of workers;
- **May not be able to keep up with the rate of change in the external environment:** One of the key aims of BPR is process integration. This may not necessary be the best option for promoting effectiveness in responding to the changing needs of the market place;
- **Process may become an end in itself as opposed to a means to an end.** This may create an element of bureaucracy which may be uncalled for;



Job Design Dilemmas

Choices in designing jobs within an organisation are not always straight forwarded. Managers are frequently faced with a number of dilemmas.

These include the following:

- **Cost Control versus Managing Quality:** Should managers focus on reducing their employment costs or in ensuring the highest levels of quality as required by the customers?
- **Managing Routine versus Managing Change:** Should jobs be structured in a manner that enhances the level of efficiency through the development of rigid routines or alternative be flexible enough to be in a position to respond to change;
- **Management Control versus Employee Empowerment:** Should all decisions be taken by management or decentralised to lower levels?
- **Employee Substitutability versus Employee Development:** Should an organisation develop and promote a framework that encourages employee development (and hence dependence on such employees) or should it alternatively de-specialise tasks thereby making it easier to replace employees should this be required?

c) Discuss the tensions and potential ethical issues related to job design

Ethical Issues of Job Design

The manner in which jobs are designed in itself raises a number of Ethical Issues:

- **Cost versus quality of life:** The high utilisation of employees on the place of work creates a strain on their quality of life;
- **Cost versus quality of output:** Lower costs in employment might attract lower quality employees;

- **Economic Returns versus Employee Welfare:** The exploitation of employees on the place of work might increase their health risks;
- **Motivation versus Control:** Higher levels of control exerted on employees is likely to decrease their levels of motivation on the place of work;
- **Economic Returns versus Personal Development:** Some personal development of employees may need to be sacrificed at the expense of economic returns to be generated by an organisation;
- **Legal Considerations:** Organisations need to manage employees with the legal protection afforded by the country.

Syllabus d) Advise on the relationship of job design to process re-design, project management and the harnessing of e-business opportunities.

The Impact of Job Design on Strategic Change

Jobs design has traditionally focused on manual or less skilled work but needs to have a broader focus.

The rise of IT & e-business have resulted in flatter structures & streamlined processes that have necessitated a radical rethink on the way in which jobs are designed.

Work is becoming more knowledge intensive and therefore more difficult to design jobs accurately.

As Value Chains are becoming Value Networks, Job Designs extend beyond those relating to the in-house team.

The Rise of the Knowledge Worker

Work is no longer about the manufacture of products but about the development of intangible assets. Knowledge therefore becomes the main asset of organisations.

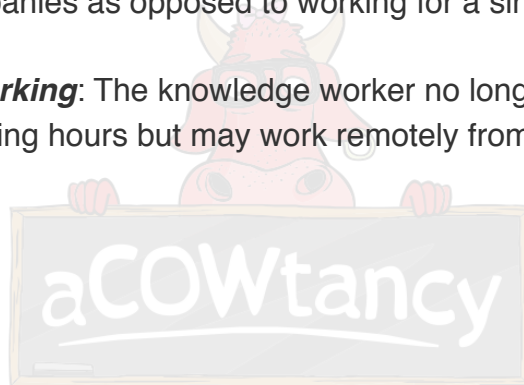
A knowledge worker:

- Collaborates on defined projects and is task oriented;
- Has the ability to access corporate data through web-based services & corporate databases;
- A roving role across departmental boundaries;
- A temporary project-based role;

- High levels of limited scope, massive depth;

The changing role of employees to fulfil the role of a knowledge worker gives rise to various implications:

- **Employee Selection** is on the basis of skill and competence rather than on cost;
- Employees require input to their own **development** and are encourage to take on part-time self study with universities and other institutions;
- Separate and relevant **incentive schemes** are developed to encourage knowledge workers to generate new knowledge in the organisation;
- **Temporary contractor based roles**: Knowledge Workers are taking on freelance work with a number of companies as opposed to working for a single employer;
- **Remote and Flexi-working**: The knowledge worker no longer needs to be at the place of work during all working hours but may work remotely from home or other locations accordingly;



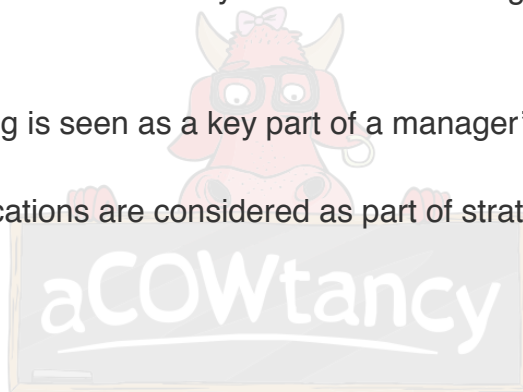
Syllabus H3. Strategy and people: staff development

Syllabus H3a: Discuss the emergence and scope of human resource development, succession planning and their relationship to the strategy of the organisation

Human Resource Development

Concerned with the development of skills and abilities of people within an organisation in order to ensure its success;

- People are seen as a major source of competitive advantage;
- Learning is seen as essential and a means for coping with change;
- Employees have expectations that they will learn and change and retrain as necessary as strategy demands;
- Development & Training is seen as a key part of a manager's role;
- Human resource implications are considered as part of strategic planning;



Syllabus H2b: Advise and suggest different methods of establishing human resource development

Two main approaches for Human Resources Development may be readily identified:

Systematic Approach

This is a more formalised approach to the learning and development of employees

Training & development activities are planned based on needs analysis

This is less effective for organisations in a changing environment where objectives are less clear.

Integrated Approach

Under this approach, the potential of employees is developed incrementally through a continuous learning process.

A culture of learning is created within the organisation that is reflected in systems and processes.

Human Resource Management becomes a central theme in the Business Strategy of an organisation.

To ensure appropriate flexibility, staff development is decentralised at a managerial level through the use of competency frameworks that are developed to identify key skills and behaviour needs to meet the strategic objectives of the company.

Syllabus H2c: Advise on the contribution of competency frameworks to human resource development

The key elements of a competency framework would include:

1. Establishing the elements of competence;
2. Establishing the criteria of performance of the skill or ability required and set standards to measure by it;
3. Monitoring the level of performance achieved;
4. Measuring the performance against the standard; and
5. Taking corrective action for deviation from the standard.

A competency framework may be used to develop job descriptions and eventually to select employees that need to fulfil specific positions within an organisation.

Competencies:

- Are relative to one's job description, roles & responsibilities;
- Are expressed in visible, behavioural terms & reflect the main components of the job (skills, knowledge & attitude); and
- Must be demonstrated to an agreed standard & must contribute to the overall aims of the organisation.

An example of a competency framework in the context of the recruitment of a financial controller is outlined below:

<i>Competence</i>	<i>Description</i>
<i>Communication Skills</i>	Good presentation and articulation of financial performance & position to Senior Management & Board in a concise & articulate format
<i>People Management</i>	Provide clear direction, guidance, leadership, motivation & support to his sub-ordinates
<i>Team Skills</i>	Capable of enhancing collaboration amongst people within and outside his department.
<i>Customer Service</i>	Capable of listening and adapting financial information to the needs of internal consumers.
<i>Results Orientation</i>	Provide financial information required by internal departments at the right time & right level of detail.
<i>Problem Solving</i>	Capable of ingenuity in coming up with solutions to operational problems in the day to day administrative duties of personnel.

The key purposes of such competency frameworks are:

- To provide an analysis of the behaviour needed to achieve a given strategy;
- To act as a basis for determining person specifications during the recruitment process;
- To identify training and development needs & develop people to a level of performance expected at work;
- Managing performance & focusing on what people do at work; and
- For Benchmarking Purposes

Workplace Learning

Workplace learning may be defined as learning or training undertaken in the workplace, usually on the job, including on-the-job training under normal operational conditions, and on-site training, which is conducted away from the work process (e.g. in a training room).

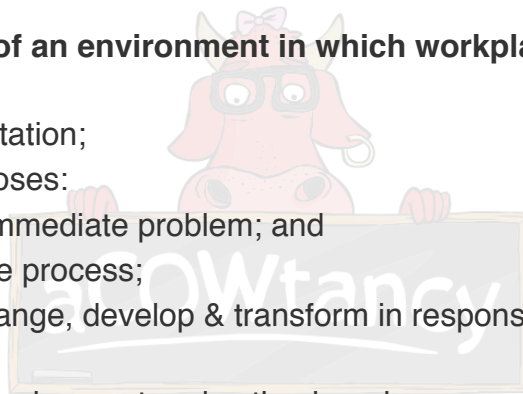
Workplace learning sees the organisation as a unit of learning in which:

- Learning is of strategic importance and is seen in a wider context by managers and staff;
- Links are made between learning & other parts of the organisation;

Effective workplace learning should provide enterprises with the capacity to innovate.

The key characteristics of an environment in which workplace learning is promoted are:

- Testing and experimentation;
- Actions have two purposes:
 - To resolve the immediate problem; and
 - To learn from the process;
- Capability to adapt, change, develop & transform in response to changes in the environment;
- Are founded on self development and action learning.



The Learning Organisation

Three broad factors that are essential for organisational learning and adaptability:

1. A supportive learning environment
2. Concrete learning processes and practices, and
3. Leadership behaviour that provides reinforcement.

We refer to these as the *building blocks of the learning organisation*.

Organisations do not perform consistently across the three blocks

Supportive Environment

Employees feel free to ask naive questions, own up to mistakes, or present a minority viewpoint.

Learning occurs when people become aware of opposing ideas. Recognising the value of competing world views

An openness to new ideas. Employees should be encouraged to take risks and explore the untested and unknown.

Concrete Learning Processes

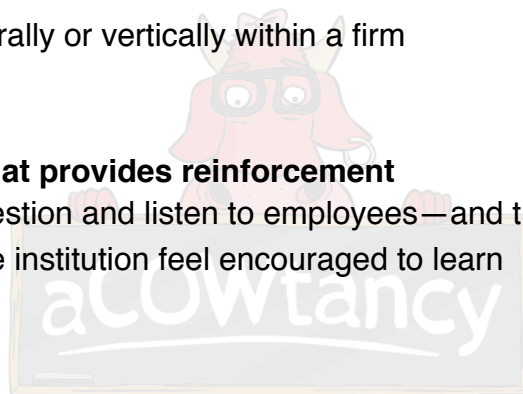
For maximum impact, knowledge must be shared in systematic and clearly defined ways.

Sharing can take place among individuals, groups, or whole organisations.

Knowledge can move laterally or vertically within a firm

Leadership behaviour that provides reinforcement

When leaders actively question and listen to employees—and thereby prompt dialogue and debate—people in the institution feel encouraged to learn



Knowledge Management

Managing organisational knowledge is important because as organisations get larger, it becomes more difficult to share what people know.

The organisation increasingly does not 'know what it knows' and so it makes unnecessary mistakes, duplicates activity and misses opportunities as a result of this.

Furthermore, it is also increasingly likely that organisations have to achieve competitive advantage through accumulated experience (their knowledge), rather than through conventional assets such as physical resources.

Knowledge management itself has been facilitated by the increasing functionality of computerised information systems. In this context an important distinction is made between data, information and knowledge.

Knowledge is primarily associated with the discovery of trends or patterns of behaviour.

Conventional knowledge management systems are often based around an intranet application where all explicit knowledge about processes, procedures, standards, products, customers and policies are stored.

Such repositories are convenient places to locate explicit organisational knowledge and they have practical benefits, such as eliminating the costs of storage, printing and distribution.

Data warehouses can store vast amounts of information and provide the basis of reports, comparisons and responses to queries posed at different levels of summation.

Data mining software may be used to discover previously unknown relationships between data and these can be used to guide decision-making and predict future behaviour.

However, although technology has provided many opportunities to analyse the formal data captured by an organisation, the social aspects of knowledge sharing remain important.

Employees need opportunities to develop, discuss and share information which they feel would be mutually beneficial. Not only might this require physical facilities (coffee areas, restrooms, social and sports clubs), it also requires a culture of trust in the organisation supported by a leadership approach which values learning and an organisational structure which supports communication and information sharing.

Thus there is a clear link between knowledge management and the principles of the learning organisation.

Social networks can also be used to support this facet of knowledge sharing and indeed might be the natural preference of the younger employees of the organisation.

It is in the social aspects of knowledge sharing that many employees reveal their tacit knowledge (knowledge which they do not know they know, as opposed to explicit knowledge) which can be vital for the effective performance of a particular task.